

Independent Auditor's Report

To The Members of Asian Paints Limited

REPORT ON THE AUDIT OF THE CONSOLIDATED FINANCIAL STATEMENTS

Opinion

We have audited the accompanying Consolidated Financial Statements of Asian Paints Limited ("the Parent") and its subsidiaries, (the Parent and its subsidiaries together referred to as "the Group") which includes the Group's share of profit in its associates, which comprise the Consolidated Balance Sheet as at 31st March, 2024, and the Consolidated Statement of Profit and Loss (including Other Comprehensive Income), the Consolidated Statement of Cash Flows and the Consolidated Statement of Changes in Equity for the year ended on that date, and notes to the financial statements, including a summary of material accounting policies and other explanatory information.

In our opinion and to the best of our information and according to the explanations given to us, and based on the consideration of reports of the other auditors on separate financial statements of the subsidiaries and associates referred to in the Other Matters section below, the aforesaid Consolidated Financial Statements give the information required by the Companies Act, 2013 ("the Act") in the manner so required and give a true and fair view in conformity with the Indian Accounting Standards prescribed under section 133 of the Act, ("Ind AS") and other accounting principles generally accepted in India, of the consolidated state of affairs of the Group as at 31 March, 2024, and their consolidated profit, their consolidated total comprehensive income, their consolidated cash flows and their consolidated changes in equity for the year ended on that date.

Basis for Opinion

We conducted our audit of the Consolidated Financial Statements in accordance with the Standards on Auditing ("SAs") specified under section 143 (10) of the Act. Our responsibilities under those Standards are further described in the Auditor's Responsibility for the Audit of the Consolidated Financial Statements section of our report. We are independent of the Group and its associates in accordance with the Code of Ethics issued by the Institute of Chartered Accountants of India ("ICAI") together with the ethical requirements that are relevant to our audit of the Consolidated Financial Statements under the provisions of the Act and the Rules made thereunder, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the ICAI's Code of Ethics. We believe that the audit evidence obtained by us and the audit evidence obtained by the other auditors in terms of their reports referred to in the Other Matters section below is sufficient and appropriate to provide a basis for our audit opinion on the Consolidated Financial Statements.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the Consolidated Financial Statements of the current period. These matters were addressed in the context of our audit of the Consolidated Financial Statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters. We have determined the matters described below to be the key audit matters to be communicated in our report.

Key Audit Matter	How was the matter addressed in our audit
Revenue recognition – the Parent (Refer note 1.4 (e) and 22A of the Consolidated Financial Statements)	
Revenue is one of the key profit drivers and is therefore susceptible to misstatement. Cut-off is the key assertion in so far as revenue recognition is concerned, since an inappropriate cut-off can result in material misstatement of results for the year.	Our audit procedures with regard to revenue recognition, included testing controls, automated and manual, around dispatches / deliveries, inventory reconciliations and circularization of receivable balances, testing of cut-offs and performing analytical review procedures.
Impairment of goodwill in Consolidated Financial Statements (Refer note 1.5 (d) and Note 4A of the Consolidated Financial Statements)	
The Consolidated Financial Statements reflect goodwill on acquisition / consolidation of ₹ 419.19 crores. Goodwill is tested annually for impairment.	Our audit procedures to the extent the goodwill is recognised in the Standalone Financial Statements of the Parent included as follows,
The Parent and the relevant subsidiaries have estimated the recoverable amount of the Cash Generating Unit (CGU) to which the goodwill is allocable based on Value in Use (ViU).	We tested the design, implementation and operating effectiveness of controls over Goodwill impairment review, including those over forecast of future cash flows and the selection of the discount rate and long term growth rate.

Key Audit Matter	How was the matter addressed in our audit
The determination of recoverable amount of goodwill based on value in use, involves significant estimates and judgement in determining the assumptions such as Revenue growth, operating margins, and in determining the valuation assumptions relating to discount rates and long-term growth rate applied to estimated future cash flows. These assumptions are sensitive to reasonable possible changes including economic uncertainties and therefore considered as a key audit matter. The key assumptions applied in the impairment reviews are described in note 4A of the Consolidated Financial Statements.	We evaluated management's ability to accurately forecast future cashflows by comparing actual results to management's historical forecasts. We evaluated the reasonableness of future forecast by comparing the forecast to historical financial performance, internal communication to management and Board of Directors. With the assistance of fair value specialists, we evaluated the reasonableness of discount rate and long-term growth rate. We also assessed the sensitivity of the recoverable amount to the changes in the key assumptions used. To the extent, goodwill relates to the subsidiaries, component auditor has tested the Value in Use calculations for compliance with generally accepted methodologies, evaluated reasonableness of management's estimates of key assumptions (discount rates, growth rates and operating margins) based on historical performance, their knowledge of the CGUs' operations and environment and general economic forecasts, and performed sensitivity analyses to assess the impact of reasonably possible changes in estimates on the recoverable amount of the CGUs. We reviewed the work performed by the component auditors and sought information and explanations from the component auditors, as considered, necessary.

Information Other than the Financial Statements and Auditor's Report Thereon

- The Parent's Board of Directors is responsible for the other information. The other information comprises the Board's Report and Business Responsibility report, but does not include the Consolidated Financial Statements, Standalone Financial Statements and our auditor's report thereon.
- Our opinion on the Consolidated Financial Statements does not cover the other information and we do not express any form of assurance conclusion thereon.
- In connection with our audit of the Consolidated Financial Statements, our responsibility is to read the other information, compare with the financial statements of the subsidiaries and associates audited by the other auditors, to the extent it relates to these entities and, in doing so, place reliance on the work of the other auditors and consider whether the other information is materially inconsistent with the Consolidated Financial Statements or our knowledge obtained during the course of our audit or otherwise appears to be materially misstated. Other information so far as it relates to the subsidiaries and associates, is traced from their financial statements audited by the other auditors.
- If, based on the work we have performed, we conclude that there is a material misstatement of this other

information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of Management and Those Charged with Governance for the Consolidated Financial Statements

The Parent's Board of Directors is responsible for the matters stated in section 134(5) of the Act with respect to the preparation of these Consolidated Financial Statements that give a true and fair view of the consolidated financial position, consolidated financial performance including other comprehensive income, consolidated cash flows and consolidated changes in equity of the Group including its Associates in accordance with the accounting principles generally accepted in India, including Ind AS specified under section 133 of the Act. The respective Board of Directors of the companies included in the Group and of its associates are responsible for maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding the assets of the Group and its associates and for preventing and detecting frauds and other irregularities; selection and application of appropriate accounting policies; making judgments and estimates that are reasonable and prudent; and design, implementation and maintenance of adequate internal financial controls, that were operating effectively for ensuring the accuracy and completeness of the accounting records, relevant to the preparation and presentation of the financial statements

that give a true and fair view and are free from material misstatement, whether due to fraud or error, which have been used for the purpose of preparation of the Consolidated Financial Statements by the Directors of the Parent, as aforesaid.

In preparing the Consolidated Financial Statements, the respective Management and Board of Directors of the companies included in the Group and of its associates are responsible for assessing the ability of the respective entities to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the respective Board of Directors either intend to liquidate their respective entities or to cease operations, or has no realistic alternative but to do so.

The respective Board of Directors of the companies included in the Group and of its associates are also responsible for overseeing the financial reporting process of the Group and of its associates.

Auditor's Responsibility for the Audit of the Consolidated Financial Statements

Our objectives are to obtain reasonable assurance about whether the Consolidated Financial Statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these Consolidated Financial Statements.

As part of an audit in accordance with SAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the Consolidated Financial Statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal financial controls relevant to the audit in order to design audit procedures that are appropriate in the circumstances.

Under section 143(3)(i) of the Act, we are also responsible for expressing our opinion on whether the Parent has adequate internal financial controls with reference to Consolidated Financial Statements in place and the operating effectiveness of such controls.

- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the ability of the Group and its associates to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the Consolidated Financial Statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group and its associates to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the Consolidated Financial Statements, including the disclosures, and whether the Consolidated Financial Statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group and its associates to express an opinion on the Consolidated Financial Statements. We are responsible for the direction, supervision and performance of the audit of the financial statements of such entities or business activities included in the Consolidated Financial Statements of which we are the independent auditors. For the other entities or business activities included in the Consolidated Financial Statements, which have been audited by the other auditors, such other auditors remain responsible for the direction, supervision and performance of the audits carried out by them. We remain solely responsible for our audit opinion.

Materiality is the magnitude of misstatements in the Consolidated Financial Statements that, individually or in aggregate, makes it probable that the economic decisions of a reasonably knowledgeable user of the Consolidated Financial Statements may be influenced. We consider quantitative materiality and qualitative factors in (i)

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planning the scope of our audit work and in evaluating the results of our work; and (ii) to evaluate the effect of any identified misstatements in the Consolidated Financial Statements.

We communicate with those charged with governance of the Parent and such other entities included in the Consolidated Financial Statements of which we are the independent auditors regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal financial controls that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the Consolidated Financial Statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Other Matters

We did not audit the financial statements / consolidated financial information of 24 subsidiaries, whose financial statements / consolidated financial information reflect total assets of ₹ 3,358.90 crores as at 31st March, 2024, total revenues of ₹ 3,077.40 crores for and net cash inflows amounting to ₹ 129.10 crores for the year ended on that date, as considered in the Consolidated Financial Statements. The Consolidated Financial Statements also include the Group's share of net profit of ₹1.60 crores for the year ended 31st March, 2024, as considered in the Consolidated Financial Statements, in respect of 2 Associates, whose financial statements / Consolidated Financial Statements have not been audited by us. These financial statements / Consolidated Financial Statements / consolidated financial information have been audited by other auditors whose reports have been furnished to us by the Management and our opinion on the Consolidated Financial Statements, in so far as it relates to the amounts and disclosures included in respect of these subsidiaries, and associates, and our report in terms of subsection (3) of Section 143 of the Act, in so far as it relates to the

aforesaid subsidiaries and associates is based solely on the reports of the other auditors.

Our opinion on the Consolidated Financial Statements above and our report on Other Legal and Regulatory Requirements below, is not modified in respect of the above matters with respect to our reliance on the work done and the reports of the other auditors.

Report on Other Legal and Regulatory Requirements

1. As required by Section 143(3) of the Act, based on our audit and on the consideration of the reports of the other auditors on the financial statements/ consolidated financial information of the subsidiaries and associates referred to in the Other Matters section above we report, to the extent applicable that:
 - a) We have sought and obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit of the aforesaid Consolidated Financial Statements.
 - b) In our opinion, proper books of account as required by law maintained by the Group and its associates including relevant records relating to preparation of the aforesaid Consolidated Financial Statements have been kept so far as it appears from our examination of those books, and the reports of the other auditors, except for the matters stated in paragraph (i)(vi) below.
 - c) The Consolidated Balance Sheet, the Consolidated Statement of Profit and Loss including Other Comprehensive Income, the Consolidated Cash Flow Statement and the Consolidated Statement of Changes in Equity dealt with by this Report are in agreement with the relevant books of account maintained for the purpose of preparation of the Consolidated Financial Statements.
 - d) In our opinion, the aforesaid Consolidated Financial Statements comply with the Ind AS specified under Section 133 of the Act.
 - e) On the basis of the written representations received from the directors of the Parent as on 31st March, 2024 taken on record by the Board of Directors of the Company and the reports of the statutory auditors of its subsidiary companies and associate companies incorporated in India, none of the directors of the Group companies, its associate companies incorporated in India is

disqualified as on 31st March, 2024 from being appointed as a director in terms of Section 164 (2) of the Act.

- f) The modification relating to the maintenance of accounts and other matters connected therewith, is as stated in paragraph (b) above.
- g) With respect to the adequacy of the internal financial controls with reference to Consolidated Financial Statements and the operating effectiveness of such controls, refer to our separate Report in "Annexure A" which is based on the auditors' reports of the Parent, subsidiary companies, associate companies incorporated in India. Our report expresses an unmodified opinion on the adequacy and operating effectiveness of internal financial controls with reference to Financial Statements of those companies.
- h) With respect to the other matters to be included in the Auditor's Report in accordance with the requirements of section 197(16) of the Act, as amended, in our opinion and to the best of our information and according to the explanations given to us, the remuneration paid by the Parent to its directors during the year is in accordance with the provisions of section 197 of the Act.
- i) With respect to the other matters to be included in the Auditor's Report in accordance with Rule 11 of the Companies (Audit and Auditors) Rules, 2014, as amended in our opinion and to the best of our information and according to the explanations given to us:
 - i) The Consolidated Financial Statements disclose the impact of pending litigations on the consolidated financial position of the Group and its associates.
 - ii) The Group and its associates did not have any material foreseeable losses on long-term contracts including derivative contracts.
 - iii) There has been no delay in transferring amounts, required to be transferred, to the Investor Education and Protection Fund by the Parent.
 - iv) (a) The respective Managements of the Parent, its subsidiaries and associates which are companies incorporated in India, whose financial statements have been audited under the Act, have represented to us and to the other auditors of such subsidiaries and associates respectively that, to the best of their knowledge and

belief, as disclosed in the notes to the Consolidated Financial Statements, no funds (which are material either individually or in the aggregate) have been advanced or loaned or invested (either from borrowed funds or share premium or any other sources or kind of funds) by the Parent or any of such subsidiaries and Associates to or in any other person(s) or entity(ies), including foreign entities ("Intermediaries"), with the understanding, whether recorded in writing or otherwise, that the Intermediary shall, directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Parent or any of such subsidiaries and Associates ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries.

- (b) The respective Managements of the Parent and its subsidiaries and associates which are companies incorporated in India, whose financial statements have been audited under the Act, have represented to us and to the other auditors of such subsidiaries and associates respectively that, to the best of their knowledge and belief, as disclosed in the notes to the Consolidated Financial Statements, no funds have been received by the Parent or any of such subsidiaries and associates from any person(s) or entity(ies), including foreign entities ("Funding Parties"), with the understanding, whether recorded in writing or otherwise, that the Parent or any of such subsidiaries and associates shall, directly or indirectly, lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Funding Party ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries.
- (c) Based on the audit procedures performed that have been considered reasonable and appropriate in the circumstances performed by us and that performed by the auditors of the subsidiaries and associates which are

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companies incorporated in India whose financial statements have been audited under the Act, nothing has come to our or other auditor's notice that has caused us or the other auditors to believe that the representations under sub-clause (i) and (ii) of Rule 11(e), as provided under (a) and (b) above, contain any material misstatement.

- v) The final dividend proposed in the previous year, declared and paid by the Parent, and its associate which are companies incorporated in India, whose financial statements have been audited under the Act, where applicable, during the year is in accordance with section 123 of the Act, as applicable.

The interim dividend declared and paid by the Parent and its associate during the year and until the date of this report is in accordance with section 123 of the Act, as applicable.

As stated in note 13(b) to the Consolidated Financial Statements, the Board of Directors of the Parent and its associate which are companies incorporated in India, whose financial statements have been audited under the Act, where applicable, have proposed final dividend for the year which is subject to the approval of the members of the Parent and such associate at the ensuing respective Annual General Meetings. Such dividend proposed is in accordance with section 123 of the Act, as applicable.

- vi) Based on our examination which included test checks, and based on the other auditor's reports of its subsidiaries and its associates, companies incorporated in India whose financial statements have been audited under the Act, except for instances mentioned below, the Parent Company, its subsidiaries and its associates have used accounting software systems for maintaining their respective books of account for the financial year ended 31 March, 2024 which has a feature of recording audit trail (edit log) facility and the same has operated throughout the year for all relevant transactions recorded in the software.

In respect of one subsidiary the accounting software used by the subsidiary did not have

a feature of recording audit trail (edit log) enabled at the database level for accounting software to log any direct data changes.

In respect of one subsidiary, the accounting software's audit trail feature/ facility did not operate during the period from 1st April, 2023 to 21st September, 2023.

In respect of one Associate, the accounting software used by the associate for computation of credit notes did not have a feature of recording audit trail (edit log) enabled at database level to log any direct data changes.

Further, where audit trail (edit log) facility was enabled and operated throughout the year for the accounting software(s) we did not come across any instance of the audit trail feature being tampered with.

As proviso to Rule 3(1) of the Companies (Accounts) Rules, 2014 is applicable from April 1, 2023, reporting under Rule 11(g) of the Companies (Audit and Auditors) Rules, 2014 on preservation of audit trail as per the statutory requirements for record retention is not applicable for the year ended 31 March, 2024.

2. With respect to the matters specified in clause (xxi) of paragraph 3 and paragraph 4 of the Companies (Auditor's Report) Order, 2020 ("CARO"/ "the Order") issued by the Central Government in terms of Section 143(11) of the Act, according to the information and explanations given to us, and based on the CARO reports issued by us and the auditors of respective companies included in the Consolidated Financial Statements to which reporting under CARO is applicable, as provided to us by the Management of the Parent, we report that there are no qualifications or adverse remarks by the respective auditors in the CARO reports of the said companies included in the Consolidated Financial Statements.

For **Deloitte Haskins & Sells LLP**
Chartered Accountants
Firm's Registration No.: 117366W/W-100018

Rupen K. Bhatt
Partner

Place: Mumbai
Date: May 9, 2024

Membership No. 046930
UDIN: 24046930BKEZWS6782

Annexure “A” to the Independent Auditor’s Report

(Referred to in paragraph (g) under ‘Report on Other Legal and Regulatory Requirements’ section of our report of even date)

Report on the Internal Financial Controls with reference to Consolidated Financial Statements under Clause (i) of Sub-section 3 of Section 143 of the Companies Act, 2013 (“the Act”)

In conjunction with our audit of the Consolidated Financial Statements of the Company as at and for the year ended March 31, 2024, we have audited the internal financial controls with reference to Consolidated Financial Statements of Asian Paints Limited (hereinafter referred to as “the Company” or “Parent”) and its subsidiary companies and its associate companies, which are companies incorporated in India, as of that date.

Management’s Responsibility for Internal Financial Controls

The respective Board of Directors of the Parent, its subsidiary companies and its associate companies, which are companies incorporated in India, are responsible for establishing and maintaining internal financial controls with reference to Consolidated Financial Statements based on the internal control with reference to Consolidated Financial Statements criteria established by the respective Companies considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting issued by the Institute of Chartered Accountants of India (“ICAI”). These responsibilities include the design, implementation and maintenance of adequate internal financial controls that were operating effectively for ensuring the orderly and efficient conduct of its business, including adherence to the respective company’s policies, the safeguarding of its assets, the prevention and detection of frauds and errors, the accuracy and completeness of the accounting records, and the timely preparation of reliable financial information, as required under the Companies Act, 2013.

Auditor’s Responsibility

Our responsibility is to express an opinion on the internal financial controls with reference to Consolidated Financial Statements of the Parent, its subsidiary companies and its associate companies, which are companies incorporated in India, based on our audit. We conducted our audit in accordance with the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting (the “Guidance Note”) issued by the Institute of Chartered Accountants of India and the Standards on Auditing, prescribed under Section 143(10) of the Companies Act, 2013, to the extent

applicable to an audit of internal financial controls with reference to Consolidated Financial Statements. Those Standards and the Guidance Note require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether adequate internal financial controls with reference to Consolidated Financial Statements was established and maintained and if such controls operated effectively in all material respects.

Our audit involves performing procedures to obtain audit evidence about the adequacy of the internal financial controls with reference to Consolidated Financial Statements and their operating effectiveness. Our audit of internal financial controls with reference to Consolidated Financial Statements included obtaining an understanding of internal financial controls with reference to Consolidated Financial Statements, assessing the risk that a material weakness exists, and testing and evaluating the design and operating effectiveness of internal control based on the assessed risk. The procedures selected depend on the auditor’s judgement, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error.

We believe that the audit evidence we have obtained and the audit evidence obtained by the other auditors of the subsidiary companies and associate companies, which are companies incorporated in India, in terms of their reports referred to in the Other Matters paragraph below, is sufficient and appropriate to provide a basis for our audit opinion on the internal financial controls with reference to Consolidated Financial Statements of the Parent, its subsidiary companies and its associate companies, which are companies incorporated in India.

Meaning of Internal Financial Controls with reference to Consolidated Financial Statements

A company’s internal financial control with reference to Consolidated Financial Statements is a process designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with generally accepted accounting principles. A company’s internal financial control with reference to Consolidated Financial Statements includes those policies and procedures that (1) pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the company; (2) provide reasonable assurance that transactions are recorded as necessary to permit preparation of financial statements in accordance with generally accepted accounting principles, and that receipts and expenditures

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of the company are being made only in accordance with authorisations of management and directors of the company; and (3) provide reasonable assurance regarding prevention or timely detection of unauthorised acquisition, use, or disposition of the company's assets that could have a material effect on the financial statements.

Inherent Limitations of Internal Financial Controls with reference to Consolidated Financial Statements

Because of the inherent limitations of internal financial controls with reference to Consolidated Financial Statements, including the possibility of collusion or improper management override of controls, material misstatements due to error or fraud may occur and not be detected. Also, projections of any evaluation of the internal financial controls with reference to Consolidated Financial Statements to future periods are subject to the risk that the internal financial control with reference to Consolidated Financial Statements may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

Opinion

In our opinion to the best of our information and according to the explanations given to us and based on the consideration of the reports of the other auditors referred to in the Other Matters paragraph below, the Parent, its subsidiary companies and its associate companies, which are companies incorporated in India, have, in all material

respects, an adequate internal financial controls with reference to Consolidated Financial Statements and such internal financial controls with reference to Consolidated Financial Statements were operating effectively as at March 31, 2024, based on the criteria for internal financial control with reference to Consolidated Financial Statements established by the respective companies considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting issued by the Institute of Chartered Accountants of India.

Other Matters

Our aforesaid report under Section 143(3)(i) of the Act on the adequacy and operating effectiveness of the internal financial controls with reference to Consolidated Financial Statements in so far as it relates to 2 subsidiary companies, 1 associate companies, which are companies incorporated in India, is based solely on the corresponding reports of the auditors of such companies incorporated in India.

Our opinion is not modified in respect of the above matters.

For **Deloitte Haskins & Sells LLP**
Chartered Accountants
Firm's Registration No.: 117366W/W-100018

Place: Mumbai	Rupen K. Bhatt
Date: May 9, 2024	Partner
	Membership No. 046930
	UDIN: 24046930BKEZWS6782

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Consolidated Balance Sheet

as at 31st March, 2024

(₹ in Crores)

Particulars	Notes	As at 31.03.2024	As at 31.03.2023
ASSETS			
Non-Current Assets			
Property, Plant and Equipment	2A	4,446.20	4,145.65
Right-of-Use Assets	2B	1,856.27	1,208.92
Capital work-in-progress	3	2,698.37	1,019.59
Goodwill	4A	419.19	228.48
Other Intangible Assets	4B	424.96	187.41
Investments in Associates	5	583.13	781.73
Financial Assets			
Investments	5	801.38	782.98
Trade Receivables	6	1.78	2.17
Other Financial Assets	7	606.51	363.18
Deferred Tax Assets (Net)	9C	23.32	18.67
Income Tax Assets (Net)	10	198.11	189.52
Other Non-Current Assets	11	327.81	334.54
		12,387.03	9,262.84
Current Assets			
Inventories	12	5,923.41	6,210.64
Financial Assets			
Investments	5	3,203.41	2,697.00
Trade Receivables	6	4,889.05	4,636.94
Cash and Cash Equivalents	8A	829.34	523.10
Other Balances with Banks	8B	254.67	320.72
Other Financial Assets	7	1,651.35	1,592.78
Other Current Assets	11	785.83	553.98
		17,537.06	16,535.16
TOTAL ASSETS		29,924.09	25,798.00
EQUITY AND LIABILITIES			
Equity			
Equity Share Capital	13	95.92	95.92
Other Equity	14	18,632.38	15,896.31
Equity attributable to owners of the Company		18,728.30	15,992.23
Non-Controlling Interests	14	695.38	453.66
		19,423.68	16,445.89
Liabilities			
Non-Current Liabilities			
Financial Liabilities			
Borrowings	15	54.38	76.15
Lease Liabilities	16	1,095.29	728.94
Other Financial Liabilities	17	240.58	46.38
Provisions	19	222.56	230.70
Deferred Tax Liabilities (Net)	9C	352.17	334.84
Other Non-Current Liabilities	20	34.47	39.17
		1,999.45	1,456.18

Consolidated Balance Sheet (Contd.)

as at 31st March, 2024

(₹ in Crores)			
Particulars	Notes	As at 31.03.2024	As at 31.03.2023
Current Liabilities			
Financial Liabilities			
Borrowings	15	1,052.76	896.06
Lease Liabilities	16	271.95	231.47
Trade Payables			
Total Outstanding dues of Micro Enterprises and Small Enterprises	18	250.27	143.88
Total Outstanding dues of Creditors other than Micro Enterprises and Small Enterprises	18	3,581.07	3,491.56
Other Financial Liabilities	17	2,675.44	2,436.02
Other Current liabilities	20	484.48	459.04
Provisions	19	62.48	74.21
Income Tax Liabilities (Net)	21	122.51	163.69
		8,500.96	7,895.93
TOTAL EQUITY AND LIABILITIES		29,924.09	25,798.00
Material accounting policies and key accounting estimates and judgements	1		
See accompanying notes to the Consolidated Financial Statements	2-43		

As per our report of even date attached

For **Deloitte Haskins & Sells LLP**

Chartered Accountants

F.R.N : 117366W/W-100018

Rupen K. Bhatt

Partner

Membership No : 046930

Mumbai

9th May, 2024

For and on behalf of the Board of Directors of **Asian Paints Limited**

CIN : L24220MH1945PLC004598

R Seshasayee

Chairman

DIN : 00047985

Milind Sarwate

Chairman of Audit Committee

DIN : 00109854

Mumbai

9th May, 2024

Amit Syngle

Managing Director & CEO

DIN : 07232566

R J Jeyamurugan

CFO & Company Secretary

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Consolidated Statement of Profit and Loss

for the year ended 31st March, 2024

(₹ in Crores)

Particulars	Notes	Year 2023-24	Year 2022-23
REVENUE FROM OPERATIONS			
Revenue from Sale of Products	22A	35,248.88	34,253.35
Revenue from Sale of Services	22A	133.24	114.48
Other Operating Revenue	22A	112.61	120.76
Other Income	23	687.96	386.48
Total Income (I)		36,182.69	34,875.07
EXPENSES			
Cost of Materials Consumed	24A	15,868.21	17,330.58
Purchases of Stock-in-Trade	24B	3,858.20	4,135.65
Changes in inventories of finished goods, Stock-in-Trade and work-in-progress	24C	363.80	(309.73)
Employee Benefits Expense	25	2,326.18	2,028.07
Other Expenses	26	5,493.36	5,044.18
Total Expenses (II)		27,909.75	28,228.75
EARNING BEFORE INTEREST, TAX, DEPRECIATION AND AMORTISATION (EBITDA) (I-II)		8,272.94	6,646.32
Finance Costs	27	205.17	144.45
Depreciation and Amortisation Expense	28	853.00	858.02
PROFIT BEFORE SHARE OF PROFIT IN ASSOCIATES AND EXCEPTIONAL ITEMS		7,214.77	5,643.85
Share of profit in Associates	36	133.00	93.85
PROFIT BEFORE EXCEPTIONAL ITEMS AND TAX		7,347.77	5,737.70
Exceptional Items	39	-	48.87
PROFIT BEFORE TAX		7,347.77	5,688.83
Tax Expense	9		
Current Tax		1,836.00	1,504.14
Short tax provision for earlier years		(51.35)	6.64
Deferred Tax		5.43	(17.28)
Total tax expense		1,790.08	1,493.50
PROFIT AFTER TAX		5,557.69	4,195.33
OTHER COMPREHENSIVE INCOME (OCI)			
A. Items that will not be reclassified to Profit or Loss			
(i) (a) Remeasurement of the defined benefit plans	32	8.60	(10.21)
(b) Income tax (expense)/benefit on remeasurement of defined benefit plans		(2.17)	2.62
(ii) (a) Net fair value gain on investments in equity instruments through OCI		7.77	90.19
(b) Income tax expense on net fair value gain on investments in equity instruments through OCI		(0.55)	(10.58)
(iii) Share of OCI in Associates		(1.19)	(0.77)
B. Items that will be reclassified to Profit or Loss			
(i) (a) Net fair value gain/(loss) on investment in debt instruments through OCI		16.20	(5.43)
(b) Income tax (expense)/benefit on net fair value gain on investment in debt instruments through OCI		(1.85)	0.63
(ii) Exchange difference arising on translation of foreign operations		5.15	(53.41)
Total Other Comprehensive Income (A+B)		31.96	13.04
TOTAL COMPREHENSIVE INCOME FOR THE YEAR		5,589.65	4,208.37

Consolidated Statement of Profit and Loss (Contd.)

for the year ended 31st March, 2024

		(₹ in Crores)	
Particulars	Notes	Year 2023-24	Year 2022-23
PROFIT FOR THE YEAR ATTRIBUTABLE TO :			
- Owners of the Company		5,460.23	4,106.45
- Non-Controlling interest		97.46	88.88
		5,557.69	4,195.33
OTHER COMPREHENSIVE INCOME FOR THE YEAR ATTRIBUTABLE TO :			
- Owners of the Company		42.14	24.51
- Non-Controlling interest		(10.18)	(11.47)
		31.96	13.04
TOTAL COMPREHENSIVE INCOME FOR THE YEAR ATTRIBUTABLE TO :			
- Owners of the Company		5,502.37	4,130.96
- Non-Controlling interest		87.28	77.41
		5,589.65	4,208.37
Earnings per equity share (Face value of ₹ 1 each)	30		
Basic (in ₹)		56.95	42.83
Diluted (in ₹)		56.94	42.82
Material accounting policies and key accounting estimates and judgements	1		
See accompanying notes to the Consolidated Financial Statements	2-43		

As per our report of even date attached

For **Deloitte Haskins & Sells LLP**
Chartered Accountants
F.R.N : 117366W/W-100018

Rupen K. Bhatt
Partner
Membership No : 046930

Mumbai
9th May, 2024

For and on behalf of the Board of Directors of **Asian Paints Limited**
CIN : L24220MH1945PLC004598

R Seshasayee
Chairman
DIN : 00047985

Milind Sarwate
Chairman of Audit Committee
DIN : 00109854

Mumbai
9th May, 2024

Amit Syngle
Managing Director & CEO
DIN : 07232566

R J Jeyamurugan
CFO & Company Secretary

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Consolidated Statement of Changes in Equity

For the year ended 31st March, 2024

A) EQUITY SHARE CAPITAL

Particulars	(₹ in Crores)	
	As at 31.03.2024	As at 31.03.2023
Balance at the beginning of the reporting year (Refer note 13)	95.92	95.92
Changes in Equity Share capital due to prior period errors	-	-
Restated balance at the beginning of the current reporting period (Refer note 13)	95.92	95.92
Changes in Equity Share capital during the year	-	-
Balance at the end of the reporting year (Refer note 13)	95.92	95.92

B) OTHER EQUITY

Particulars	Attributable to owners of the Company												Non-Controlling Interests	Total					
	Reserves and Surplus					Items of Other Comprehensive Income (OCI)													
	Capital Reserve on Consolidation	Capital Redemption Reserve	Statutory Reserves	General Reserve	Retained earnings	Re measurement of the defined benefit plans	Other Reserves	Share of other reserves in Associate	Share based Payment Reserve	Treasury Shares	Trust reserve	Debt instruments through OCI			Foreign Currency Translation Reserve	Equity instruments through OCI	Share of OCI in Associates		
Balance as at: 1 st April, 2021 (A)	38.16	41.47	5.37	14.96	4715.75	9,185.95	(18.61)	(28.25)	0.90	13.40	(75.00)	0.05	1.74	(328.48)	148.29	(0.06)	13,715.64	387.53	14,103.17
Additions during the year :																			
Profit for the year	-	-	-	-	-	4,106.45	-	-	-	-	-	-	-	-	-	-	4,106.45	88.88	4,195.33
Items of OCI for the year, net of tax																			
Exchange differences on translating the financial statements of foreign operations	-	-	-	-	-	-	-	-	-	-	-	-	-	(42.22)	-	-	(42.22)	(11.19)	(53.41)
Re measurement of the defined benefit plans	-	-	-	-	-	-	(7.31)	-	-	-	-	-	-	-	-	-	(7.31)	(0.28)	(7.59)
Net fair value gain on investments in equity instruments through OCI	-	-	-	-	-	-	-	-	-	-	-	-	-	-	79.61	-	79.61	-	79.61
Net fair value (loss) on investments in debt instruments through OCI	-	-	-	-	-	-	-	-	-	-	-	-	(4.80)	-	-	-	(4.80)	-	(4.80)
Share of OCI in Associates	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	(0.77)	(0.77)	-	(0.77)
Total Comprehensive Income for the year (B)	-	-	-	-	-	4,106.45	(7.31)	-	-	-	-	-	(4.80)	(42.22)	79.61	(0.77)	4,130.96	77.41	4,208.37
Reductions during the year :																			
Dividends (Refer note 13)	-	-	-	-	-	(1,908.86)	-	-	-	-	-	-	-	-	-	-	(1,908.86)	(23.65)	(1,932.51)
Effect of stake acquired from non controlling interest	-	-	-	-	-	-	-	(3.13)	-	-	-	-	-	-	-	-	(3.13)	3.13	-
Acquisition of subsidiary	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	9.24	9.24
Equity/other changes in Associate	-	-	-	-	-	-	-	-	0.12	-	-	-	-	-	-	-	0.12	-	0.12
Gross obligation towards further acquisition in subsidiary	-	-	-	-	-	(16.22)	-	-	-	-	-	-	-	-	-	-	(16.22)	-	(16.22)
Transfer to Statutory Reserves and General Reserve	-	-	-	0.48	-	(0.48)	-	-	-	-	-	-	-	-	-	-	-	-	-
Share based payment expense	-	-	-	-	-	-	-	-	-	13.37	-	-	-	-	-	-	13.37	-	13.37
Net income of ESOP Trust for the year	-	-	-	-	-	-	-	-	-	-	-	0.32	-	-	-	-	0.32	-	0.32
Purchase of Treasury shares by ESOP trust during the year	-	-	-	-	-	-	-	-	-	-	(35.89)	-	-	-	-	-	(35.89)	-	(35.89)
Total (C)	-	-	-	0.48	-	(1,925.56)	-	(3.13)	0.12	13.37	(35.89)	0.32	-	-	-	-	(1,950.29)	(11.28)	(1,961.57)
Balance as at 31 st March, 2022 (D) = (A+B+C)	38.16	41.47	5.37	15.44	4715.75	11,366.84	(25.92)	(31.38)	1.02	26.77	(110.89)	0.37	(3.06)	(371.70)	227.90	(0.83)	15,896.51	453.66	16,349.97

Consolidated Statement of Changes in Equity (Contd.)

For the year ended 31st March, 2024

Particulars	Attributable to owners of the Company											Non-Controlling Interests	Total				
	Reserves and Surplus						Items of Other Comprehensive Income (OCI)				Total attributable to owners of the Company						
	Capital Reserve on Consolidation	Capital Reserve	Statutory Reserve	General Reserve	Retained earnings	Remeasurement of the defined benefit plans	Other Reserves	Share of other reserves in Associate	Share based Payment Reserve	Treasury Shares				Trust reserve	Debt instruments through OCI	Foreign Currency Translation Reserve	Equity instruments through OCI
Additions during the year :																	
Profit for the year	-	-	-	-	-	5,460.23	-	-	-	-	-	-	-	-	5,460.23	97.46	5,557.69
Items of OCI for the year, net of tax																	
Exchange differences on translating the financial statements of a foreign operation	-	-	-	-	-	-	-	-	-	-	-	-	15.09	-	15.09	(9.94)	5.15
Remeasurement of the defined benefit plans	-	-	-	-	-	-	6.67	-	-	-	-	-	-	-	6.67	(0.24)	6.43
Net Fair value gain on investment in equity instruments through OCI	-	-	-	-	-	-	-	-	-	-	-	-	-	7.22	7.22	-	7.22
Net Fair value gain on investment in debt instruments through OCI	-	-	-	-	-	-	-	-	-	-	-	14.35	-	-	14.35	-	14.35
Share of OCI in Associates	-	-	-	-	-	-	-	-	-	-	-	-	-	-	(1.19)	-	(1.19)
Total Comprehensive Income for the year (E)	-	-	-	-	-	5,460.23	6.67	-	-	-	-	14.35	15.09	7.22	5,502.37	87.28	5,589.65
Reductions during the year :																	
Dividends (Refer note 13)	-	-	-	-	-	(2,532.38)	-	-	-	-	-	-	-	-	(2,532.38)	(14.62)	(2,547.00)
Amount infused by non-controlling shareholders in subsidiary	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	40.60	40.60
Acquisition of subsidiary	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	105.86	105.86
Equity/other changes in Associate	-	-	-	-	-	-	-	-	0.10	-	-	-	-	-	0.10	-	0.10
Gross obligation towards further acquisition in subsidiary	-	-	-	-	-	(256.78)	-	-	-	-	-	-	-	-	(256.78)	-	(256.78)
Share based payment expense	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	21.84	21.84
Sweat Equity Shares	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	22.60	22.60
Net income of ESOP Trust for the year	-	-	-	-	-	-	-	-	-	-	0.22	-	-	-	0.22	-	0.22
ESOP exercised during the year	-	-	-	-	-	(0.03)	-	-	-	(0.35)	0.70	0.38	-	-	0.70	-	0.70
Total (F)	-	-	-	-	-	(2,789.19)	-	-	0.10	21.49	0.70	0.60	-	-	(2,766.30)	154.44	(2,611.86)
Balance as at 31 st March, 2024 (D+E-F)	39.16	41.47	5.37	15.44	4,715.75	14,037.88	(19.25)	(31.38)	1.12	48.26	(110.19)	0.97	11.29	(356.61)	235.12	695.38	19,327.76
Material accounting policies and key accounting estimates and judgements (Refer note 1)																	
See accompanying notes to the Consolidated Financial Statements (Refer note 2.43)																	

As per our report of even date attached

For Deloitte Haskins & Sells LLP
Chartered Accountants
F.R.N : 117366W/W-100018

Rupen K. Bhatt
Partner
Membership No : 046930

Mumbai
9th May, 2024

For and on behalf of the Board of Directors of **Asian Paints Limited**

CIN : L24220MH1945PLC004598

R Seshasayee
Chairman
DIN : 00047985

Milind Sarwate
Chairman of Audit Committee
DIN : 00109854

Mumbai
9th May, 2024

Amit Syngle
Managing Director & CEO
DIN : 07232566

R J Jeyamurugan
CFO & Company Secretary

14

Consolidated Statement of Cash Flows

for the year ended 31st March, 2024

(₹ in Crores)

Particulars	Year 2023-24	Year 2022-23
(A) CASH FLOW FROM OPERATING ACTIVITIES		
Profit before tax	7,347.77	5,688.83
Adjustments for :		
Depreciation and amortisation expense	853.00	858.02
Interest income	(169.93)	(120.80)
Dividend income	(20.16)	(13.48)
Finance costs	205.17	144.45
Allowances for doubtful debts and advances (net)	116.64	63.91
Bad debts written off (net)	9.20	3.44
Deferred income arising from government grant	(5.29)	(1.54)
Net unrealised foreign exchange loss	8.00	21.94
Net gain on disposal of property, plant and equipment and other intangible assets	(2.08)	(11.72)
Net gain on modification/ termination of leases	(5.50)	(2.96)
Net gain arising on financial assets measured at fair value through profit or loss (FVTPL)	(229.63)	(120.61)
Share based payment expense (net)	21.84	13.38
Share of profit in Associates	(133.00)	(93.85)
Fair valuation (gain) / loss on earnout, derivatives and gross obligation towards further stake acquisition	(63.68)	28.85
Fair valuation gain on previously held equity interest, pursuant to acquisition of controlling stake in Obgenix Software Private Limited (White Teak)	(33.96)	-
Impairment loss on Goodwill in Causeway Lanka	-	24.66
Reversal for expected credit loss on government grants	(10.90)	(27.58)
Effect of exchange rates on translation of operating cashflows	41.11	4.88
Operating Profit before working capital changes	7,928.60	6,459.82
Adjustments for :		
(Increase) in trade receivables	(361.89)	(833.94)
Decrease in financial assets	23.12	156.75
Decrease/(Increase) in inventories	314.94	(55.98)
(Increase) in other assets	(260.89)	(26.71)
Increase/(Decrease) in trade payables	268.58	(538.97)
Increase in other financial liabilities	16.40	441.10
Increase in other liabilities and provisions	9.79	85.64
Cash generated from Operating activities	7,938.65	5,687.71
Income Tax paid (net of refund)	(1,835.05)	(1,494.28)
Net Cash generated from Operating activities	6,103.60	4,193.43
(B) CASH FLOW FROM INVESTING ACTIVITIES		
Purchase of property, plant and equipment and other intangible assets	(2,199.01)	(1,273.37)
Sale of property, plant and equipment	5.13	25.92
Payment for acquiring right-of-use assets	(297.07)	(172.24)
Purchase of non-current investments	(212.24)	(146.07)
Sale of non-current investments	0.50	376.61
Sale of current investments (net)	239.99	69.43
Purchase of term deposits (net)	(206.25)	(118.71)
Investment in Associate	-	(179.62)
Amount paid towards acquiring controlling stake in White Teak and Harind Chemicals and Pharmaceuticals Private Limited (net)	(75.00)	-
Payment of earnout	(37.71)	-
Interest received	135.49	87.15
Dividend received from Associate	108.37	42.78
Dividend received from others	20.17	13.48
Net Cash used in Investing activities	(2,517.63)	(1,274.64)

Consolidated Statement of Cash Flows (Contd.)

for the year ended 31st March, 2024

Particulars	(₹ in Crores)	
	Year 2023-24	Year 2022-23
(C) CASH FLOW FROM FINANCING ACTIVITIES		
Proceeds from non-current borrowings	5.91	94.00
Repayment of non-current borrowings	(14.17)	(15.55)
Proceeds from current borrowings (net)	94.98	159.76
Acceptances (net)	(83.65)	(8.97)
Amount infused by non-controlling shareholders in subsidiary	40.60	-
Repayment of principal portion of lease liabilities	(285.63)	(255.72)
Finance costs (including interest on lease liabilities) paid	(190.57)	(141.95)
Proceeds from ESOP Trust/(Purchase) of treasury shares by ESOP Trust (net)	0.91	(35.57)
Dividend paid (including dividend paid to non-controlling shareholders)	(2,550.88)	(1,936.05)
Net Cash used in Financing activities	(2,982.50)	(2,140.05)
(D) NET INCREASE IN CASH AND CASH EQUIVALENTS [A+B+C]	603.47	778.74
Add : Cash and cash equivalents as at 1 st April	3,054.33	2,283.29
Net effect of exchange (loss) on cash and cash equivalents	(30.85)	(7.70)
Cash and cash equivalents as at 31st March	3,626.95	3,054.33

Notes :

- (a) The above Consolidated Statement of Cash Flows has been prepared under the "Indirect Method" as set out in the Indian Accounting Standard (Ind AS 7) - Statement of Cash Flows.

Particulars	(₹ in Crores)	
	As at 31.03.2024	As at 31.03.2023
(b) Cash and Cash Equivalents comprises of :		
Cash on hand	1.05	0.38
Balances with Banks :		
- Current Accounts	558.59	341.98
- Cash Credit Accounts	11.05	81.78
- Deposits with original maturity of less than 3 months	166.40	58.38
Cheques, drafts on hand	92.25	40.58
Cash and cash equivalents	829.34	523.10
Add : Investments in Fixed Maturity Plans (with original maturity of less than 3 months)	-	111.57
Add : Investments in Liquid Mutual Funds	2,945.59	2,535.46
Add : Investments in Government Securities (with original maturity of less than 3 months)	12.13	-
Less : Loan repayable on demand - Cash Credit / Overdraft Accounts	(160.11)	(115.80)
Cash and cash equivalents in Consolidated Statement of Cash Flows	3,626.95	3,054.33

Consolidated Statement of Cash Flows (Contd.)

for the year ended 31st March, 2024

Details relating to changes in liabilities arising from financing activities :

(₹ in Crores)

Particulars	As at 31.03.2023	Cash flows	Pursuant to acquisition	Other Changes	Non-cash changes				As at 31.03.2024
					Net Additions	Fair value changes	Current/ Non-current classification	Foreign currency translation differences	
Borrowings - Non current (Refer note 15)	76.15	(8.26)	-	-	-	4.07	(17.86)	0.28	54.38
Borrowings - Current (Refer note 15)	896.06	94.98	13.86	35.70	-	4.18	17.86	(9.88)	1,052.76
Lease Liabilities (Refer note 16)	960.41	(285.63)	35.48	-	657.07	-	-	(0.09)	1,367.24
Other liabilities (Refer note 20)	44.46	-	-	-	-	(5.28)	-	-	39.18

(₹ in Crores)

Particulars	As at 31.03.2022	Cash Flows	Pursuant to acquisition	Other Changes	Non-cash changes				As at 31.03.2023
					Net Additions	Fair value changes	Current/ Non-current classification	Foreign currency translation differences	
Borrowings - Non current (Refer note 15)	44.54	78.45	-	-	-	(41.05)	-	(5.79)	76.15
Borrowings - Current (Refer note 15)	731.12	159.76	-	(27.18)	-	-	-	32.36	896.06
Lease Liabilities (Refer note 16)	811.22	(255.72)	-	-	407.91	-	-	(3.00)	960.41
Other liabilities (Refer note 20)	3.41	-	-	-	42.59	(1.54)	-	-	44.46

Material accounting policies and key accounting estimates and judgements (Refer note 1)

See accompanying notes to the Consolidated Financial Statements (Refer note 2-43)

As per our report of even date attached

For **Deloitte Haskins & Sells LLP**
Chartered Accountants
F.R.N : 117366W/W-100018

Rupen K. Bhatt
Partner
Membership No : 046930

Mumbai
9th May, 2024

For and on behalf of the Board of Directors of **Asian Paints Limited**
CIN : L24220MH1945PLC004598

R Seshasayee
Chairman
DIN : 00047985

Milind Sarwate
Chairman of Audit Committee
DIN : 00109854

Mumbai
9th May, 2024

Amit Syngle
Managing Director & CEO
DIN : 07232566

R J Jeyamurugan
CFO & Company Secretary

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Notes to the Consolidated Financial Statements

for the year ended 31st March, 2024

GROUP'S BACKGROUND

The Consolidated Financial Statements comprise financial statements of Asian Paints Limited ('the Parent' or 'the Parent Company') and its subsidiaries (collectively, 'the Group') and includes share of profit of the Associates for the year ended 31st March, 2024.

The Parent is a public limited Company domiciled and incorporated in India under the Indian Companies Act, 1913. The registered office of the Parent is located at 6A, Shantinagar, Santacruz East, Mumbai, India.

The Group is engaged in the business of manufacturing, selling and distribution of paints, coatings, products related to home décor, bath fittings, modular kitchen & accessories, decorative lighting, uPVC doors & windows and providing related services.

1. MATERIAL ACCOUNTING POLICIES AND KEY ACCOUNTING ESTIMATES AND JUDGEMENTS

Material Accounting Policies :

1.1. Basis of preparation of Consolidated Financial Statements

These financial statements are the Consolidated Financial Statements of the Group (also called **Consolidated Financial Statements**) prepared in accordance with Indian Accounting Standards ('Ind AS') notified under section 133 of the Companies Act 2013, read together with the Companies (Indian Accounting Standards) Rules, 2015 (as amended).

These Consolidated Financial Statements have been prepared and presented under the historical cost convention, on the accrual basis of accounting except for certain financial assets and financial liabilities that are measured at fair values at the end of each reporting period, as stated in the accounting policies set out below. The accounting policies have been applied consistently over all the periods presented in these Consolidated Financial Statements.

The Consolidated Financial Statements are presented in Indian Rupees (which is also the functional currency of the Parent Company) and is rounded off to the nearest crores except otherwise indicated. Amounts less than ₹ 50,000 have been presented as "#".

1.2. Application of New Accounting Pronouncements

The Group has applied the following Ind AS pronouncements pursuant to issuance of the Companies (Indian Accounting Standards) Amendment Rules, 2023 with effect from 1st April, 2023. The effect

is described below :

- a. Ind AS 1 – Presentation of Financial Statements – The amendment requires disclosure of material accounting policies instead of significant accounting policies. In the Consolidated Financial Statements the disclosure of accounting policies has been accordingly modified. The impact of such modifications to the accounting policies is insignificant.
- b. Ind AS 8 – Accounting Policies, Changes in Accounting Estimates and Errors – The amendment has defined accounting estimate as well as laid down the treatment of accounting estimate to achieve the objective set out by accounting policy. There is no impact of the amendment on the Consolidated Financial Statements.
- c. Ind AS 12 – Income taxes – the definition of deferred tax asset and deferred tax liability is amended to apply initial recognition exception on assets and liabilities that does not give rise to equal taxable and deductible temporary differences. There is no impact of the amendment on the Consolidated Financial Statements.

1.3. Current / Non-Current Classification

Any asset or liability is classified as current if it satisfies any of the following conditions :

- i. the asset/liability is expected to be realised/ settled in the Group's normal operating cycle;
- ii. the asset is intended for sale or consumption;
- iii. the asset/liability is held primarily for the purpose of trading;
- iv. the asset/liability is expected to be realised/ settled within twelve months after the reporting period;
- v. the asset is cash or cash equivalent unless it is restricted from being exchanged or used to settle a liability for at least twelve months after the reporting date;
- vi. in the case of a liability, the Group does not have an unconditional right to defer settlement of the liability for at least twelve months after the reporting date.

All other assets and liabilities are classified as non-current.

For the purpose of current/non-current classification of assets and liabilities, the Group has ascertained its normal operating cycle as twelve months. This is based on the nature of services

and the time between the acquisition of assets or inventories for processing and their realisation in cash and cash equivalents.

1.4. Summary of Material accounting policies

a) Business combinations

Business combinations are accounted for using the acquisition method under the provisions of Ind AS 103, Business Combinations. At the acquisition date, identifiable assets acquired and liabilities assumed are measured at fair value except deferred tax asset or liability and any liability or asset relating to employee benefit arrangements arising from a business combination are measured and recognised in accordance with the requirements of Ind AS 12, Income Taxes and Ind AS 19, Employee Benefits, respectively. For this purpose, the liabilities assumed include contingent liabilities representing present obligation and they are measured at their acquisition date fair values irrespective of the fact that outflow of resources embodying economic benefits is not probable. The consideration transferred is measured at fair value at the acquisition date and includes the fair value of any contingent consideration. Contingent consideration (earn out) is remeasured at fair value at each reporting date and changes in the fair value of the contingent consideration are recognised in the Consolidated Statement of Profit and Loss.

Where the consideration transferred exceeds the fair value of the net identifiable assets acquired and liabilities assumed, the excess is recorded as goodwill. Alternatively, in case of a bargain purchase wherein the consideration transferred is lower than the fair value of the net identifiable assets acquired and liabilities assumed, the Group after assessing fair value of all identified assets and liabilities, record the difference as a gain in other comprehensive income and accumulate the gain in equity as capital reserve. The transaction costs, other than costs relating to the issue of equity or debt securities in connection with a business combination are expensed as incurred.

In case of business combinations involving entities under common control, the above policy does not apply. Business combinations involving entities under common control are accounted for using the pooling of interests method. The net assets of the transferor entity or business are accounted at their carrying amounts on the date of the acquisition subject to necessary adjustments

required to harmonise accounting policies. Any excess or shortfall of the consideration paid over the share capital of transferor entity or business is recognised as capital reserve under equity.

b) Property, plant and equipment

Measurement at recognition :

An item of property, plant and equipment (PPE) that qualifies as an asset is measured on initial recognition at cost. Following initial recognition, items of PPE are carried at their cost less accumulated depreciation and accumulated impairment losses, if any. Item of PPE which reflects significant cost and has different useful life from the remaining part of PPE is recognised as a separate component.

The cost of an item of PPE comprises of its purchase price net of discounts, if any including import duties and other non-refundable taxes or levies and directly attributable cost of bringing the asset to its working condition for its intended use and the initial estimate of decommissioning, restoration and similar liabilities, if any. Cost includes cost of replacing a part of a plant and equipment if the recognition criteria are met. Expenses like plans, designs, and drawings of buildings or plant and machinery, borrowing cost on qualifying assets, directly attributable to new manufacturing facility during its construction period are capitalised under the relevant head of PPE if the recognition criteria are met.

Subsequent costs are included in the asset's carrying amount or recognised as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to the Group and the cost of the item can be measured reliably. The carrying amount of any component accounted for as a separate asset is derecognised when replaced.

Items such as spare parts, stand-by equipment and servicing equipment that meet the definition of PPE are capitalised at cost and depreciated over their useful life. Costs in nature of repairs and maintenance are recognised in the Consolidated Statement of Profit and Loss as and when incurred.

The Group had elected to consider the carrying value of all its PPE appearing in the Consolidated Financial Statements and used the same as deemed cost in the opening Ind AS Balance Sheet prepared on 1st April, 2015.

Notes to the Consolidated Financial Statements (Contd.)

Capital work in progress and Capital advances :

Cost of assets not ready for intended use, as on the Balance Sheet date, is shown as capital work in progress. Advances given towards acquisition of fixed assets outstanding at each Balance Sheet date are disclosed as Other Non-Current Assets.

Depreciation :

Depreciation on each part of an item / component of PPE is provided on pro-rata basis using the Straight-Line Method based on the expected useful life of the asset and is charged to the Consolidated Statement of Profit and Loss account as per the requirement of Schedule II of the Companies Act, 2013. The useful life has been assessed based on technical evaluation, taking into account the nature of the asset and the estimated usage basis management's best judgement of economic benefits from those classes of assets. The estimated useful life of items of PPE is mentioned below :

	Years
Factory Buildings	30 – 60
Buildings (other than factory buildings)	30 – 61
Plant and Equipment (including continuous process plants)*	4-21
Scientific research equipment*	8
Furniture and Fixtures	5-10
Office Equipment	4-8
Vehicles*	4-8
Tinting Systems	9

Freehold land is not depreciated. Leasehold improvements are amortised over the period of the lease.

*The useful life assessed by the Management is different than those indicated in Schedule II of the Companies Act, 2013.

The useful lives, residual values of each part of an item of PPE and the depreciation methods are reviewed at the end of each financial year. If any of these expectations differ from previous estimates, such change is accounted for as a change in an accounting estimate.

Derecognition :

The carrying amount of an item of PPE is derecognised on disposal or when no future economic benefits are expected from its use or disposal. The gain or loss arising from the derecognition of an item of PPE is measured as the difference between the net disposal proceeds and the carrying amount of the item and is recognised in the Consolidated Statement of Profit and Loss when the item is derecognised.

c) Goodwill and Other Intangible assets

Goodwill acquired in a business combination is initially measured at cost, being the excess of the consideration transferred over the net identifiable assets acquired and liabilities assumed, in accordance with Ind AS 103.

Intangible assets acquired separately are measured on initial recognition at cost. Intangible assets arising on acquisition of business are measured at fair value as at date of acquisition. Internally generated intangibles including research cost are expensed in the Consolidated Statement of Profit and Loss as incurred. Following initial recognition, intangible assets are carried at cost less accumulated amortisation and accumulated impairment loss, if any.

The Group had elected to consider the carrying value of all its intangible assets appearing in the Consolidated Financial Statements and used the same as deemed cost in the opening Ind AS Balance Sheet prepared on 1st April, 2015.

Amortisation :

Intangible Assets with finite lives are amortised on a Straight Line basis over the estimated useful economic life. The amortisation expense on intangible assets with finite lives is recognised in the Consolidated Statement of Profit and Loss. The estimated useful life of intangible assets is mentioned below :

	Years
Purchase cost, user license fees and consultancy fees for Computer Software (including those used for scientific research)	4
Acquired Trademark	5
Others include acquired Dealers network and non-compete fees	5-20

The amortisation period and the amortisation method for an intangible asset with finite useful life is reviewed at the end of each financial year. If any of these expectations differ from previous estimates, such change is accounted for as a change in an accounting estimate.

Goodwill and certain trademark acquired separately have indefinite useful life and are not subjected to amortisation. These are tested for impairment annually and whenever there is an indication that the asset may be impaired.

Derecognition :

The carrying amount of an intangible asset is derecognised on disposal or when no future economic benefits are expected from its use or disposal. The gain or loss arising from the derecognition of an intangible asset is measured as the difference between the net disposal proceeds and the carrying amount of the intangible asset and is recognised in the Consolidated Statement of Profit and Loss when the asset is derecognised.

d) Impairment

Assessment for impairment is done at each Balance Sheet date as to whether there is any indication that a non-financial asset may be impaired. Assets that have an indefinite useful life are not subject to amortisation and are tested for impairment annually and whenever there is an indication that the asset may be impaired. For the purpose of impairment testing, goodwill acquired in a business combination is allocated to each of the Group's cash generating units (CGUs) that are expected to benefit from the combination.

Assets that are subject to depreciation and amortisation and assets representing investments in subsidiary and associate companies are reviewed for impairment, whenever events or changes in circumstances indicate that carrying amount may not be recoverable. Such circumstances include, though are not limited to, significant or sustained decline in revenues or earnings and material adverse changes in the economic environment.

An impairment loss is recognised whenever the carrying amount of an asset or its CGU exceeds its recoverable amount. The recoverable amount of an asset is the greater of its fair value less cost to sell and value in use. To calculate value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market rates and the risk specific to the asset. For an asset that does not generate largely independent cash inflows, the recoverable amount is determined for the CGU to which the asset belongs. Fair value less cost to sell is the best estimate of the amount obtainable from the sale of an asset in an arm's length transaction between knowledgeable, willing parties, less the cost of disposal.

Impairment losses, if any, are recognised in the Consolidated Statement of Profit and Loss and included in depreciation and amortisation expense. Impairment losses, on assets other than goodwill are reversed in the Consolidated Statement of Profit and Loss only to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined if no impairment loss had previously been recognised.

e) Revenue

Revenue from contracts with customers is recognised on transfer of control of promised goods or services to a customer at an amount that reflects the consideration to which the Group is expected to be entitled to in exchange for those goods or services. It is measured at transaction price (net of variable consideration on account of various discounts and schemes offered by the Group as part of the contract) allocated to that performance obligation. This variable consideration is estimated based on the expected value of outflow. Revenue (net of variable consideration) is recognised only to the extent that it is highly probable that the amount will not be subject to significant reversal when uncertainty relating to its recognition is resolved.

Sale of products :

Revenue from sale of products is recognised when the control on the goods have been transferred to the customer. The performance obligation in case of sale of product is satisfied at a point in time i.e., when the material is shipped to the customer or on delivery to the customer, as may be specified in the contract.

Rendering of services :

Revenue from services is recognised over time by measuring progress towards satisfaction of performance obligation for the services rendered. The Group uses output method for measurement of revenue from décor services / painting and related services and royalty income as it is based on milestone reached or units delivered. Input method is used for measurement of revenue from processing and other service as it is directly linked to the expense incurred by the Group.

Advance from customers is recognised under other liabilities and released to revenue on satisfaction of performance obligation.

Notes to the Consolidated Financial Statements (Contd.)

f) Government grants and subsidies

Recognition and Measurement :

The Group recognises grant as income when there is a reasonable assurance that the Group will comply with all necessary conditions attached to them and the grant will be received in accordance with Ind AS 20, Accounting for Government Grants and Disclosure of Government Assistance.

The Parent Company is entitled to certain non-refundable subsidies from government in respect of manufacturing units located in specified regions which are measured at amounts receivable from the government.

The Parent Company has received refundable government loans at below-market rate of interest which are accounted in accordance with the recognition and measurement principles of Ind AS 109, Financial Instruments. The benefit of below-market rate of interest is measured as the difference between the initial carrying value of loan determined in accordance with Ind AS 109 and the proceeds received.

Income from such benefits is recognised on a systematic basis over the period in which the related costs that are intended to be compensated by such grants are recognised.

Presentation :

Income from the above grants and subsidies are presented under Revenue from Operations.

g) Inventory

Raw materials, work-in-progress, finished goods, packing materials, stores, spares, components, consumables and stock-in-trade are carried at the lower of cost and net realizable value. However, materials and other items held for use in production of inventories are not written down below cost if the finished goods in which they will be incorporated are expected to be sold at or above cost. Net realizable value is the estimated selling price in the ordinary course of business less estimated cost of completion and estimated costs necessary to make the sale.

Cost of inventory is determined on a weighted average basis. Cost of inventory comprises all costs of purchase, non-refundable duties and taxes, cost of conversion including an appropriate share of fixed and variable production overheads and all other costs incurred in bringing the inventory to their present location and condition.

The Group considers factors like estimated shelf life, product discontinuances and ageing of inventory in determining the provision for slow moving, obsolete and other non-saleable inventory and adjusts the inventory provisions to reflect the recoverable value of inventory.

h) Financial Instruments

A financial instrument is a contract that gives rise to a financial asset of one entity and a financial liability or equity instrument of another entity.

Financial assets

Initial recognition and measurement :

All financial assets are recognised initially at fair value, plus in the case of financial assets not recorded at fair value through profit or loss (FVTPL), transaction costs that are attributable to the acquisition of the financial asset. However, trade receivables that do not contain a significant financing component are measured at transaction price.

Where the fair value of a financial asset at initial recognition is different from its transaction price, the difference between the fair value and the transaction price is recognised as a gain or loss in the Consolidated Statement of Profit and Loss at initial recognition if the fair value is determined through a quoted market price in an active market for an identical asset (i.e. level 1 input) or through a valuation technique that uses data from observable markets (i.e. level 2 input).

In case the fair value is not determined using a level 1 or level 2 input as mentioned above, the difference between the fair value and transaction price is deferred appropriately and recognised as a gain or loss in the Consolidated Statement of Profit and Loss only to the extent that such gain or loss arises due to a change in factor that market participants take into account when pricing the financial asset.

Subsequent measurement :

For subsequent measurement, the group classifies a financial asset in accordance with the below criteria :

- i. The Group's business model for managing the financial asset and
- ii. The contractual cash flow characteristics of the financial asset.

Based on the above criteria, the Group classifies its financial assets into the following categories :

i. Financial assets measured at amortised cost

A financial asset is measured at the amortised cost if both the following conditions are met :

- a. The Group's business model objective for managing the financial asset is to hold financial assets in order to collect contractual cash flows, and
- b. The contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

This category applies to cash and bank balances, trade receivables, loans and other financial assets of the Group (Refer note 29 for further details). Such financial assets are subsequently measured at amortised cost using the effective interest method. The effect of the amortisation under effective interest method is recognised as interest income over the relevant period of the financial asset under other income in the Consolidated Statement of Profit and Loss. The amortised cost of a financial asset is also adjusted for loss allowance, if any.

ii. Financial assets measured at fair value through other comprehensive income (FVTOCI)

A financial asset is measured at FVTOCI if both of the following conditions are met :

- a. The Group's business model objective for managing the financial asset is achieved both by collecting contractual cash flows and selling the financial assets, and
- b. The contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding

This category applies to certain investments in debt instruments (Refer note 29 for further details). Such financial assets are subsequently measured at fair value at each reporting date. Fair value changes are recognised in the Other Comprehensive Income (OCI). However, the Group recognises interest income and impairment losses and its reversals in the Consolidated Statement of Profit and Loss.

On derecognition of such financial assets, cumulative gain or loss previously recognised in OCI is reclassified from equity to Consolidated Statement of Profit and Loss.

Further, the Group, through an irrevocable election at initial recognition, has measured certain investments in equity instruments at FVTOCI (Refer note 29 for further details). The Group has made such election on an instrument by instrument basis. These equity instruments are neither held for trading nor are contingent consideration recognised under a business combination. Pursuant to such irrevocable election, subsequent changes in the fair value of such equity instruments are recognised in OCI. However, the Group recognises dividend income from such instruments in the Consolidated Statement of Profit and Loss when the right to receive payment is established, it is probable that the economic benefits will flow to the Group and the amount can be measured reliably.

On derecognition of such financial assets, cumulative gain or loss previously recognised in OCI is not reclassified from the equity to Consolidated Statement of Profit and Loss. However, the Group may transfer such cumulative gain or loss into retained earnings within equity.

iii. Financial assets measured at fair value through profit or loss (FVTPL)

A financial asset is measured at FVTPL unless it is measured at amortised cost or at FVTOCI as explained above. This is a residual category applied to all other investments of the Group excluding investments in subsidiary and associate companies (Refer note 29 for further details). Such financial assets are subsequently measured at fair value at each reporting date. Fair value changes are recognised in the Consolidated Statement of Profit and Loss.

Derecognition :

- i. A financial asset is derecognised when the right to receive cash flows from the assets has expired, or has been transferred, and the Group has transferred substantially all of the risks and rewards of ownership.

In cases where Group has neither transferred nor retained substantially all of the risks and rewards

Notes to the Consolidated Financial Statements (Contd.)

of the financial asset, but retains control of the financial asset, the Group continues to recognise such financial asset to the extent of its continuing involvement in the financial asset. In that case, the Group also recognises an associated liability. The financial asset and the associated liability are measured on a basis that reflects the rights and obligations that the Group has retained.

On derecognition of a financial asset, (except as mentioned in (ii) above for financial assets measured at FVTOCI), the difference between the carrying amount and the consideration received is recognised in the Consolidated Statement of Profit and Loss.

Impairment of financial assets :

The Group applies expected credit losses (ECL) model for measurement and recognition of loss allowance on the following :

- i. Trade receivables
- ii. Financial assets measured at amortised cost (other than trade receivables)
- iii. Financial assets measured at fair value through other comprehensive income (FVTOCI)

In case of trade receivables, the Group follows a simplified approach wherein an amount equal to lifetime ECL is measured and recognised as loss allowance.

In case of other assets (listed as (ii) and (iii) above), the Group determines if there has been a significant increase in credit risk of the financial asset since initial recognition. If the credit risk of such assets has not increased significantly, an amount equal to 12-month ECL is measured and recognised as loss allowance. However, if credit risk has increased significantly, an amount equal to lifetime ECL is measured and recognised as loss allowance.

Subsequently, if the credit quality of the financial asset improves such that there is no longer a significant increase in credit risk since initial recognition, the Group reverts to recognizing impairment loss allowance based on 12-month ECL.

ECL are measured in a manner that they reflect unbiased and probability weighted amounts determined by a range of outcomes, taking into account the time value of money and other reasonable information available as a result of past events, current conditions and forecasts of future economic conditions.

As a practical expedient, the Group uses a provision matrix to measure lifetime ECL on its portfolio of trade receivables. The provision matrix is prepared based on historically observed default rates over the expected life of trade receivables and is adjusted for forward-looking estimates. At each reporting date, the historically observed default rates and changes in the forward-looking estimates are updated.

ECL impairment loss allowance (or reversal) recognised during the period is recognised as income/ expense in the Consolidated Statement of Profit and Loss.

Financial Liabilities

Initial recognition and measurement :

The Group recognises a financial liability in its Balance Sheet when it becomes party to the contractual provisions of the instrument. All financial liabilities are recognised initially at fair value minus, in the case of financial liabilities not recorded at fair value through profit or loss (FVTPL), transaction costs that are attributable to the acquisition of the financial liability.

Where the fair value of a financial liability at initial recognition is different from its transaction price, the difference between the fair value and the transaction price is recognised as a gain or loss in the Consolidated Statement of Profit and Loss at initial recognition if the fair value is determined through a quoted market price in an active market for an identical asset (i.e. level 1 input) or through a valuation technique that uses data from observable markets (i.e. level 2 input).

In case the fair value is not determined using a level 1 or level 2 input as mentioned above, the difference between the fair value and transaction price is deferred appropriately and recognised as a gain or loss in the Consolidated Statement of Profit and Loss only to the extent that such gain or loss arises due to a change in factor that market participants take into account when pricing the financial liability.

Subsequent measurement :

All financial liabilities of the Group are subsequently measured at amortised cost using the effective interest method (Refer note 29 for further details). The cumulative amortisation using the effective interest method of the difference between the initial recognition amount and the maturity amount is added to the initial recognition value (net of principal repayments, if any) of the financial liability over the relevant period of the financial liability to arrive at the amortised cost at each reporting date.

The corresponding effect of the amortisation under effective interest method is recognised as interest expense under finance cost in the Consolidated Statement of Profit and Loss.

Derecognition :

A financial liability is derecognised when the obligation under the liability is discharged or cancelled or expires. When an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as the derecognition of the original liability and the recognition of a new liability. The difference between the carrying amount of the financial liability derecognised and the consideration paid is recognised in the Consolidated Statement of Profit and Loss.

Offsetting of financial assets and financial liabilities :

Financial assets and financial liabilities are offset and the net amount is reported in the Balance Sheet wherever there is a currently enforceable legal right to offset the recognised amounts and there is an intention to settle on a net basis or to realise the asset and settle the liability simultaneously.

i) Derivative financial instruments

The Group enters into derivative financial contracts in the nature of forward currency contracts with external parties to hedge its foreign currency risks relating to foreign currency denominated financial liabilities measured at amortised cost.

The Group formally establishes a hedge relationship between such forward currency contracts ('hedging instrument') and recognised financial liabilities ('hedged item') through a formal documentation at the inception of the hedge relationship in line with the Group's risk management objective and strategy.

The hedge relationship so designated is accounted for in accordance with the accounting principles prescribed for a fair value hedge under Ind AS 109, Financial Instruments.

Recognition and measurement of fair value hedge :

Hedging instrument is initially recognised at fair value on the date on which a derivative contract is entered into and is subsequently measured at fair value at each reporting date. Gain or loss arising from changes in the fair value of hedging

instrument is recognised in the Consolidated Statement of Profit and Loss. Hedging instrument is recognised as a financial asset in the Balance Sheet if its fair value as at reporting date is positive as compared to carrying value and as a financial liability if its fair value as at reporting date is negative as compared to carrying value.

Hedged item (recognised financial liability) is initially recognised at fair value on the date of entering into contractual obligation and is subsequently measured at amortised cost. The hedging gain or loss on the hedged item is adjusted to the carrying value of the hedged item as per the effective interest method and the corresponding effect is recognised in the Consolidated Statement of Profit and Loss.

The Group also enters into forward contracts to purchase an additional stake in equity capital in some of its investments in associate company. Such derivatives are recognised in its Balance Sheet when the Group becomes party to contractual provisions of the instrument. These derivatives are initially recognised at fair value when the contract is entered. Derivative contracts are remeasured at fair value at the end of each reporting period and changes are recognised in Consolidated Statement of Profit and Loss.

Derecognition :

On Derecognition of the hedged item, the unamortised fair value of the hedging instrument adjusted to the hedged item, is recognised in the Consolidated Statement of Profit and Loss

j) Fair Value

The Group measures financial instruments at fair value in accordance with the accounting policies mentioned above. Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either :

- In the principal market for the asset or liability, or
- In the absence of a principal market, in the most advantageous market for the asset or liability.

All assets and liabilities for which fair value is measured or disclosed in the Consolidated

Notes to the Consolidated Financial Statements (Contd.)

Financial Statements are categorised within the fair value hierarchy that categorizes into three levels, described as follows, the inputs to valuation techniques used to measure value. The fair value hierarchy gives the highest priority to quoted prices in active markets for identical assets or liabilities (Level 1 inputs) and the lowest priority to unobservable inputs (Level 3 inputs).

Level 1 — quoted (unadjusted) market prices in active markets for identical assets or liabilities.

Level 2 — inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly or indirectly

Level 3 — inputs that are unobservable for the asset or liability.

For assets and liabilities that are recognised in the Consolidated Financial Statements at fair value on a recurring basis, the Group determines whether transfers have occurred between levels in the hierarchy by re-assessing categorisation at the end of each reporting period and discloses the same.

k) Foreign Currency Translation

Initial Recognition :

On initial recognition, transactions in foreign currencies entered into by the Group are recorded in the functional currency, by applying to the foreign currency amount, the spot exchange rate between the functional currency and the foreign currency at the date of the transaction.

Measurement of foreign currency items at reporting date :

Foreign currency monetary items of the Group are translated at the closing exchange rates. Non-monetary items that are measured at historical cost in a foreign currency, are translated using the exchange rate at the date of the transaction. Non-monetary items that are measured at fair value in a foreign currency, are translated using the exchange rates at the date when the fair value is measured.

Exchange differences arising out of foreign exchange translations and settlements during the year are recognised in the Consolidated Statement of Profit and Loss.

Translation of financial statements of foreign entities

On consolidation, the assets and liabilities of foreign operations are translated into ₹ (Indian

Rupees) at the exchange rate prevailing at the reporting date and their statements of profit and loss are translated at exchange rates prevailing at the dates of the transactions. For practical reasons, the group uses an average rate to translate income and expense items, if the average rate approximates the exchange rates at the dates of the transactions. The exchange differences arising on translation for consolidation are recognised in Consolidated Statement of OCI. On disposal of a foreign operation, the component of OCI relating to that particular foreign operation is reclassified to Consolidated Statement of Profit and Loss.

Any goodwill arising in the acquisition/ business combination of a foreign operation on or after adoption of Ind AS 103, Business Combination, and any fair value adjustments to the carrying amounts of assets and liabilities arising on the acquisition are treated as assets and liabilities of the foreign operation and translated at the spot rate of exchange at the reporting date.

Any goodwill or fair value adjustments arising in business combinations/ acquisitions, which occurred before the date of adoption of Ind AS 103, Business Combination, are treated as assets and liabilities of the entity rather than as assets and liabilities of the foreign operation. Therefore, those assets and liabilities are non-monetary items already expressed in the functional currency of the parent and no further translation differences occur.

l) Income Taxes

Tax expense is the aggregate amount included in the determination of consolidated profit or loss for the period in respect of current tax and deferred tax.

Current tax :

Current tax is the amount of income taxes payable in respect of taxable profit for a period. Taxable profit differs from 'profit before tax' as reported in the Consolidated Statement of Profit and Loss because of items of income or expense that are taxable or deductible in other years and items that are never taxable or deductible in accordance with the applicable tax laws.

Current tax is measured using tax rates that have been enacted by the end of reporting period for the amounts expected to be recovered from or paid to the taxation authorities.

Deferred tax :

Deferred tax is recognised on temporary differences between the carrying amounts of assets and liabilities in the Consolidated Financial Statements and the corresponding tax bases used in the computation of taxable profit in accordance with the applicable tax laws.

Deferred tax assets and liabilities are generally recognised for all deductible and taxable temporary differences respectively. However, in case of temporary differences that arise from initial recognition of assets or liabilities in a transaction (other than business combination) that affect neither the taxable profit nor the accounting profit or does not give rise to equal taxable and deductible temporary differences, deferred tax assets or liabilities are not recognised. Also, for temporary differences if any that may arise from initial recognition of goodwill, deferred tax liabilities are not recognised.

Deferred tax assets are recognised to the extent it is probable that taxable profits will be available against which those deductible temporary difference can be utilised.

The carrying amount of deferred tax assets is reviewed at the end of each reporting period and reduced to the extent that it is no longer probable that sufficient taxable profits will be available to allow the benefits of part or all of such deferred tax assets to be utilised.

Deferred tax assets and liabilities are measured at the tax rates that have been enacted or substantively enacted by the Balance Sheet date and are expected to apply to taxable income in the years in which those temporary differences are expected to be recovered or settled.

Uncertain tax positions :

The management periodically evaluates positions taken in the tax returns with respect to situations in which applicable tax regulations are subject to interpretation and considers whether it is probable that a taxation authority will accept an uncertain tax treatment. The Group reflects the effect of uncertainty for each uncertain tax treatment by using one of two methods, the expected value method (the sum of the probability - weighted amounts in a range of possible outcomes) or the most likely amount (single most likely amount method in a range of possible outcomes), depending on which is expected to better predict the resolution of the uncertainty. The Group

applies consistent judgements and estimates if an uncertain tax treatment affects both the current and the deferred tax.

Presentation of current and deferred tax :

Current and deferred tax are recognised as income or an expense in the Consolidated Statement of Profit and Loss, except when they relate to items that are recognised in Other Comprehensive Income, in which case, the current and deferred tax income/expense are recognised in Other Comprehensive Income.

The Group offsets tax assets and liabilities, where it has a legally enforceable right to set off the recognised amounts and where it intends either to settle on a net basis, or to realize the asset and settle the liability simultaneously.

m) Provisions and Contingencies

The Group recognises provisions when a present obligation (legal or constructive) as a result of a past event exists and it is probable that an outflow of resources will be required and the amount of outflow can be reliably estimated.

If the effect of time value of money is material, provisions are discounted using a current pre-tax rate that reflects, when appropriate, the risks specific to the liability. When discounting is used, the increase in the provision due to the passage of time is recognised as a finance cost.

A disclosure for a contingent liability is made when there is a possible obligation or a present obligation that may, but probably will not require an outflow of resources or the amount of such outflow cannot be measured reliably. When there is a possible obligation or a present obligation in respect of which likelihood of outflow of resources is remote, no provision or disclosure is made.

n) Measurement of EBITDA

The Group has opted to present earnings before interest (finance cost), tax, depreciation and amortisation (EBITDA) as a separate line item on the face of the Consolidated Statement of Profit and Loss for the period. The Group measures EBITDA based on consolidated profit/(loss) from continuing operations.

o) Cash and Cash Equivalents

Cash and cash equivalents for the purpose of Statement of Cash Flows comprise cash and cheques in hand, bank balances, demand deposits

Notes to the Consolidated Financial Statements (Contd.)

with banks where the original maturity is three months or less and other short term highly liquid investments net of bank overdrafts which are repayable on demand as these form an integral part of the Group's cash management.

p) Employee Benefits

Short Term Employee Benefits :

All employee benefits payable wholly within twelve months of rendering the service are classified as short term employee benefits and they are recognised in the period the employee renders the related service.

Post-Employment Benefits :

I. Defined contribution plans :

Defined contribution plans are post-employment benefit plans under which the Group pays fixed contributions into state managed retirement benefit schemes and will have no legal or constructive obligation to pay further contributions, if any, if the state managed funds do not hold sufficient assets to pay all employee benefits relating to employee services in the current and preceding financial years. The Group's contributions to defined contribution plans are recognised in the Consolidated Statement of Profit and Loss in the financial year to which they relate. The Parent Company and its Indian subsidiaries operate defined contribution plans pertaining to Employee State Insurance Scheme and Government administered Pension Fund Scheme for all applicable employees and the Parent Company operates a Superannuation scheme for eligible employees. A few Indian Subsidiaries also operate Defined Contribution Plans pertaining to Provident Fund Scheme.

Recognition and measurement of defined contribution plans :

The Group recognises contribution payable to a defined contribution plan as an expense in the Consolidated Statement of Profit and Loss when the employees render services. If the contributions payable for services received from employees before the reporting date exceeds the contributions already paid, the deficit payable is recognised as a liability after deducting the contribution already paid. If

the contribution already paid exceeds the contribution due for services received before the reporting date, the excess is recognised as an asset to the extent that the prepayment will lead to a reduction in future payments or a cash refund.

II. Defined benefit plans :

i) Provident fund scheme :

The Parent Company makes specified monthly contributions towards Employee Provident Fund scheme to a separate trust administered by the Parent Company. The minimum interest payable by the trust to the beneficiaries is being notified by the Government every year. The Parent Company has an obligation to make good the shortfall, if any, between the return on investments of the trust and the notified interest rate.

ii) Gratuity scheme :

The Parent Company, its Indian subsidiaries and some of its foreign subsidiaries operate a gratuity scheme for employees. The contribution is paid to a separate entity (a fund) or to a financial institution, towards meeting the Gratuity obligations.

iii) Pension Scheme and Leaving indemnity Plan :

The Parent Company and some of its foreign subsidiaries operate a pension and leaving indemnity plan for certain specified employees and is payable upon the employee satisfying certain conditions as approved by the Board of Directors.

iv) Post-Retirement Medical benefit plan :

The Parent Company and some of its foreign subsidiaries operate a post-retirement medical benefit plan for certain specified employees and is payable upon the employee satisfying certain conditions.

Recognition and measurement of defined benefit plans :

The cost of providing defined benefits is determined using the Projected Unit Credit method with actuarial valuations being

carried out at each reporting date. The defined benefit obligations recognised in the Consolidated Balance Sheet represent the present value of the defined benefit obligations as reduced by the fair value of plan assets, if applicable. Any defined benefit asset (negative defined benefit obligations resulting from this calculation) is recognised representing the present value of available refunds and reductions in future contributions to the plan.

All expenses represented by current service cost, past service cost, if any, and net interest on the defined benefit liability (asset) are recognised in the Consolidated Statement of Profit and Loss. Remeasurements of the net defined benefit liability (asset) comprising actuarial gains and losses and the return on the plan assets (excluding amounts included in net interest on the net defined benefit liability/asset), are recognised in Other Comprehensive Income. Such remeasurements are not reclassified to the Consolidated Statement of Profit and Loss in the subsequent periods.

The Group presents the above liability/ (asset) as current and non-current in the Balance Sheet as per actuarial valuation by the independent actuary; however in case of the Parent entity of the group, entire liability towards gratuity is considered as current as the Parent entity will contribute this amount to the gratuity fund within the next twelve months.

Other Long Term Employee Benefits :

Entitlements to deferred incentives, annual leave and sick leave are recognised when they accrue to employees. Sick leave can only be availed while annual leave can either be availed or encashed subject to a restriction on the maximum number of accumulation of leave. The Group determines the liability for such accumulated leaves using the Projected Accrued Benefit method with actuarial valuations being carried out at each Balance Sheet date. Expenses related to other long term employee benefits are recognised in the Consolidated Statement of Profit and Loss (including actuarial gain and loss).

q) Share based Payments :

The Parent Company operates equity settled share-based plan for the employees (Referred to as employee stock option plan (ESOP). ESOP granted to the employees are measured at fair value of the stock options at the grant date. Such fair value of the equity settled share based payments is expensed on a straight line basis over the vesting period, based on the Parent Company's estimate of equity shares that will eventually vest, with a corresponding increase in equity (employee stock option reserve). At the end of each reporting period, the Parent Company revises its estimate of number of equity shares expected to vest. The impact of the revision of the original estimates, if any, is recognised in the Consolidated Statement of profit and loss such that cumulative expense reflects the revision estimate, with a corresponding adjustments to the employee stock option reserve.

One of the subsidiaries of the Group has entered into an agreement wherein the consideration for services taken will be paid through an equity-settled share-based arrangement upon achievement of the agreed milestones. Such equity-settled share-based payment is measured as per the fair value of the equity instruments granted as the fair value of service received cannot be measured reliably. The fair value of equity settled share based payment is recognised as capital work in progress as the same is related to property, plant and equipment along with a corresponding increase in the equity (Share based Payment Reserve).

r) Treasury shares :

The Group has created an ESOP Trust (Asian Paints Employees Stock Ownership Trust) which acts as a vehicle to execute its ESOP plan. The ESOP trust is considered as an extension of the Parent Company and the shares held by the ESOP trust are treated as Treasury shares. The ESOP Trust purchases Parent Company's share from secondary market for issuance to the employees on exercise of the granted stock options. These shares are recognised at cost and is disclosed separately as reduction from Other Equity as treasury shares. No gain or loss is recognised in the Consolidated Statement of Profit and Loss on purchase, sale, issuance, or cancellation of treasury shares.

Notes to the Consolidated Financial Statements (Contd.)

Any consideration paid or received is directly recognised in treasury shares in Other Equity.

s) Lease accounting

Assets taken on lease :

The Group mainly has lease arrangements for land and building for offices, warehouse spaces, retail stores, vehicles and others.

The Group assesses whether a contract is or contains a lease, at inception of a contract in accordance with Ind AS 116. The assessment involves the exercise of judgement about whether (i) the contract involves the use of an identified asset, (ii) the Group has substantially all the economic benefits from the use of the asset through the period of the lease, and (iii) the Group has the right to direct the use of the asset.

The Group recognises a right-of-use asset ("ROU") and a corresponding lease liability at the lease commencement date. The ROU asset is initially recognised at cost, which comprises the initial amount of the lease liability adjusted for any lease payments made at or before the commencement date, plus any initial direct costs incurred. They are subsequently measured at cost less accumulated depreciation and impairment losses.

The ROU asset is depreciated using the straight-line method from the commencement date to the earlier of, the end of the useful life of the ROU asset or the end of the lease term or useful life of the underlying asset if the Group expects to exercise a purchase option in the lease. The estimated useful lives of ROU assets are determined on the same basis as those of property and equipment. In addition, the right-of-use asset is periodically reduced by impairment losses, if any, and adjusted for certain re-measurements of the lease liability.

The lease liability is initially measured at the present value of the lease payments that are not paid at the commencement date, generally discounted using an incremental borrowing rate specific to the Group, term and currency of the contract.

Lease payments included in the measurement of the lease liability include fixed payments, variable lease payments that depend on an index or a rate known at the commencement date; and extension option payments or purchase options payment which the Group is reasonably certain to exercise.

Variable lease payments that do not depend on an index or rate are recognised as an expense in the period in which the event or condition that triggers those payments occurs and are included in the line "other expenses" in the Consolidated Statement of Profit and Loss.

After the commencement date, the amount of lease liabilities is increased to reflect the accretion of interest and reduced for the lease payments made and remeasured (with a corresponding adjustment to the related ROU asset) when there is a change in future lease payments in case of renegotiation, changes of an index or rate or in case of reassessment of options.

Short-term leases and leases of low-value assets

The Group has elected not to recognise ROU assets and lease liabilities for short term leases as well as low value assets and recognises the lease payments associated with these leases as an expense on a straight-line basis over the lease term.

t) Borrowing Cost

Borrowing cost includes interest, amortisation of ancillary costs incurred in connection with the arrangement of borrowings and exchange differences arising from foreign currency borrowings to the extent they are regarded as an adjustment to the interest cost.

Borrowing costs, if any, directly attributable to the acquisition, construction or production of an asset that necessarily takes a substantial period of time to get ready for its intended use or sale are capitalised, if any. All other borrowing costs are expensed in the period in which they occur.

u) Segment Reporting

Operating segments are reported in a manner consistent with the internal reporting provided to the Chief Operating Decision Maker (CODM) of the Group. The CODM is responsible for allocating resources and assessing performance of the operating segments of the Group.

v) Events after reporting date

Where events occurring after the Balance Sheet date provide evidence of conditions that existed at the end of the reporting period, the impact of such events is adjusted within the Consolidated Financial Statements. Otherwise, events after the

Balance Sheet date of material size or nature are only disclosed.

w) Investment in associate companies

An associate is an entity over which the Group has significant influence as defined under Ind AS 28, Investments in Associates and Joint Ventures.

The Group's investments in its associate is accounted for using the equity method. Goodwill relating to the associate is included in the carrying amount of the investment and is not tested for impairment individually.

The financial statements of the associate are prepared for the same reporting period as the Group. When necessary, adjustments are made to bring the accounting policies in line with those of the Group.

After application of the equity method, the Group determines whether it is necessary to recognise an impairment loss on its investment in its associate. At each reporting date, the Group determines whether there is objective evidence that the investment in the associate is impaired. If there is such evidence, the Group calculates the amount of impairment as the difference between the recoverable amount of the associate and its carrying value, and then recognises the loss as 'Share of profit in associate' in the Consolidated Statement of Profit and Loss.

Upon loss of significant influence over the associate, the Group measures and recognises any retained investment at its fair value. Any difference between the carrying amount of the associate upon loss of significant influence or joint control and the fair value of the retained investment and proceeds from disposal is recognised in Consolidated Profit and Loss.

x) Basis of Consolidation

The Consolidated Financial Statements comprise the financial statements of the Parent Company and its subsidiaries.

The Parent Company consolidates all the entities where control exists as per Ind AS 110, Consolidated Financial Statements from the date control commences until the date control ceases. Generally, there is a presumption that a majority of voting rights result in control. To support this presumption and when the Parent

Company has less than a majority of the voting or similar rights of an investee, the Parent Company considers all relevant facts and circumstances in assessing whether it has power over an investee, including :

- The contractual arrangement with the other vote holders of the investee,
- Rights arising from other contractual arrangements,
- The Parent Company's voting rights and potential voting rights,
- The size of the Parent Company's holding of voting rights relative to the size and dispersion of the holdings of the other voting rights holders.

The Parent Company re-assesses whether or not it controls an investee if facts and circumstances indicate that there are changes to one or more of the three elements of control. Assets, liabilities, income and expenses of a subsidiary acquired or disposed off during the year are included in the Consolidated Financial Statements from the date the Parent Company gains control until the date the Parent Company ceases to control the subsidiary. Consolidated Financial Statements are prepared using uniform accounting policies for like transactions and other events in similar circumstances.

The financial statements of all entities used for the purpose of consolidation are drawn up to same reporting date as that of the Parent Company, i.e., year ended on 31st March.

The Consolidated Financial Statements of the Group have been combined on a line-by-line basis, after fully eliminating intra-group balances, and intra-group transactions and resulting unrealised profits. Unrealised losses resulting from intra-group transactions are not eliminated unless cost cannot be recovered. Ind AS 12, Income Taxes applies to temporary differences that arise from the elimination of profits and losses resulting from intragroup transactions.

Consolidated Profit or loss and each component of other comprehensive income (OCI) are attributed to the owners of the Group and to the non-controlling interests, even if this results in the non-controlling interests having a deficit balance.

A change in the ownership interest of a subsidiary, without a loss of control, is accounted for as an equity transaction. Any difference between the

Notes to the Consolidated Financial Statements (Contd.)

amount at which the non- controlling interest are adjusted and the fair value of the consideration paid or received is recognised directly in equity and attributed to shareholders of the Group.

The payments related to forward contracts entered/ options issued by the Group over the non-controlling interests in its subsidiaries are accounted as financial liabilities and initially recognised at the estimated present value of gross obligations. Such forward contracts/ options are subsequently measured at fair value in order to reflect the amount payable under the option at the date at which it becomes exercisable. In the event that the option expires un-exercised, the liability is de-recognised.

y) Earnings Per Share (EPS)

Basic earnings per share is calculated by dividing the net profit attributable to the equity shareholders of the Parent Company with the weighted average number of equity shares outstanding during the financial year, adjusted for treasury shares.

Diluted Earnings per share is calculated by dividing net profit attributable to the equity shareholders of the Parent Company with the weighted average number of shares outstanding during the financial year, adjusted for effects of diluting potential equity shares towards ESOP plan.

z) Exceptional items :

An ordinary item of income or expense which by its size, nature, occurrence or incidence requires a disclosure in order to improve understanding of the performance of the Group is treated as an exceptional item in the Consolidated Statement of Profit and Loss.

1.5. Key accounting estimates and judgements

The preparation of the Consolidated Financial Statements requires the management to make judgements, estimates and assumptions that affect the reported amounts of revenues, expenses, assets and liabilities, and the accompanying disclosures, and the disclosure of contingent liabilities. Uncertainty about these assumptions and estimates could result in outcomes that require a material adjustment to the carrying amount of assets or liabilities effected in future periods.

Critical accounting estimates and assumptions

The key assumptions concerning the future and other key sources of estimation uncertainty at the reporting date, that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year, are described below :

a) Income taxes

Significant judgements are involved in estimating budgeted profits for the purpose of paying advance tax, determining the provision for income taxes, including amount expected to be paid/ recovered for uncertain tax positions (Refer note 9).

b) Business combinations and intangible assets

Business combinations are accounted for using Ind AS 103, Business Combinations. Ind AS 103 requires the identifiable intangible assets and contingent consideration to be fair valued in order to ascertain the net fair value of identifiable assets, liabilities and contingent liabilities of the acquiree. Significant estimates are required to be made in determining the value of contingent consideration and intangible assets. These valuations are conducted by independent valuation experts.

c) Property, plant and equipment

Property, plant and equipment represent a significant proportion of the asset base of the Group. The charge in respect of periodic depreciation is derived after determining an estimate of an asset's expected useful life and the expected residual value at the end of its life. The useful lives and residual values of Group's assets are determined by the management at the time the asset is acquired and reviewed periodically, including at each financial year end. The lives are based on historical experience with similar assets as well as anticipation of future events, the usage of the asset, expected physical wear and tear, the operating conditions of the asset, anticipated technological changes or a change in market demand of the product or service output of the asset, manufacturers warranties and maintenance support, etc.

d) Impairment of Goodwill and other intangible assets with indefinite useful life

Goodwill and other intangible assets with indefinite useful life are tested for impairment on an annual basis and whenever there is an indication that the recoverable amount of a cash generating unit is less than its carrying amount based on a number of factors including operating results, business plans, future cash flows and economic conditions. The recoverable amount of cash generating units is determined based on higher of value-in-use and fair value less cost to sell. The goodwill impairment test is performed at the level of the cash-generating unit or groups of cash-generating units which are benefitting from the synergies of the acquisition and which represents the lowest level at which goodwill is monitored for internal management purposes.

Market related information and estimates are used to determine the recoverable amount. Key assumptions on which management has based its determination of recoverable amount include estimated long term growth rates, weighted average cost of capital and estimated operating margins. Cash flow projections take into account past experience and represent management's best estimate about future developments.

e) Defined Benefit Obligation

The costs of providing pensions and other post-employment benefits are charged to the Consolidated Statement of Profit and Loss in accordance with Ind AS 19 'Employee benefits' over the period during which benefit is derived from the employees' services. The costs are assessed on the basis of assumptions selected by the management. These assumptions include salary escalation rate, discount rates, expected rate of return on assets and mortality rates. The same is disclosed in note 32, 'Employee benefits'.

f) Share-based payment transactions

The fair value of employee stock options is measured using the Black-Scholes model. Measurement inputs include share price on grant date, exercise price of the instrument, expected volatility (based on weighted average historical volatility), expected life of the instrument (based on expected exercise behaviour), expected dividends, and the risk free interest rate (based on government bonds). Details regarding the determination of the fair value of equity-settled share-based transactions are set out in note 32(3).

g) Fair value measurement of financial instruments

When the fair values of financial assets and financial liabilities recorded in the Balance Sheet cannot be measured based on quoted prices in active markets, their fair value is measured using valuation techniques, including the discounted cash flow model, which involve various judgements and assumptions.

h) Right-of-use assets and lease liability

The Group has exercised judgement in determining the lease term as the non-cancellable term of the lease, together with the impact of options to extend or terminate the lease if it is reasonably certain to be exercised.

Where the rate implicit in the lease is not readily available, an incremental borrowing rate is applied. This incremental borrowing rate reflects the rate of interest that the lessee would have to pay to borrow over a similar term, with a similar security, the funds necessary to obtain an asset of a similar nature and value to the right-of-use asset in a similar economic environment. Determination of the incremental borrowing rate requires estimation.

Notes to the Consolidated Financial Statements (Contd.)

NOTE 2A : PROPERTY, PLANT AND EQUIPMENT

	Gross carrying value					Depreciation/Amortisation					Net Carrying Value	
	As at 01.04.2023	Translation Difference	Acquisition of Subsidiaries ^a	Additions/ Adjustments	Deductions/ Adjustments	As at 31.03.2024	Translation Difference	Acquisition of Subsidiaries ^a	Additions/ Adjustments	Deductions/ Adjustments	As at 31.03.2024	As at 31.03.2024
Land [^]	447.02	(3.46)	0.33	0.68	-	444.57	-	-	-	-	444.57	444.57
Buildings	1,756.34	(4.85)	0.24	102.53	0.05	1,854.21	(0.91)	0.11	59.01	0.01	444.25	1,409.96
Plant and Equipment*	4,823.25	(5.92)	2.34	615.89	16.05	5,421.51	(3.45)	1.38	379.20	13.37	3,044.54	2,376.97
Scientific Research :												
Buildings	71.39	-	-	-	-	71.39	-	-	2.75	-	20.55	50.84
Equipment*	76.13	-	-	5.32	(0.36)	81.81	-	-	6.04	(0.12)	60.81	21.00
Leasehold Improvements	0.31	-	-	-	-	0.31	-	-	0.04	-	0.15	0.16
Furniture and Fixtures	145.80	0.10	2.74	29.85	3.32	175.17	0.09	0.80	16.51	2.43	93.86	81.31
Vehicles	23.36	0.63	0.57	3.26	0.71	27.11	0.74	0.14	1.71	0.68	21.44	5.67
Office Equipment	122.87	(0.49)	2.59	21.98	2.25	144.70	(0.37)	1.32	15.74	2.22	100.53	44.17
Leasehold improvements	10.00	-	9.88	7.14	(0.42)	27.44	-	4.34	2.44	(0.03)	16.43	11.01
Assets Given on Operating Lease :												
Tinting systems	3.31	0.39	-	-	0.02	3.68	0.31	-	0.20	0.01	3.14	0.54
Total	7,481.78	(13.60)	18.69	786.65	21.62	8,251.90	(3.59)	8.09	483.64	18.57	3,805.70	4,446.20

	Gross carrying value					Depreciation/Amortisation					Net Carrying Value	
	As at 01.04.2022	Translation Difference	Acquisition of Subsidiaries	Additions/ Adjustments	Deductions/ Adjustments	As at 31.03.2023	Translation Difference	Acquisition of Subsidiaries	Additions/ Adjustments	Deductions/ Adjustments	As at 31.03.2023	As at 31.03.2023
Land [^]	445.31	0.67	-	1.04	-	447.02	-	-	-	-	-	447.02
Buildings	1,617.10	(11.78)	-	154.33	3.31	1,756.34	(0.74)	-	66.03	0.80	386.05	1,370.29
Plant and Equipment**	4,531.23	(8.54)	0.66	322.10	20.20	4,825.25	(2.67)	-	445.60	17.91	2,680.78	2,144.47
Scientific Research :												
Buildings	71.39	-	-	-	-	71.39	-	-	2.74	-	17.80	53.59
Equipment*	73.51	-	-	2.53	(0.09)	76.13	-	-	6.84	(0.02)	54.65	21.48
Leasehold Improvements	0.31	-	-	-	-	0.31	-	-	0.03	-	0.11	0.20
Furniture and Fixtures	112.86	(0.11)	0.14	34.80	1.89	145.80	(0.07)	-	14.18	1.75	78.89	66.91
Vehicles	23.82	(0.07)	0.06	0.97	1.42	23.36	(0.16)	-	1.55	0.67	19.53	3.83
Office Equipment	108.17	(0.48)	0.06	17.69	2.57	122.87	(0.40)	-	14.24	2.54	86.06	36.81
Leasehold improvements	9.68	-	-	0.32	-	10.00	-	-	0.08	-	9.62	0.38
Assets Given on Operating Lease :												
Tinting systems	3.48	(0.10)	-	-	0.07	3.31	(0.04)	-	0.21	0.04	2.64	0.67
Total	6,996.86	(20.41)	0.92	533.78	29.37	7,481.78	(4.08)	-	551.50	23.69	3,336.13	4,145.65

The amount of contractual commitments for the acquisition of property, plant and equipment is disclosed in note 31 (b).

[^] Includes leasehold land of ₹ 4.56 crores in a subsidiary which is not being amortised as the subsidiary has an option to convert it into freehold on payment of a nominal amount.

* "Plant and Equipment" amounting to ₹ 0.36 crores (Previous year - ₹ 0.38 crores) has been reclassified under "Scientific Research - Equipment" subsequent to transfer of Assets from Plant to R&D facility.

As at 31st March, 2024, ₹ 197.67 crores (Previous year - ₹ 194.01 crores) was hypothecated as security for borrowings.

® Refer note 41(b) & (e)

NOTE 2B : RIGHT-OF-USE ASSETS

Movement in net carrying amount	Year 2023-24					Year 2022-23				
	Leasehold Land	Buildings	Plant and Equipment	Office Equipment	Vehicles	Total	Leasehold Land	Buildings	Plant and Equipment	Office Equipment
Balance as at 1st April	351.69	850.06	0.13	0.03	7.01	1,208.92	199.18	697.98	-	0.04
Additions	329.01	675.99	-	-	6.35	1,011.35	159.45	450.44	0.14	-
Acquisition of Subsidiaries*	-	34.40	-	-	-	34.40	-	-	-	-
Depreciation	10.78	330.45	0.03	0.01	4.85	346.12	5.47	266.75	0.01	0.01
Deletions	-	51.63	-	-	0.08	51.71	-	30.12	-	-
Translation difference	0.53	(1.17)	-	-	0.07	(0.57)	(1.47)	(1.49)	-	-
Balance as at 31st March	670.45	1,177.20	0.10	0.02	8.50	1,856.27	351.69	850.06	0.13	0.03

For additions and movement in lease liabilities, Refer note 16.

* Refer note 41(b) & (e)

NOTE 3 : CAPITAL WORK-IN-PROGRESS (CWIP)

CWIP ageing schedule

CWIP	Amount in CWIP for a period of					As at 31.03.2024
	Less than 1 year	1 - 2 years	2 - 3 years	More than 3 years		
Projects in progress	1,959.50	621.31	112.27	5.29		2,698.37
Projects temporarily suspended	-	-	-	-		-
CWIP						
	Less than 1 year	1 - 2 years	2 - 3 years	More than 3 years		As at 31.03.2023
Projects in progress	889.37	123.91	2.34	3.97		1,019.59
Projects temporarily suspended	-	-	-	-		-

CWIP assets where completion is overdue and/or cost has exceeded its original plan

CWIP	To be completed in				As at 31.03.2024
	Less than 1 year	1 - 2 years	2 - 3 years	More than 3 years	
Wada Plant - Bath Fitting	50.73	-	-	-	50.73
Bhandup office and warehouse	108.77	-	-	-	108.77
Asian Paints Headquarter Project	188.65	-	-	-	188.65
Ankleshwar Plant Expansion	1,150.43	-	-	-	1,150.43
CWIP					
	Less than 1 year	1 - 2 years	2 - 3 years	More than 3 years	As at 31.03.2023
Wada Plant - Bath Fitting	22.29	-	-	-	22.29
Wada Plant - Kitchen (Steek)	23.05	-	-	-	23.05
Kasna Plant Expansion	80.65	-	-	-	80.65

4A. GOODWILL
(Refer note 2 below)

	As at 01.04.2022	Translation Difference	Acquisition of Subsidiaries	Additions/ Adjustments	Deductions/ Adjustments	As at 31.03.2023	As at 01.04.2022	Translation Difference	Acquisition of Subsidiaries	Additions/ Adjustments	Deductions/ Adjustments	As at 31.03.2023	As at 01.04.2022	Translation Difference	Acquisition of Subsidiaries	Additions/ Adjustments	Deductions/ Adjustments	As at 31.03.2023	As at 31.03.2023
4A. GOODWILL (Refer note 2 below)																			
Goodwill on Consolidation	261.65	0.25	-	11.09	-	272.99	-	-	-	-	-	-	66.07	1.06	-	24.66	-	91.79	181.20
Goodwill acquired separately	47.28	-	-	-	-	47.28	-	-	-	-	-	-	-	-	-	-	-	-	47.28
Total (4A)	308.93	0.25	-	11.09	-	320.27	-	-	-	-	-	-	66.07	1.06	-	24.66	-	91.79	228.48
4B. OTHER INTANGIBLE ASSETS (acquired separately)																			
Brand (Refer note 1 below)	95.33	(0.30)	-	-	-	95.03	-	-	-	-	-	-	-	-	-	-	-	-	95.03
Trademark	6.39	-	-	-	-	6.39	2.04	-	-	1.10	-	3.14	-	-	-	-	-	-	3.25
Computer Software	232.89	(0.61)	1.76	19.05	35.52	217.57	189.30	(0.50)	-	23.58	35.12	177.26	-	-	-	-	-	-	40.31
Others	57.90	(1.10)	11.22	-	-	68.02	15.18	(0.04)	-	4.39	-	19.53	-	-	-	-	-	-	48.49
Scientific Research:																			
Computer Software	0.17	-	-	0.34	-	0.51	0.17	-	-	0.02	0.01	0.18	-	-	-	-	-	-	0.33
Total (4B)	392.68	(2.01)	12.98	19.39	35.52	387.52	206.69	(0.54)	-	29.09	35.13	200.11	-	-	-	-	-	-	187.41
Total (4A+4B)	701.61	(1.76)	12.98	30.48	35.52	707.79	206.69	(0.54)	-	29.09	35.13	200.11	66.07	1.06	-	24.66	-	91.79	415.89

³ Refer note 41(b) and 41(e)

1. 'Brand' comprises of brands acquired pursuant to acquisition of subsidiaries. These have indefinite useful life as the registration of these brands can be renewed indefinitely and management assessed that they will continue to generate future cash flows for the Group indefinitely. Accordingly, the same is not amortised and is tested for impairment annually.

NOTE 4 : INTANGIBLE ASSETS (CONTD.)

2. Goodwill :

'Goodwill' acquired in business combination is allocated, at acquisition, to the cash generating units (CGUs) that are expected to benefit from that business combination. The carrying amount of goodwill has been allocated as follows:

	(₹ in Crores)	
	As at 31.03.2024	As at 31.03.2023
Goodwill on Consolidation		
Berger Paints Emirates LLC	3.12	3.12
Kadisco Paint and Adhesive Industry Share Company	28.37	29.35
Asian Paints (Vanuatu) Limited	1.07	1.05
Asian Paints (South Pacific) Pte Limited	2.18	2.14
SCIB Chemicals, S.A.E.	13.96	13.76
Causeway Paints Lanka (Pvt) Ltd (Refer note 39)	53.09	44.86
Asian Paints International Private Limited	75.83	75.83
Weatherseal Fenestration Private Limited*	11.09	11.09
Obgenix Software Private Limited* (Refer note 41(b))	165.33	-
Harind Chemicals and Pharmaceuticals Private Limited (Refer note 41(e))	17.87	-
Goodwill acquired separately		
Asian Paints Limited (Bath Fittings Business)	35.36	35.36
Sleek International Private Limited	11.92	11.92
Total	419.19	228.48

Impairment Assessment of Goodwill / Intangibles (with indefinite useful life) :

The Group made an assessment of recoverable amounts of the CGUs based on value in use calculations or Fair Value less costs to sell (for certain subsidiaries) which require the use of certain assumptions. The value in use calculations use cashflow projections based on the financial budgets approved by the management covering a five to nine years period (Previous year - five year), as the Group believes this to be the most appropriate timescale for reviewing and considering annual performance before applying a fixed terminal value multiple to the final cash flows. Fair Value less costs to sell is computed by comparing the price at which comparable companies engaged in similar business are traded at the capital market.

Key Assumptions used for value in use / Fair value less costs to sell calculations :

	(₹ in Crores)	
	As at 31.03.2024	As at 31.03.2023
Period considered for cash flow projections by management under Value in use method	5 years to 9 years	5 years
Projected revenue growth rate	7% to 107%	8% to 70%
Terminal Growth Rate	1.6% to 12%	2% to 14%
Discount rate	12% to 35%	12% to 40%
Enterprise Value (EV)/ Earnings Before Interest, Tax, Depreciation and Amortisation (EBITDA) multiple (in case of Causeway Paints Lanka (Pvt) Ltd (Causeway)	Not applicable	5.9x

The Group has recorded no impairment losses for the year ended 31st March, 2024.

For the year ended 31st March, 2023, the Group had recognised an impairment loss of ₹ 24.66 crores in respect of Goodwill on consolidation recognised on acquisition of Causeway. The recoverable amount of the CGU was ₹ 243.58 crores determined based on an estimate of fair value less costs to sell derived using Comparable Company Method (CCM) which considers EV/ EBITDA multiple of comparable company.

Management believes that any reasonable possible change in any of these assumptions would not cause the carrying amount to exceed its recoverable amount.

Notes to the Consolidated Financial Statements (Contd.)

NOTE 4 : INTANGIBLE ASSETS (CONTD.)

2. Goodwill (Contd.):

* The Group made an assessment of recoverable amount of the CGUs based on value in use calculations which uses cash flow projections based on financial budgets approved by management covering a seven to nine years period, as the Group believes this is to be the most appropriate timescale for reviewing and considering annual performance before applying a fixed terminal value multiple to the final cash flows. Cash flows beyond such period were extrapolated using estimate rates stated below.

Discount rates- Management estimates discount rates using pre-tax rates that reflect current market assessment of the risks specific to the CGU, taking into consideration the time value of money and individual risks of the underlying assets that have not been incorporated in the cash flow estimates. The discount rate calculation is based on the specific circumstances of the CGU and its operating segments and is derived from its weighted average cost of capital (WACC).

Growth rates- The growth rates are based on industry growth forecasts. Management determines the budgeted growth rates based on past performance and its expectations on demand condition. The weighted average growth rates used are consistent with industry reports.

EV / EBITDA multiples- EV is market capitalisation of comparable company adjusted for net debt position. Normalised EBITDA of trailing twelve months has been used for the purpose of computing Fair Value of asset. Costs to sell are estimated as per industry standards.

NOTE 5 : INVESTMENTS

	Face value (₹)	As at 31.03.2024		As at 31.03.2023	
		Nos.	₹ in Crores	Nos.	₹ in Crores
I. NON-CURRENT INVESTMENTS					
A. Investments in Equity Instruments					
(a) Quoted equity shares measured at FVTOCI					
Akzo Nobel India Limited	10	20,10,626	479.47	20,10,626	462.55
HDFC Bank Limited*	1	7,81,200	113.11	4,65,000	122.09
Apcotex Industries Limited	2	34,180	1.50	34,180	1.68
Total Investments in Quoted equity shares			594.08		586.32
(b) Unquoted equity shares					
(i) Associate Companies (accounted as per equity method, Refer note 36)					
PPG Asian Paints Private Limited	10	2,85,18,112	583.13	2,85,18,112	560.15
Obgenix Software Private Limited (Refer note 41(b))	10	-	-	196,490	221.58
			583.13		781.73
(ii) Other equity shares measured at FVTPL					
Pattancheru Enviro-tech Limited	10	12,900	0.01	12,900	0.01
Cuddalore SIPCOT Common Utilities Limited	100	2,830	0.03	2,830	0.03
Narmada Clean Tech Limited	10	4,97,833	0.49	4,97,833	0.49
SKH Metals Limited	10	62,500	0.50	62,500	0.50
Amplus RJ Solar Private Limited	10	8,50,000	0.85	8,50,000	0.85
BEIL Infrastructure Limited	10	5,600	0.01	5,600	0.01
Paints and Coatings Skill Council	25,000	10	0.03	10	0.03
Saraswat Co-operative Bank	10	2,500	#	2,500	#
			1.92		1.92
Total Investments in Unquoted equity shares (i+ii)			585.05		783.65
Total investments in Equity Instruments (a+b)	A		1,179.13		1,369.97

NOTE 5 : INVESTMENTS (CONTD.)

	Face value (₹)	As at 31.03.2024		As at 31.03.2023	
		Nos.	₹ in Crores	Nos.	₹ in Crores
I. NON-CURRENT INVESTMENTS (Contd.)					
B. Investments in Unquoted Government securities measured at amortised cost	B		#		#
National Savings & Defence Certificates # [₹ 39,500/- (As at 31 st March, 2023 - ₹ 39,500)]					
C. Investments in Debentures or Bonds					
(a) Investments in Unquoted Debentures or Bonds measured at amortised cost					
7.50% Ethiopian Renaissance Dam Bond		10	0.97	7	0.53
8.00% Ethiopian Renaissance Dam Bond		4	0.38	4	0.30
Total Investment in Unquoted Debentures or Bonds measured at amortised cost			1.35		0.83
(b) Investments in Debentures or Bonds measured at FVTOCI					
(i) Quoted Debentures or Bonds					
Redeemable and Non-Convertible					
Zero Coupon Debentures of HDB Financial Services Limited - Series 2021 A/0(ZC)/163	10,00,000	-	-	230	25.01
Zero Coupon Debentures of HDB Financial Services Limited - Series 2021 A/0(ZC)/171	10,00,000	-	-	250	26.14
Zero Coupon Debentures of HDB Financial Services Limited - Series 2022 A/0(ZC)/186_ Option 1	10,00,000	450	50.07	-	-
Zero Coupon Debentures of Kotak Mahindra Investments Limited - Series III 24JN25	10,00,000	-	-	250	21.59
Zero Coupon Debentures of Kotak Mahindra Investments Limited - Series III 29JN26	10,00,000	600	51.83	-	-
7.11% Bond of Power Finance Corporation Limited - Series 1A	1,000	51,341	5.27	51,341	5.33
8.25% Debentures of Hero Fincorp Limited - Series HFCLNCD059OPI	10,00,000	-	-	250	24.89
7.07% Bond of Indian Railway Finance Corporation Limited - Series 102 nd	1,000	2,26,500	23.30	2,26,500	23.58
Zero Coupon Debentures of LIC Housing Finance Limited - Tranche 416	10,00,000	450	50.42	450	44.50
7.14% Bond of National Highway Authority of India - Series 1A	1,000	1,42,849	14.73	1,42,849	14.89
7.11% Bond of National Thermal Power Corporation Limited - Series 1A	1,000	62,457	6.41	62,457	6.49
			202.03		192.42
(ii) Unquoted Debentures or Bonds					
Redeemable and Non-Convertible					
5.25% Bond of Indian Railway Finance Corporation Limited - SERIES VII 54EC	10,000	500	0.50	-	-
5.00% Bond of Indian Railway Finance Corporation Limited - SERIES IV	10,000	500	0.50	500	0.50

Notes to the Consolidated Financial Statements (Contd.)

NOTE 5 : INVESTMENTS (CONTD.)

	Face value (₹)	As at 31.03.2024		As at 31.03.2023	
		Nos.	₹ in Crores	Nos.	₹ in Crores
I. NON-CURRENT INVESTMENTS (Contd.)					
C. Investments in Debentures or Bonds (Contd.)					
(b) Investments in Debentures or Bonds measured at FVTOCI (Contd.)					
(ii) Unquoted Debentures or Bonds (Contd.)					
Redeemable and Non-Convertible (Contd.)					
5.00% Bond of Rural Electrification Corporation Limited - SERIES XVI 54EC 31AG27	10,000	500	0.50	500	0.50
5.00% Bond of Rural Electrification Corporation Limited - SERIES XVI 54EC 31MY27	10,000	500	0.50	500	0.49
			2.00		1.49
Total Investments in Debentures or Bonds measured at FVTOCI (i+ii)			204.03		193.91
Total Investments in Debentures or Bonds (a + b)	C		205.38		194.74
Total Non-Current Investments (A+B+C)			1,384.51		1,564.71
Total Investments in Associate Companies			583.13		781.73
Total Investments in Other entities			801.38		782.98
Aggregate amount of quoted investments - At cost			233.93		233.55
Aggregate amount of quoted investments - At market value			796.11		778.74
Aggregate amount of unquoted investments			588.40		785.97

* During the year, Housing Development Finance Corporation Limited (HDFC Ltd.) merged into HDFC Bank Limited (allotted 42 new equity shares of the face value of ₹ 1 per share, for every 25 equity shares of the face value of ₹ 2 per share fully paid-up held in HDFC Ltd).

	Face value (₹)	As at 31.03.2024		As at 31.03.2023	
		Nos.	₹ in Crores	Nos.	₹ in Crores
II. CURRENT INVESTMENTS					
A. Investment in Government securities measured at amortised cost					
(a) Investments in quoted Government securities (with original maturity of more than 3 months)		14	28.92	-	-
(b) Investments in quoted Government securities (with original maturity of less than 3 months)		5	12.13	-	-
Total Investment in Government securities measured at amortised cost	A		41.05		-
B. Investments in Debentures or Bonds					
(a) Investments in Unquoted Debentures or Bonds measured at amortised cost					
5.50% Ethiopian Renaissance Dam Bond		-	-	5	0.65
Total Investments in Debentures or Bonds measured at amortised cost			-		0.65

NOTE 5 : INVESTMENTS (CONTD.)

	Face value (₹)	As at 31.03.2024		As at 31.03.2023	
		Nos.	₹ in Crores	Nos.	₹ in Crores
II. CURRENT INVESTMENTS (CONTD.)					
B. Investments in Debentures or Bonds (Contd.)					
(b) Investments in Debentures or Bonds measured at FVTOCI					
(i) Quoted Debentures or Bonds					
Redeemable and Non-Convertible					
Zero Coupon Debentures of HDB Financial Services Limited - Series 2021 A/0(ZC)/163	10,00,000	230	27.09	-	-
Zero Coupon Debentures of HDB Financial Services Limited - Series 2021 A/0(ZC)/171	10,00,000	250	28.29	-	-
Zero Coupon Debentures of Kotak Mahindra Investments Limited - Series III	10,00,000	250	23.41	-	-
6.30% Debentures of HDB Financial Services Limited - Series 2022 A/1(FX)/177	10,00,000	750	73.66	-	-
8.25% Debentures of Hero Fincorp Limited - Series HFCLNCD059OPI	10,00,000	250	24.88	-	-
6.70% Debentures of Tata Capital Limited - Series B	10,00,000	400	39.44	-	-
			216.77		-
(ii) Unquoted Debentures or Bonds					
Redeemable Non-Convertible					
7.00% Debentures of CitiCorp Finance India Limited - Series 2022/08/800 Tranche 1	10,00,000	-	-	500	48.82
5.75% Bond of Rural Electrification Corporation Limited - Series XII	10,000	-	-	500	0.50
			-		49.32
Total Investments in Debentures or Bonds measured at FVTOCI (i + ii)			216.77		49.32
Total Investments in Debentures or Bonds (a + b)	B		216.77		49.97
C. Investments in Quoted Mutual Funds measured at FVTPL					
(a) Investments in Fixed Maturity Plans (with original maturity of less than 3 months)					
		-	-	-	111.57
(b) Investments in Liquid Mutual Funds					
UTI Liquid Fund (Formerly UTI Liquid Cash Plan) - Direct Plan		4,45,807	176.45	2,03,920	75.24
UTI Liquid Fund- Regular Growth Plan		-	-	2,163	0.79
UTI Money Market Fund - Regular Growth Plan		10,728	3.01	10,728	2.80
Other Mutual Funds			2,766.13	-	2,456.63
			2,945.59		2,535.46
Total Investments in Quoted Mutual Funds measured at FVTPL (a+b)	C		2,945.59		2,647.03
Total Current Investments (A+B+C)			3,203.41		2,697.00
Aggregate amount of quoted investments - At cost			3,021.55		2,557.91
Aggregate amount of quoted investments - At market value			3,203.41		2,647.03
Aggregate amount of unquoted investments			-		49.97

Notes to the Consolidated Financial Statements (Contd.)

NOTE 6 : TRADE RECEIVABLES

(₹ in Crores)

	Non-Current		Current	
	As at 31.03.2024	As at 31.03.2023	As at 31.03.2024	As at 31.03.2023
Trade receivables				
(a) Secured, considered good	-	-	0.12	0.13
(b) Unsecured, considered good*	1.78	2.17	4,888.93	4,636.81
(c) Unsecured, considered doubtful	-	-	422.17	305.13
	1.78	2.17	5,311.22	4,942.07
Less : Allowance for unsecured doubtful debts (Refer note 29(C)(2))	-	-	(422.17)	(305.13)
Total	1.78	2.17	4,889.05	4,636.94

*Trade Receivables includes dues from associate (Refer note 33)

As at 31st March, 2024, ₹ 97.14 crores (Previous year - ₹ 164.81 crores) was hypothecated as security for borrowings.

Trade Receivables ageing schedule

(₹ in Crores)

	Unbilled	Not Due	Outstanding for following periods from due date of payment					As at 31.03.2024
			Less than 6 months	6 months - 1 year	1 - 2 years	2 - 3 years	More than 3 years	
Trade Receivables								
(a) Undisputed, considered good	7.15	3,838.81	874.25	165.88	0.89	1.04	2.81	4,890.83
(b) Undisputed, considered doubtful	-	1.00	2.61	52.44	143.53	59.97	96.51	356.06
(c) Disputed, considered good	-	-	-	-	-	-	-	-
(d) Disputed, considered doubtful	-	0.39	0.66	3.33	6.81	15.37	39.55	66.11
	7.15	3,840.20	877.52	221.65	151.23	76.38	138.87	5,313.00
Less : Allowance for unsecured doubtful debts								(422.17)
Total								4,890.83

(₹ in Crores)

	Unbilled	Not Due	Outstanding for following periods from due date of payment					As at 31.03.2023
			Less than 6 months	6 months - 1 year	1 - 2 years	2 - 3 years	More than 3 years	
Trade Receivables								
(a) Undisputed, considered good	5.77	3,756.42	802.72	71.05	0.70	0.84	1.61	4,639.11
(b) Undisputed, considered doubtful	-	0.29	9.83	30.59	78.70	22.50	76.39	218.30
(c) Disputed, considered good	-	-	-	-	-	-	-	-
(d) Disputed, considered doubtful	-	0.24	0.63	2.17	19.84	16.10	47.85	86.83
	5.77	3,756.95	813.18	103.81	99.24	39.44	125.85	4,944.24
Less : Allowance for unsecured doubtful debts								(305.13)
Total								4,639.11

NOTE 7 : OTHER FINANCIAL ASSETS*

(₹ in Crores)

	Non-Current		Current	
	As at 31.03.2024	As at 31.03.2023	As at 31.03.2024	As at 31.03.2023
Unsecured & considered good				
Security deposits	76.68	49.47	15.62	34.55
Royalty receivable	-	-	0.38	0.53
Due from Associate Companies (Refer note 33)	-	-	2.62	3.73
Subsidy receivable from Governments (net)^	275.33	300.56	180.76	124.83
Term deposits held as margin money against bank guarantee and other commitments	4.04	5.52	5.80	7.61
Term deposits with more than 12 months of original maturity^^	246.95	5.40	1,193.00	1,139.65
Interest accrued on investments in debentures or bonds measured at FVTOCI	-	-	17.53	6.31
Quantity discount receivable	-	-	216.61	262.62
Foreign currency forward exchange contract (net)	-	-	0.03	0.07
Retention monies receivable from Customers	3.51	2.23	0.18	0.80
Derivative asset towards further stake acquisition in Associate Company (Refer note 41(b))	-	-	-	2.27
Other receivables	-	-	18.82	9.81
Total	606.51	363.18	1,651.35	1,592.78

* Refer note 29(C) for information about credit risk of other financial assets.

^ Current and Non Current portion of subsidy receivable from state governments is net of allowance for expected credit loss amounting to ₹ 5.95 crores (Previous Year - ₹ 7.05 crores) and ₹ 9.62 crores (Previous Year - ₹ 19.10 crores) respectively. The allowance is created to provide for time value of money (Refer note 29(C)(2)).

^^ Fixed deposits in one of the subsidiary amounting to ₹ 3.80 crores (Previous Year - ₹ 5.40 crores) have been pledged as per the terms of underlying guarantees given by the banks on behalf of a former subsidiary.

NOTE 8 : CASH AND BANK BALANCES

(₹ in Crores)

	Current	
	As at 31.03.2024	As at 31.03.2023
(A) Cash and Cash Equivalents		
(i) Balances with Banks		
(a) Current Accounts	558.59	341.98
(b) Cash Credit Accounts *	11.05	81.78
(c) Deposits with original maturity of less than 3 months^	166.40	58.38
(ii) Cheques, drafts on hand	92.25	40.58
(iii) Cash on hand	1.05	0.38
Total	829.34	523.10
(B) Other Balances with Banks		
(i) Term deposits with original maturity of more than 3 months but less than 12 months^	206.11	280.14
(ii) Unpaid dividend and sales proceeds of Fractional Bonus Shares account *	36.23	32.50
(iii) Earmarked balances with banks	12.33	8.08
Total	254.67	320.72

* The borrowings carry an interest rate of 8.55% p.a. - 9.40% p.a. (Previous year - 8.00% p.a. - 11.35% p.a.).

Borrowings in certain of the subsidiaries is secured by hypothecation of building, plant and machinery, inventories, trade receivables, and other current assets.

^ Fixed deposits in one of the subsidiary amounting to ₹ 1.67 crores (Previous Year - ₹ 3.20 crores) have been pledged as per the terms of underlying guarantees given by the banks on behalf of a former subsidiary.

* The Group can utilise these balances only towards settlement of unclaimed dividend and fractional bonus shares.

Notes to the Consolidated Financial Statements (Contd.)

NOTE 9 : INCOME TAXES

A. The Major Components of Income Tax Expense for the year are as under :

	(₹ in Crores)	
	Year 2023-24	Year 2022-23
(i) Income tax recognised in Profit or Loss		
Current tax expense :		
In respect of current year	1,836.00	1,504.14
In respect of short tax provision for earlier years	(51.35)	6.64
Deferred tax benefit :		
In respect of current year	5.43	(17.28)
Total	1,790.08	1,493.50
(ii) Income tax recognised in OCI		
Deferred tax :		
Income tax (expense)/benefit on remeasurements of the defined benefit plans	(2.17)	2.62
Income tax expense on net fair value gain on investments in equity instruments through OCI	(0.55)	(10.58)
Income tax (expense)/benefit on net fair value gain on investments in debt instruments through OCI	(1.85)	0.63
Total	(4.57)	(7.33)

B. Reconciliation of Tax Expense and Effective Tax Rate :

The reconciliation between the statutory income tax rate applicable to the Group and the effective income tax rate of the Group and the resultant tax expense is as follows :

	Year 2023-24		Year 2022-23	
	₹ in Crores	Rate	₹ in Crores	Rate
Profit before Share of Profit in Associate (after exceptional items)	7,214.77		5,594.98	
Income tax expense calculated at corporate tax rate	1,815.81	25.17%	1,408.14	25.17%
Tax effect of :				
Non-deductible expenses	39.49	0.55%	45.83	0.82%
Incentive tax credits	(1.80)	(0.02%)	(0.39)	(0.01%)
Income taxed at special rates	(3.32)	(0.05%)	(6.66)	(0.12%)
Income exempted from tax	(33.21)	(0.46%)	(17.23)	(0.31%)
Different tax rates in the components	(3.42)	(0.05%)	(3.42)	(0.06%)
Deferred tax on undistributed profits (including effect of change in tax rate)	7.75	0.11%	9.94	0.18%
Others	20.13	0.27%	50.65	0.90%
Total	1,841.43	25.52%	1,486.86	26.57%
Short tax provision for earlier years	(51.35)	(0.71%)	6.64	0.12%
Tax expense as per Consolidated Statement of Profit and Loss	1,790.08	24.81%	1,493.50	26.69%

The tax rate used for reconciliation above is the corporate tax rate of 25.17% payable by corporate entities in India on taxable profits under Indian tax law.

NOTE 9 : INCOME TAXES (CONTD.)

C. The major components of Deferred Tax (Liabilities)/Assets arising on account of timing differences are as follows :

As at 31st March, 2024

	Balance Sheet		Pursuant to acquisition (Refer note 41(b) & 41(e))	Profit and Loss	OCI	Balance Sheet	
	Deferred Tax Liabilities - Net	Deferred Tax Assets - Net				Deferred Tax Liabilities - Net	Deferred Tax Assets - Net
	01.04.2023	01.04.2023	2023-24	2023-24	2023-24	31.03.2024	31.03.2024
Difference between written down value/ capital work in progress of fixed assets as per the books of accounts and income tax	(273.18)	(6.06)	0.09	12.59	-	(266.09)	(2.15)
Provision for expense allowed for tax purpose on payment basis (net)	35.50	3.29	-	(1.73)	0.10	34.89	2.26
Provision for expected credit losses and fair valuation of subsidy receivable from state governments	18.09	-	-	0.26	-	18.35	-
Remeasurement of the defined benefit plans through OCI	12.46	0.97	0.29	0.63	(2.27)	10.66	1.60
Difference in carrying value and tax base of investments in debt instruments measured at FVTOCI	0.12	-	-	-	(1.85)	(1.74)	-
Difference in carrying value and tax base of investments in equity instruments measured at FVTOCI	(14.58)	-	-	(0.40)	(0.55)	(15.44)	(0.10)
Difference in carrying value and tax base of investments measured at FVTPL	(21.93)	-	-	(20.79)	-	(42.72)	-
Capital losses carried forward under Income Tax	-	1.39	-	(0.48)	-	0.82	0.10
Undistributed profits of subsidiaries/associates	(126.56)	-	-	(7.68)	-	(134.24)	-
Difference in Right-of-use asset and lease liabilities	35.65	(0.75)	0.56	7.69	-	30.51	15.11
Others	(0.41)	19.83	0.29	4.48	-	12.83	6.50
Deferred tax benefit/ (expense)			1.23	(5.43)	(4.57)		
Net Deferred tax assets/ (liabilities) of earlier years	-	-	-	-	-	-	-
Currency translation gain and other adjustments	-	-	-	-	(3.88)	-	-
Net Deferred tax (liabilities)/assets	(334.84)	18.67		(5.43)		(352.17)	23.32

(₹ in Crores)

Notes to the Consolidated Financial Statements (Contd.)

NOTE 9 : INCOME TAXES (CONTD.)

C. The major components of Deferred Tax (Liabilities)/Assets arising on account of timing differences are as follows (Contd.) :

As at 31st March, 2023

(₹ in Crores)

	Balance Sheet		Pursuant to acquisition	Profit and Loss	OCI	Balance Sheet	
	Deferred Tax Liabilities - Net	Deferred Tax Assets - Net				Deferred Tax Liabilities - Net	Deferred Tax Assets - Net
	01.04.2022	01.04.2022				31.03.2023	31.03.2023
Difference between written down value/ capital work in progress of fixed assets as per the books of accounts and income tax	(301.23)	(12.61)	-	33.82	-	(273.18)	(6.06)
Provision for expense allowed for tax purpose on payment basis (net)	34.61	3.27	-	0.83	0.08	35.50	3.29
Provision for expected credit losses and fair valuation of subsidy receivable from state governments	21.35	-	-	(3.26)	-	18.09	-
Remeasurement of the defined benefit plans through OCI	8.72	3.29	-	(1.03)	2.54	12.46	0.97
Difference in carrying value and tax base of investments in debt instruments measured at FVTOCI	(0.51)	-	-	-	0.63	0.12	-
Difference in carrying value and tax base of investments in equity instruments measured at FVTOCI	(4.00)	-	-	-	(10.58)	(14.58)	-
Difference in carrying value and tax base of investments measured at FVTPL	(21.10)	-	-	(0.83)	-	(21.93)	-
Capital losses carried forward under Income Tax	-	10.39	-	(7.91)	-	-	1.39
Undistributed profits of subsidiaries/associates	(116.29)	-	-	(10.09)	-	(126.56)	-
Difference in Right-of-use asset and lease liabilities	25.84	1.06	-	3.65	-	35.65	(0.75)
Others	3.74	20.63	-	2.12	-	(0.41)	19.83
Deferred tax benefit / (expense)			-	17.30	(7.33)		
Net Deferred tax assets/ (liabilities) of earlier years	0.02	-		(0.02)	-	-	-
Currency translation gain and other adjustments	-	-		-	(3.31)	-	-
Net Deferred tax (liabilities)/assets	(348.85)	26.02		17.28		(334.84)	18.67

NOTE 9 : INCOME TAXES (CONTD.)

D. The Group has the following unused tax losses which arose on incurrence of capital losses and business losses under the Income Tax for which no deferred tax asset has been recognised in the Balance Sheet.

As at 31st March, 2024

(₹ in Crores)			
Financial Year	Category	31.03.2024	Expiry Date
2010-2011	Depreciation	0.81	NA
2011-2012	Depreciation	1.27	NA
2011-2012	Depreciation	0.16	NA
2012-2013	Depreciation	1.93	NA
2012-2013	Depreciation	0.47	NA
2013-2014	Depreciation	15.64	NA
2013-2014	Depreciation	0.37	NA
2014-2015	Depreciation	12.61	NA
2014-2015	Depreciation	0.33	NA
2015-2016	Depreciation	11.30	NA
2015-2016	Depreciation	0.28	NA
2016-2017	Business loss	13.46	31 st March, 2025
2016-2017	Depreciation	10.75	NA
2016-2017	Business loss	0.01	31 st March, 2025
2016-2017	Depreciation	0.49	NA
2016-2017	Business loss	1.30	31 st March, 2025
2016-2017	Depreciation	0.24	NA
2017-2018	Business loss	5.20	31 st March, 2026
2017-2018	Depreciation	8.38	NA
2017-2018	Business loss	0.01	31 st March, 2026
2017-2018	Depreciation	0.73	NA
2017-2018	Business loss	0.80	31 st March, 2026
2017-2018	Depreciation	0.21	NA
2018-2019	Business loss	15.58	31 st March, 2027
2018-2019	Depreciation	7.23	NA
2018-2019	Depreciation	1.10	NA
2018-2019	Depreciation	0.19	NA
2018-2019	Business loss	0.06	31 st March, 2027
2019-2020	Business loss	30.77	31 st March, 2028
2019-2020	Depreciation	6.44	NA
2019-2020	Business loss	0.02	31 st March, 2028
2019-2020	Depreciation	0.93	NA
2019-2020	Business loss	55.19	31 st March, 2025
2020-2021	Business loss	14.65	31 st March, 2029
2020-2021	Depreciation	5.57	NA
2020-2021	Business loss	0.02	31 st March, 2029
2020-2021	Business loss	67.21	31 st March, 2026
2021-2022	Business loss	6.87	31 st March, 2030
2021-2022	Depreciation	5.29	NA
2021-2022	Business loss/Capital loss	0.42	31 st March, 2030
2021-2022	Business loss	66.46	31 st March, 2027

Notes to the Consolidated Financial Statements (Contd.)

NOTE 9 : INCOME TAXES (CONTD.)

D. The Group has the following unused tax losses which arose on incurrence of capital losses and business losses under the Income Tax for which no deferred tax asset has been recognised in the Balance Sheet. (Contd.)

As at 31st March, 2024

(₹ in Crores)			
Financial Year	Category	31.03.2024	Expiry Date
2021-2022	Business loss	53.77	31 st March, 2028
2022-2023	Business loss	37.35	31 st March, 2029
2022-2023	Business loss	1.38	31 st March, 2031
2022-2023	Depreciation	0.89	NA
2022-2023	Business loss	20.58	31 st March, 2031
2022-2023	Depreciation	5.37	NA
2022-2023	Business loss/Capital loss	18.91	31 st March, 2031
2023-2024	Business loss	12.80	31 st March, 2032
2023-2024	Depreciation	0.31	NA
2023-2024	Depreciation	4.20	NA

As at 31st March, 2023

(₹ in Crores)			
Financial Year	Category	31.03.2023	Expiry Date
2010-2011	Depreciation	0.81	NA
2011-2012	Depreciation	1.27	NA
2012-2013	Depreciation	1.93	NA
2013-2014	Depreciation	15.64	NA
2014-2015	Depreciation	12.61	NA
2015-2016	Business loss	9.48	31 st March, 2024
2015-2016	Depreciation	11.30	NA
2015-2016	Depreciation	0.60	NA
2016-2017	Business loss	13.46	31 st March, 2025
2016-2017	Business loss	0.24	31 st March, 2025
2016-2017	Depreciation	10.75	NA
2016-2017	Depreciation	0.73	NA
2017-2018	Business loss	5.20	31 st March, 2026
2017-2018	Business loss	0.30	31 st March, 2026
2017-2018	Depreciation	8.38	NA
2017-2018	Depreciation	0.73	NA
2018-2019	Business loss	41.02	31 st March, 2024
2018-2019	Business loss	15.58	31 st March, 2027
2018-2019	Business loss	0.33	31 st March, 2027
2018-2019	Depreciation	7.23	NA
2018-2019	Depreciation	1.10	NA
2019-2020	Business loss	41.15	31 st March, 2025
2019-2020	Business loss	30.77	31 st March, 2028
2019-2020	Depreciation	6.44	NA
2019-2020	Depreciation	0.93	NA
2020-2021	Business loss	58.38	31 st March, 2026
2020-2021	Business loss	14.65	31 st March, 2029

NOTE 9 : INCOME TAXES (CONTD.)

D. The Group has the following unused tax losses which arose on incurrence of capital losses and business losses under the Income Tax for which no deffered tax asset has been recognised in the Balance Sheet. (Contd.)

As at 31st March, 2023

(₹ in Crores)			
Financial Year	Category	31.03.2023	Expiry Date
2020-2021	Depreciation	5.57	NA
2021-2022	Business loss	70.71	31 st March, 2027
2021-2022	Business loss	6.87	31 st March, 2030
2021-2022	Depreciation	5.29	NA
2021-2022	Business loss/ Capital loss	0.42	31 st March, 2030
2022-2023	Business loss	56.82	31 st March, 2028
2022-2023	Business loss	37.59	31 st March, 2029
2022-2023	Business loss	18.58	31 st March, 2031
2022-2023	Business loss/ Capital loss	18.07	31 st March, 2031
2022-2023	Business loss	2.94	31 st March, 2031
2022-2023	Depreciation	5.45	NA

At the end of the reporting period, the aggregate amount of temporary differences associated with undistributed earnings of the subsidiaries for which deferred tax liabilities have not been recognised is ₹ 397.67 crores (Previous year - ₹ 327.69 crores). No liability has been recognised in respect of these differences because management controls the distributions of the earnings of the subsidiaries to the holding Company and it has no intention to distribute the earnings of the subsidiaries.

NOTE 10 : INCOME TAX ASSETS (NET)

(₹ in Crores)		
	Non-Current	
	As at 31.03.2024	As at 31.03.2023
Advance payment of Income Tax (net)	198.11	189.52
Total	198.11	189.52

NOTE 11 : OTHER ASSETS

(₹ in Crores)				
	Non-Current		Current	
	As at 31.03.2024	As at 31.03.2023	As at 31.03.2024	As at 31.03.2023
(a) Capital advances	224.45	264.46	-	-
(b) Advances other than capital advances				
i) Advances/claims recoverable in cash or in kind	71.25	63.27	381.43	329.23
ii) Balances with government authorities	27.62	5.41	358.58	197.81
iii) Advances to employees	4.05	1.02	14.18	8.42
iv) Duty credit entitlement	-	-	1.18	1.02
	102.92	69.70	755.37	536.48
(c) Other receivables	0.44	0.38	9.92	13.56
(d) Contract assets	-	-	20.54	3.94
Total	327.81	334.54	785.83	553.98

Notes to the Consolidated Financial Statements (Contd.)

NOTE 12 : INVENTORIES (AT LOWER OF COST AND NET REALISABLE VALUE)

	(₹ in Crores)	
	Current	
	As at 31.03.2024	As at 31.03.2023
(a) Raw materials	1,677.22	1,899.83
Raw materials-in-transit	569.56	268.36
	2,246.78	2,168.19
(b) Packing materials	102.11	93.20
(c) Work-in-progress	184.07	187.11
(d) Finished goods	2,337.14	2,677.08
Finished goods-in-transit	-	0.70
	2,337.14	2,677.78
(e) Stock-in-trade (acquired for trading)	873.85	891.46
Stock-in-trade (acquired for trading) in-transit	65.60	42.09
	939.45	933.55
(f) Stores, spares and consumables	113.79	141.60
Stores, spares and consumables-in-transit	0.07	9.21
	113.86	150.81
Total	5,923.41	6,210.64

The cost of inventories recognised as an expense during the year is disclosed in Note 24. It includes ₹ 35.50 crores net of reversals (Previous year - ₹ 108.25 crores) in respect of write down of inventory to net realisable value, slow moving, damaged and obsolete items.

As at 31st March, 2024, ₹ 92.17 crores (Previous year - ₹ 132.63 crores) was hypothecated as security for Borrowings.

NOTE 13 : EQUITY SHARE CAPITAL

	(₹ in Crores)	
	As at 31.03.2024	As at 31.03.2023
Authorised		
99,50,00,000 Equity Shares of face value of ₹ 1 each	99.50	99.50
50,000 11% Redeemable Cumulative Preference shares of face value of ₹ 100 each	0.50	0.50
	100.00	100.00
Issued, Subscribed and Paid up capital		
95,91,97,790 Equity Shares of face value of ₹ 1 each fully paid	95.92	95.92
	95.92	95.92

a) Reconciliation of shares outstanding at the beginning and at the end of the year

Fully paid Equity Shares	As at 31.03.2024		As at 31.03.2023	
	No. of Equity Shares	₹ in Crores	No. of Equity Shares	₹ in Crores
Balance at the beginning of the reporting year	95,91,97,790	95.92	95,91,97,790	95.92
Changes in Equity Share capital due to prior period errors	-	-	-	-
Restated balance at the beginning of the current reporting period	95,91,97,790	95.92	95,91,97,790	95.92
Changes in Equity Share capital during the year	-	-	-	-
Balance at the end of the reporting year	95,91,97,790	95.92	95,91,97,790	95.92

NOTE 13 : EQUITY SHARE CAPITAL (CONTD.)

b) Terms/rights attached to equity shares

The Parent Company has only one class of shares referred to as equity shares having a par value of ₹ 1 per share. Each holder of equity shares is entitled to one vote per share.

The Parent Company declares and pays dividends in Indian Rupees. Payment of dividend is also made in foreign currency to shareholders outside India. The final dividend proposed by the Board of Directors is subject to the approval of the shareholders in the ensuing Annual General Meeting.

Particulars	(₹ in Crores)	
	Year 2023-24	Year 2022-23
Dividend paid during the year		
Final dividend for the FY 2022-23 [₹ 21.25 (Previous year - ₹ 15.50) per equity share of face value of ₹ 1 each]	2,038.34	1,486.78
Interim dividend for the FY 2023-24 [₹ 5.15 (Previous year - ₹ 4.40) per equity share of face value of ₹ 1 each]	494.04	422.08
	2,532.38	1,908.86

Proposed dividend for FY 2023-24 is ₹ 28.15 per equity share of face value of ₹ 1 each amounting to ₹ 2,700.14 crores (Previous year - ₹ 21.25 per equity share of face value of ₹ 1 each), subject to approval at the ensuing Annual General Meeting of the Parent Company and hence is not recognised as a liability. If approved, the total dividend (interim and final dividend) for the financial year 2023-24 will be ₹ 33.30 (Rupees Thirty Three and paise thirty only) per equity share of the face value of ₹ 1 each (₹ 25.65 per equity share of the face value of ₹ 1 each was paid as total dividend for the previous year).

As per the Companies Act 2013, the holders of equity shares will be entitled to receive remaining assets of the Parent Company, after distribution of all preferential amounts in the event of liquidation of the Parent Company. However no such preferential amounts exist currently. The distribution will be in proportion to the number of equity shares held by the shareholders.

c) Detail of Shareholders holding more than 5% equity shares in the Parent Company®

Name of the Shareholders	As at 31.03.2024		As at 31.03.2023	
	No of Equity Shares	% of Total Shares	No of Equity Shares	% of Total Shares
Fully paid Equity Shares of ₹ 1 each held by :				
1. Life Insurance Corporation of India	5,54,54,514	5.78%	3,64,76,385	3.80%
2. Sattva Holding and Trading Private Limited	5,47,89,183	5.71%	5,47,89,183	5.71%
3. Smiti Holding and Trading Company Private Limited	5,17,67,638	5.40%	5,53,39,068	5.77%

® As per the records of the Parent Company, including its register of members.

d) Shares held by promoters as defined in the Companies Act, 2013 at the end of the year.

Refer note 12 (d) of Standalone Financial Statements for disclosure on shares held by promoters of the Parent Company.

e) Reconciliation of Treasury shares outstanding at the beginning and at the end of the year

Treasury shares	As at 31.03.2024		As at 31.03.2023	
	No. of Equity Shares	₹ in Crores	No. of Equity Shares	₹ in Crores
Balance at the beginning of the year	3,57,659	110.89	2,23,240	75.00
Add : Purchased during the year	-	-	1,34,419	35.89
Less : Exercised/Sold during the year	2,084	0.70	-	-
Balance at the end of the year	3,55,575	110.19	3,57,659	110.89

In accordance with Asian Paints Employee Stock Option Plan 2021 ("2021 Plan"), the ESOP Trust (Asian Paints Employees Stock Ownership Trust) purchased equity shares of the Parent Company from secondary market. The net outstanding shares held by the ESOP Trust are disclosed as Treasury Shares (Refer note 32(3)).

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	Attributable to owners of the Company																		
	Reserves and Surplus							Items of Other Comprehensive Income (OCI)					Total attributable to owners of the company	Non-Controlling Interests	Total				
	Capital Reserve on Consolidation	Capital Reserve	Capital Redemption Reserve	Statutory Reserve	General Reserve	Retained earnings	Remeasurement of the defined benefit plans	Other Reserves	Share of other reserves in Associate	Share based Payment Reserve	Treasury Shares	Trust Reserve	Debt instruments through OCI	Foreign Currency Translation Reserve	Equity instruments through OCI	Share of OCI in Associates			
Balance as at 1 st April, 2023 (A)	38.16	41.47	5.37	15.44	4,715.75	11,366.84	(25.92)	(31.38)	1.02	26.77	(110.89)	0.37	(3.06)	(371.70)	227.90	(0.83)	15,896.31	453.66	16,349.97
Additions during the year :																			
Profit for the year	-	-	-	-	-	5,460.23	-	-	-	-	-	-	-	-	-	-	5,460.23	97.46	5,557.69
Items of OCI for the year, net of tax																			
Exchange differences on translating the financial statements of foreign operations	-	-	-	-	-	-	-	-	-	-	-	-	-	15.09	-	-	15.09	(9.94)	5.15
Remeasurement of the defined benefit plans	-	-	-	-	-	-	6.67	-	-	-	-	-	-	-	-	-	6.67	(0.24)	6.43
Net fair value gain on investment in equity instruments through OCI	-	-	-	-	-	-	-	-	-	-	-	-	-	-	7.22	-	7.22	-	7.22
Net fair value gain on investment in debt instruments through OCI	-	-	-	-	-	-	-	-	-	-	-	-	14.35	-	-	-	14.35	-	14.35
Share of OCI in Associates	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	(1.19)	(1.19)	-	(1.19)
Total Comprehensive Income for the year (B)	-	-	-	-	-	5,460.23	6.67	-	-	-	-	-	14.35	15.09	7.22	(1.19)	5,502.37	87.28	5,589.65
Reductions during the year :																			
Dividends (Refer note 13)	-	-	-	-	-	(2,532.38)	-	-	-	-	-	-	-	-	-	-	(2,532.38)	(14.62)	(2,547.00)
Amount infused by non-controlling shareholders in subsidiary	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	40.60	40.60
Acquisition of subsidiary (Refer note 41(b) and 41(e))	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	105.86	105.86
Equity/other charges in Associate	-	-	-	-	-	-	-	-	0.10	-	-	-	-	-	-	-	0.10	-	0.10
Gross obligation towards further acquisition in subsidiary	-	-	-	-	-	(256.78)	-	-	-	-	-	-	-	-	-	-	(256.78)	-	(256.78)
Share based payment expense	-	-	-	-	-	-	-	-	-	21.84	-	-	-	-	-	-	21.84	-	21.84
Sweat Equity Shares	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	22.60	22.60
Net Income of ESOP Trust for the year	-	-	-	-	-	-	-	-	-	-	-	0.22	-	-	-	-	0.22	-	0.22
ESOP exercised during the year	-	-	-	-	-	(0.03)	-	-	-	(0.35)	0.70	0.38	-	-	-	-	0.70	-	0.70
Total (C)	-	-	-	-	-	(2,789.19)	-	-	0.10	21.49	0.70	0.60	-	-	-	-	(2,766.30)	154.44	(2,611.86)
Balance as at 31 st March, 2024 (A+B-C)	38.16	41.47	5.37	15.44	4,715.75	14,037.88	(19.25)	(31.38)	1.12	48.26	(110.19)	0.97	11.29	(356.61)	235.12	(2.02)	18,632.33	695.38	19,327.76

NOTE 14 : OTHER EQUITY (CONTD.)

	Attributable to owners of the Company																(₹ in Crores)		
	Reserves and Surplus										Items of Other Comprehensive Income (OCI)					Total attributable to owners of the Company	Non-Controlling Interests	Total	
	Capital Reserve on Consolidation	Capital Reserve	Capital Redemption Reserve	Statutory Reserves	General Reserve	Retained earnings	Remeasurement of the defined benefit plans	Other Reserves	Share of other reserves in Associate	Share based Payment Reserve	Treasury Shares	Trust Reserve	Debt instruments through OCI	Foreign Currency Translation Reserve	Equity instruments through OCI	Share of OCI in Associates			
Balance as at 1 st April, 2022 (A)	39.16	41.47	5.37	14.96	4,715.75	9,185.95	(18.61)	(28.25)	0.90	13.40	(75.00)	0.05	1.74	(329.48)	148.29	(0.06)	13,715.64	387.53	14,103.17
Additions during the year :																			
Profit for the year	-	-	-	-	-	4,106.45	-	-	-	-	-	-	-	-	-	-	4,106.45	88.88	4,195.33
Items of OCI for the year, net of tax																			
Exchange differences on translating the financial statements of foreign operations	-	-	-	-	-	-	-	-	-	-	-	-	-	(42.22)	-	-	(42.22)	(11.19)	(53.41)
Remeasurement of the defined benefit plans	-	-	-	-	-	-	(7.31)	-	-	-	-	-	-	-	-	-	(7.31)	(0.28)	(7.59)
Net fair value gain on investment in equity instruments through OCI	-	-	-	-	-	-	-	-	-	-	-	-	-	-	79.61	-	79.61	-	79.61
Net fair value (loss) on investment in debt instruments through OCI	-	-	-	-	-	-	-	-	-	-	-	-	(4.80)	-	-	-	(4.80)	-	(4.80)
Share of OCI in Associates	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	(0.77)	(0.77)	-	(0.77)
Total Comprehensive Income for the year (B)	-	-	-	-	-	4,106.45	(7.31)	-	-	-	-	-	(4.80)	(42.22)	79.61	(0.77)	4,130.96	77.41	4,208.37
Reductions during the year :																			
Dividends (Refer note 13)	-	-	-	-	-	(1,908.86)	-	-	-	-	-	-	-	-	-	-	(1,908.86)	(23.65)	(1,932.51)
Effect of stake acquired from non controlling interest	-	-	-	-	-	-	-	(3.13)	-	-	-	-	-	-	-	-	(3.13)	3.13	-
Acquisition of subsidiary	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	9.24	9.24
Equity/other changes in Associate	-	-	-	-	-	-	-	-	0.12	-	-	-	-	-	-	-	0.12	-	0.12
Gross obligation towards further acquisition in subsidiary	-	-	-	-	-	(16.22)	-	-	-	-	-	-	-	-	-	-	(16.22)	-	(16.22)
Transfer to Statutory Reserves and General Reserve	-	-	-	0.48	-	(0.48)	-	-	-	-	-	-	-	-	-	-	-	-	-
Share based payment expense	-	-	-	-	-	-	-	-	-	13.37	-	-	-	-	-	-	13.37	-	13.37
Net Income of ESOP Trust for the year	-	-	-	-	-	-	-	-	-	-	-	0.32	-	-	-	-	0.32	-	0.32
Purchase of Treasury shares by ESOP trust during the year	-	-	-	-	-	-	-	-	-	-	(35.89)	-	-	-	-	-	(35.89)	-	(35.89)
Total (C)	-	-	-	0.48	-	(1,925.56)	-	(3.13)	0.12	13.37	(35.89)	0.32	-	-	-	-	(1,950.29)	(11.28)	(1,961.57)
Balance as at 31 st March, 2023 (A+B+C)	39.16	41.47	5.37	15.44	4,715.75	11,366.84	(25.92)	(31.38)	1.02	26.77	(110.89)	0.37	(3.06)	(371.70)	227.90	(0.83)	15,896.31	453.66	16,349.97

Notes to the Consolidated Financial Statements (Contd.)

NOTE 14 : OTHER EQUITY (CONTD.)

1. Description of nature and purpose of each reserve

Capital Reserve on Consolidation - During the year 2012-13, a Composite Scheme of Restructuring ('Scheme') as approved by Hon'ble High Court of Bombay was effected to transfer certain businesses between the Parent Company, PPG Asian Paints Pvt. Ltd. and Asian Paints PPG Pvt. Ltd. The Capital Reserve on Consolidation represents the additional net assets received by the Parent Company pursuant to the Scheme.

Capital Reserve -

- a. Capital reserve of ₹ 5000/- was created on merger of 'Pentasia Chemicals Ltd' with the Parent Company, pursuant to scheme of Rehabilitation-cum-Merger sanctioned by Board of Industrial and Financial Reconstruction in the financial year 1995-96.
- b. Capital reserve of ₹ 41.47 crores represents ₹ 44.38 crores credited to capital reserve on amalgamation of Asian Paints (International) Limited, Mauritius, wholly owned subsidiary of the Parent Company, with the Parent Company as per the order passed by the National Company Law Tribunal and ₹ 2.91 crores debited on account of acquisition of business from Whitford India Private Limited by PPG Asian Paints Private Limited ('PPGAP'), associate Company.

Capital Redemption Reserve - This reserve was created for redemption of preference shares by the Group prior to 2003.

Statutory Reserves - Certain subsidiaries of the Group are required to set aside a minimum amount of specified percentage of profits annually before distribution of dividends, in accordance with the local regulations. No further transfer is required when the reserve reaches certain percentage of the issued capital of the subsidiary. The statutory reserve may only be distributed to shareholders upon liquidation of the subsidiary or in the circumstances stipulated in the regulations.

General Reserve - General reserve is created from time to time by way of transfer of profits from retained earnings for appropriation purposes. General reserve is created by a transfer from one component of equity to another and is not an item of other comprehensive income.

Remeasurement of defined benefit plans - This represents the cumulative gains and losses arising on the remeasurement of defined benefit plans in accordance with Ind AS 19 that have been recognised in other comprehensive income.

Other Reserves - Other reserve represents non-controlling interest reserve created on acquisition of additional stake of 49% from non-controlling shareholder of Sleek International Private Limited and increase in stake of 1.71% effected through buyback done by Asian Paints (Nepal) Private Limited.

Share of other reserves in Associate - This reserve is created during the year to recognise restricted stock units (RSUs) granted in PPG Asian Paints Private Limited ('PPGAP'), Associate Company of the Group.

Share based Payment Reserve - This represents the fair value of the stock options granted by the Parent Company under the 2021 Plan accumulated over the vesting period. The reserve will be utilised on exercise of the options.

Treasury shares - This represents cost incurred by the Parent Company to purchase its own equity shares from secondary market through the Parent Company's ESOP trust for issuing the shares to the eligible employees on exercise of stock options granted under the 2021 Plan.

Trust Reserve - This represents net income of ESOP Trust.

NOTE 14 : OTHER EQUITY (CONTD.)

1. Description of nature and purpose of each reserve (Contd.)

Debt instruments through OCI - This represents the cumulative gains and losses arising on the revaluation of debt instruments measured at FVTOCI that have been recognised in other comprehensive income, net of amounts reclassified to profit or loss when such assets are disposed off and for impairment losses on such instruments.

Foreign Currency Translation Reserve - Exchange differences relating to the translation of the results and net assets of the Group's foreign operations from their functional currencies to the Group's presentation currency (i.e. ₹) are recognised directly in the other comprehensive income and accumulated in foreign currency translation reserve. Exchange difference previously accumulated in the foreign currency translation reserve are reclassified to profit or loss on the disposal of the foreign operation.

Equity instruments through OCI - This represents the cumulative gains and losses arising on the revaluation of equity instruments measured at FVTOCI, under an irrevocable option, net of amounts reclassified to retained earnings when such assets are disposed off.

Retained earnings - This represents surplus of profit and loss account

2. The Group doesn't have any material subsidiary warranting a disclosure in respect of individual subsidiaries.

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Notes to the Consolidated Financial Statements (Contd.)

NOTE 15 : BORROWINGS^

(₹ in crores)

	Maturity Date	Terms of Repayment	Interest Rate Current Year / (Previous Year)	Non-Current		Current	
				As at 31.03.2024	As at 31.03.2023	As at 31.03.2024	As at 31.03.2023
Secured							
(i) Deferred payment liabilities							
- Loan from State of Haryana ¹	Jun-24 to Apr-27	One time payment at the end of the term	-	4.03	20.25	17.86	-
- Loan from State of Karnataka ²	Mar-34	One time payment at the end of the term	-	31.55	29.11	-	-
				35.58	49.36	17.86	-
(ii) Term Loans - From banks							
- Loan from Standard Chartered Bank, Bangladesh ³	Aug-27	Equal Quarterly Instalments (Pending instalments - 12-15)	T-Bill + 2.76% / (8.50%)	12.90	16.52	3.51	1.87
- Loan from Hongkong and Shanghai Banking Corporation Limited (HSBC), India ⁴	Feb-26	Equal Quarterly Instalments (Pending instalments - 4)	T- Bill + 2.15% / (NA)	5.90	-	-	-
- Loan from Dutch-Bangla Bank Limited, Bangladesh ⁵	Jul-24	For a term of 180 days	8.75% / (6.50%)	-	-	18.28	17.63
- Loan from Standard Chartered Bank, Bangladesh ³	Apr-24 to Nov-24	For a term of 90 days to 270 days	SOFR + 3.50% / (NA)	-	-	12.73	-
- Loan from HSBC, Bangladesh ⁶	May-24	For a term of 60 days to 90 days	SOFR + 2.90% / (NA)	-	-	1.17	-
- Loan from HSBC, Bangladesh ⁶	Jun-24	For a term of 90 days	11.00% /(8.00%)	-	-	15.23	11.50
- Loan from Citibank N.A., Bangladesh ³	May-23	For a term of 120 days	NA / (3.90% - 3.95%)	-	-	-	62.10
- Loan from Yes Bank, India ⁷	Apr-23	For a term of 30 days	NA /(REPO + 2.10%)	-	-	-	1.00
				18.80	16.52	50.92	94.10
(iii) Loan repayable on demand - Cash Credit / Overdraft Accounts							
- Overdraft from Hatton National Bank PLC, Lanka ⁸		Repayable on demand	AWPLR + 1.00% / (NA)	-	-	1.84	-
- Overdraft from HSBC, Bangladesh ⁶		Repayable on demand	10.75% / (NA)	-	-	8.05	-

NOTE 15 : BORROWINGS^ (CONTD.)

(₹ in crores)

	Maturity Date	Terms of Repayment	Interest Rate Current Year / (Previous Year)	Non-Current		Current	
				As at 31.03.2024	As at 31.03.2023	As at 31.03.2024	As at 31.03.2023
Secured (Contd.)							
(iii) Loan repayable on demand - Cash Credit / Overdraft Accounts (Contd.)							
- Overdraft from Commercial Bank of Ceylon, Bangladesh ⁶		Repayable on demand	SMART + 3.25% / (NA)	-	-	3.79	-
- Overdraft from HSBC, India ⁴		Repayable on demand	T-Bill + 2.05 % / (NA)	-	-	33.37	-
- Overdraft from Commercial Bank of Ethiopia ⁹		Repayable on demand	14.00% / (NA)	-	-	1.92	-
- Overdraft from Standard Chartered Bank, Bangladesh ³		Repayable on demand	SMART + 3.50% / (7.00%)	-	-	2.32	4.62
- Overdraft from Dutch-Bangla Bank Limited, Bangladesh ⁵		Repayable on demand	8.75% / (6.50%)	-	-	20.57	16.44
				-	-	71.86	21.06
Unsecured							
(i) Term loans - from banks or financial institutions							
- Loan from Citibank N.A , India	Oct-24	For a term of 180 days	T-Bill + 1.05% / (NA)	-	-	39.00	-
- Loan from HSBC, UAE	Sep-24	For a term of 12 months	EIBOR + 1.75% / (NA)	-	-	31.39	-
- Loan from HSBC, India	Sep-24	Equal Quarterly Instalments (Pending instalments - 2)	SOFR + 1.60% / (SOFR + 1.60%)	-	10.27	10.43	20.55
- Loan from HSBC, India	May-24	For a term of 70 days	T-Bill + 2.05% / (NA)	-	-	4.00	-
- Loan from HSBC, India	May-24	For a term of 55 days	T-Bill+2.05% / (NA)	-	-	4.55	-
- Loan from HSBC, Singapore	Apr-24 to May-24	For a term of 90 days	SORA + 0.40% / (SORA + 0.40%)	-	-	185.35	169.85
- Loan from Standard Chartered Bank, Singapore	Apr-24 to May-24	For a term of 90 days	SORA + 0.50% / (SORA + 0.50%)	-	-	129.74	33.35
- Loan from HSBC, Egypt	Apr-24 to Jun-24	For a term of 90 days	CBE rate + 1.00% / (NA)	-	-	3.78	-
- Loan from HSBC, Egypt	Jun-24	For a term of 90 days	11.00% / (NA)	-	-	4.41	-
- Loan from National Bank of Kuwait, Egypt	Jul-24	For a term of 120 days	CBE rate + 0.75% / (NA)	-	-	4.59	-
- Loan from National Bank of Kuwait, Egypt	Apr-24 to Jul-24	For a term of 120 days	11.00% / (NA)	-	-	8.82	-

Notes to the Consolidated Financial Statements (Contd.)

NOTE 15 : BORROWINGS^ (CONTD.)

(₹ in crores)

	Maturity Date	Terms of Repayment	Interest Rate Current Year / (Previous Year)	Non-Current		Current	
				As at 31.03.2024	As at 31.03.2023	As at 31.03.2024	As at 31.03.2023
Unsecured (Contd.)							
(i) Term loans - from banks or financial institutions (Contd.)							
- Loan from Qatar National Bank, Egypt	Sep-24	For a term of 180 days	CBE rate + 1.20% / (NA)	-	-	3.63	-
- Loan from BNP Paribas, UAE	Jul-23	For a term of 120 days	NA / (LIBOR/ EIBOR + 2.00%)	-	-	-	12.91
- Loan from HSBC, UAE	Jul-23	For a term of 210 days	NA / (SOFR/ LIBOR + 1.90%)	-	-	-	25.45
- Loan from Citibank N.A., Singapore	Apr-24 to Jun-24	For a term of 90 days to 365 days	SOFR + 0.60% or SORA + 0.50% / (SOFR + 0.60% or SORA + 0.50%)	-	-	394.18	424.05
				-	10.27	823.87	686.16
(ii) Loan repayable on demand - Cash Credit / Overdraft Accounts							
- Overdraft from Bank of America, India		Repayable on demand	MCLR + 2.00% / (MCLR + 2.00%)	-	-	60.41	88.96
- Overdraft from Bank of America, India		Repayable on demand	8.50% / (NA)	-	-	27.84	-
- Loan from Yes Bank, India		Repayable on demand	NA / (REPO + 2.60%)	-	-	-	5.78
				-	-	88.25	94.74
Total				54.38	76.15	1,052.76	896.06

Notes :

Interest free borrowings are recognised at fair value using prevailing market interest rate for equivalent borrowing. The difference between the gross proceeds and fair value of the borrowing is the benefit derived from the interest free borrowing and is treated as government grant and recognised as deferred income (Refer note 20).

¹ The Parent Company is eligible to avail interest free borrowing in respect of 50% of VAT paid within Haryana on the sale of goods produced at Rohtak plant for a period of 7 financial years beginning from April 2010. As on 31st March, 2024, the Parent Company has received total interest free borrowing of ₹ 40.64 crores for the period from April 2010 to March 2016. As on 31st March, 2024, the Parent Company has repaid borrowing of ₹ 17.20 crores (Previous year - ₹ 17.20 crores). This borrowing is repayable after a period of 5 years from the date of receipt of interest free borrowing. For the year ended 31st March, 2016 and 31st March, 2017, the Parent Company is awaiting sanction from the Haryana Government.

² The Parent Company is eligible to avail interest free borrowing for a period of 11 years in respect of 100% of Net SGST (upto the value of investment made in Fixed Asset) paid on the sale of goods within the state of Karnataka and produced at Mysuru plant beginning from 28th September 2018. The borrowing is repayable after a period of 11 years from the date of receipt of borrowing. As on 31st March 2024, the Parent Company has received total interest free borrowing of ₹ 70.62 crores for the period from September 2018 to March 2020.

The above interest free borrowings are secured by way of a bank guarantee issued by the Parent Company

³ Secured by first priority *pari-passu* floating charge over trade receivables, inventories and property, plant and equipment of Asian Paints (Bangladesh) Limited

⁴ Secured againsts first *pari-passu* charge on present and future inventory and trade receivables of the Obgenix Software Private Limited

⁵ Secured against all the fixed and floating assets of Asian Paints (Bangladesh) Limited

⁶ Secured by first priority *pari-passu* floating charge by way of hypothecation over trade receivables and inventories of Asian Paints (Bangladesh) Limited

⁷ Secured against current assets of Weatherseal Fenestration Private Limited

⁸ Secured against property, plant and equipment of Causeway Paints Lanka (Pvt) Ltd

⁹ Secured against property, plant and equipment of Kadisco Paints and Adhesive Industry PLC

[^] Default in terms of repayment of principal and interest - NIL

NOTE 15 : BORROWINGS^ (CONTD.)

The aggregate maturities of borrowings, based on contractual maturities are as follows :

(₹ in Crores)

	Less than 1 year	Between 1 - 5 years	More than 5 years	Total	Carrying Value
As at 31st March, 2024					
Borrowings	1,052.76	24.38	70.62	1,147.76	1,107.14
As at 31st March, 2023					
Borrowings	896.06	50.23	70.62	1,016.91	972.21

NOTE 16 : LEASE LIABILITIES

(₹ in Crores)

	Non-Current		Current	
	As at 31.03.2024	As at 31.03.2023	As at 31.03.2024	As at 31.03.2023
Lease liabilities	1,095.29	728.94	271.95	231.47
Total	1,095.29	728.94	271.95	231.47

The aggregate maturities of lease liabilities based on contractual undiscounted cash flows are as follows :

(₹ in Crores)

	Less than 1 year	Between 1 - 5 years	More than 5 years	Total	Carrying Value
As at 31st March, 2024					
Lease Liabilities	364.40	956.08	582.10	1,902.58	1,367.24
As at 31st March, 2023					
Lease Liabilities	293.91	681.66	205.87	1,181.44	960.41

(₹ in Crores)

Movement in lease liabilities	Year 2023-24	Year 2022-23
Balance as at 1st April	960.41	811.22
Additions	721.18	439.60
Acquisition of Subsidiaries (Refer note 41(b) & 41(e))	35.48	-
Deletions	64.11	31.69
Finance cost	91.55	64.99
Repayment (Including interest on lease liabilities)	377.18	320.71
Currency Translation	(0.09)	(3.00)
Balance as at 31st March	1,367.24	960.41

Notes to the Consolidated Financial Statements (Contd.)

NOTE 16 : LEASE LIABILITIES (CONTD.)

Amounts with respect to leases recognised in the Consolidated Statement of Profit and Loss and Consolidated Statement of Cash Flows

	(₹ in Crores)	
	Year 2023-24	Year 2022-23
Amounts recognised in Consolidated Statement of Profit and Loss		
Interest on lease liabilities (net) (Refer note 27)	89.55	64.99
Depreciation of Right-of-Use assets (net) (Refer note 28)	342.02	277.43
Expenses relating to short-term leases and leases of low-value assets (Refer note 26)	55.94	43.56
Variable lease payments (Refer note 26)	147.17	144.38
Amounts recognised in Consolidated Statement of Cash Flows		
In Financing activity		
Repayment of lease liabilities	285.63	255.72
Interest paid on lease liabilities	91.55	64.99
In Operating activity		
Variable lease payments	139.88	137.42
	517.06	458.13

Note - For additions and movement in right-of-use assets Refer note 2B.

NOTE 17 : OTHER FINANCIAL LIABILITIES

(₹ in Crores)				
	Non-Current		Current	
	As at 31.03.2024	As at 31.03.2023	As at 31.03.2024	As at 31.03.2023
(a) Unpaid/ Unclaimed dividend *	-	-	23.84	23.99
	-	-	23.84	23.99
(b) Others				
Retention monies	16.59	17.92	85.58	31.88
Trade deposits from customers	0.79	0.88	0.06	0.06
Payable towards capital expenditure	-	-	306.66	123.68
Payable towards services received	-	-	785.89	808.09
Payable towards stores, spares and consumables	-	-	15.16	42.06
Payable to employees [including ₹ 8.82 crores due to Managing Director (as at 31 st March, 2023 ₹10.19 crores)]	-	-	321.70	297.49
Payable towards other expenses [including ₹ 5.35 crores due to Non-Executive Directors (as at 31 st March, 2023 ₹ 5.32 crores)]	-	-	1,114.77	1,049.80
Gross obligation towards Earnout (Refer note 41(b))	-	-	-	58.97
Derivative liability towards further stake acquisition in Associate Company (Refer note 41(b))	-	6.12	-	-
Gross obligation towards further stake acquisition in subsidiary companies (Refer note 41(a), 41(b) and 41(e))	223.20	21.46	21.43	-
Others	-	-	0.35	-
	240.58	46.38	2,651.60	2,412.03
Total	240.58	46.38	2,675.44	2,436.02

* Represents amount of unclaimed dividend which remains unpaid by the Parent Company. As at 31st March, 2024 and 31st March, 2023, there is no amount due and outstanding to be transferred to the Investor Education and Protection Fund ('IEPF') by the Parent Company. Unclaimed Dividend, if any, shall be transferred to IEPF as and when they become due.

NOTE 18 : TRADE PAYABLES

(₹ in Crores)

	Current	
	As at 31.03.2024	As at 31.03.2023
Trade Payables (including Acceptances)*		
Total Outstanding dues of Micro Enterprises and Small Enterprises (MSME)	250.27	143.88
Total Outstanding dues of creditors other than Micro Enterprises and Small Enterprises	3,581.07	3,491.56
Total	3,831.34	3,635.44

* Acceptances include arrangements where operational suppliers of goods and services are initially paid by banks while the Group continues to recognise the liability till settlement with the banks which are normally effected within a period of 90 days amounting to ₹ 225.16 crores (Previous year - ₹ 308.81 crores).

Trade Payables ageing schedule

(₹ in Crores)

	Not Due	Outstanding for following periods from due date of payment				As at 31.03.2024
		Less than 1 year	1 - 2 years	2 - 3 years	More than 3 years	
Trade Payables (including Acceptances)						
MSME	239.43	10.84	-	-	-	250.27
Other than MSME	3,408.90	166.03	6.07	0.04	0.03	3,581.07
Disputed Dues - MSME	-	-	-	-	-	-
Disputed Dues - Other than MSME	-	-	-	-	-	-
Total	3,648.33	176.87	6.07	0.04	0.03	3,831.34

(₹ in Crores)

	Not Due	Outstanding for following periods from due date of payment				As at 31.03.2023
		Less than 1 year	1 - 2 years	2 - 3 years	More than 3 years	
Trade Payables (including Acceptances)						
MSME	134.57	9.31	-	-	-	143.88
Other than MSME	3,394.24	96.89	0.11	0.04	0.28	3,491.56
Disputed Dues - MSME	-	-	-	-	-	-
Disputed Dues - Other than MSME	-	-	-	-	-	-
Total	3,528.81	106.20	0.11	0.04	0.28	3,635.44

NOTE 19 : PROVISIONS

(₹ in Crores)

	Non-Current		Current	
	As at 31.03.2024	As at 31.03.2023	As at 31.03.2024	As at 31.03.2023
(a) Provision for Employee Benefits (Refer note 32)				
Provision for Compensated absences	181.52	193.67	30.30	32.80
Provision for Gratuity	1.29	1.50	3.57	10.24
Provision for Pension, Leaving Indemnity, Medical Plan and Others (unfunded)	38.53	32.94	5.97	5.79
Provision for Post retirement medical and other benefits	1.22	1.20	5.79	5.12
	222.56	229.31	45.63	53.95

Notes to the Consolidated Financial Statements (Contd.)

NOTE 19 : PROVISIONS (CONTD.)

(₹ in Crores)

	Non-Current		Current	
	As at 31.03.2024	As at 31.03.2023	As at 31.03.2024	As at 31.03.2023
(b) Others				
Provision for excise	-	-	0.07	1.29
Provision for Central Sales Tax(CST)/ VAT and Other Statutory Liabilities	-	1.39	14.77	17.74
Provision for Warranties	-	-	2.01	1.23
	-	1.39	16.85	20.26
Total	222.56	230.70	62.48	74.21

Disclosure relating to movement in other provisions is as follows :

(₹ in Crores)

Movement In Other Provisions	Provision for Excise*		Provision for CST/VAT and Other Statutory Liabilities^		Provision for Warranties®	
	Year 2023-24	Year 2022-23	Year 2023-24	Year 2022-23	Year 2023-24	Year 2022-23
Balance as at 1st April	1.29	1.50	19.13	26.83	1.23	0.67
Additions	-	-	2.95	2.46	0.92	0.83
Utilisations	-	-	(0.27)	(7.49)	(0.14)	(0.27)
Reversals	(1.22)	(0.21)	(7.04)	(2.67)	-	-
Currency Translation	-	-	#	#	-	-
Balance as at 31st March	0.07	1.29	14.77	19.13	2.01	1.23

These provisions represent estimates made for probable claims arising out of litigations/disputes pending with authorities under various statutes (Excise duty, Sales tax, Goods & Services tax, etc.). The probability and the timing of the outflow with regard to these matters depend on the final outcome of the litigations/disputes. Hence, the Group is not able to reasonably ascertain the timing of the outflow. The Group does not expect any reimbursements in respect of these provisions.

* Excise provisions made towards matters disputed at various appellate levels.

^ Provision for CST/VAT and Other Statutory Liabilities includes

- Sales tax provisions made towards non receipt of C Forms and other matters disputed at various appellate level.
- GST provisions arising out of litigations/disputes at various appellate level.

® Provision for warranties represents management's best estimate of the liability for warranties granted on kitchens & appliances by one of the subsidiary based on past experience of claims.

NOTE 20 : OTHER LIABILITIES

(₹ in Crores)

	Non-Current		Current	
	As at 31.03.2024	As at 31.03.2023	As at 31.03.2024	As at 31.03.2023
(a) Revenue received in advance				
Advance received from customers (Refer note 22C(iv))	-	-	153.89	107.98
(b) Others				
Statutory dues payable	-	-	318.58	344.24
Deferred income arising from government grant (Refer note 15)	34.47	39.17	4.71	5.29
Others (Deferred revenue arising from sale of services, etc.)	-	-	6.66	0.94
Other advances	-	-	0.64	0.59
	34.47	39.17	330.59	351.06
Total	34.47	39.17	484.48	459.04

NOTE 21 : INCOME TAX LIABILITIES (NET)

(₹ in Crores)

	Current	
	As at 31.03.2024	As at 31.03.2023
Provision for Income Tax (net)	122.51	163.69
Total	122.51	163.69

NOTE 22A : REVENUE FROM OPERATIONS

(₹ in Crores)

	Year 2023-24	Year 2022-23
Revenue from sale of products	35,248.88	34,253.35
Revenue from sale of services	133.24	114.48
Other operating revenue*	112.61	120.76
Total	35,494.73	34,488.59

* The Parent Company's manufacturing facilities at Maharashtra and Andhra Pradesh are eligible to receive incentive in form of refund of SGST, refund of stamp duty and refund of/ exemption from payment of electricity duty as per the Industrial Promotion Schemes of the respective State Governments and Memorandum of Understanding signed with the respective State Governments. During the year, ₹ 57.21 crores (Previous year - ₹ 58.50 crores) is accrued under the head 'Other operating revenue'.

NOTE 22B : REVENUE FROM CONTRACTS WITH CUSTOMERS

(₹ in Crores)

	Year 2023-24	Year 2022-23
A. REVENUE FROM CONTRACTS WITH CUSTOMERS DISAGGREGATED BASED ON NATURE OF PRODUCT OR SERVICES		
Revenue From Sale of Products		
Paints, décor and related products	35,248.88	34,253.35
Revenue from Sale of Services		
Painting, décor and related services	133.24	114.48
Other operating revenue		
Processing and service income	13.30	20.88
Scrap sales	32.75	31.59
Others	4.07	1.82
Other Income		
Royalty received (Refer note 23(c))		
- From Associate Companies (Refer note 33)	3.03	3.29
- From Others	0.33	0.32
Total	35,435.60	34,425.73
B. REVENUE FROM CONTRACTS WITH CUSTOMERS DISAGGREGATED BASED ON GEOGRAPHY		
Home market	35,274.16	34,193.10
Exports	161.44	232.63
Total	35,435.60	34,425.73

Notes to the Consolidated Financial Statements (Contd.)

NOTE 22C : RECONCILIATION OF GROSS REVENUE WITH THE REVENUE FROM CONTRACTS WITH CUSTOMERS

(₹ in Crores)

	Year 2023-24	Year 2022-23
Gross Revenue	42,784.94	41,023.66
Less : Discounts/Rebates/Credits/Incentives	7,349.34	6,597.93
Net Revenue recognised from Contracts with Customers	35,435.60	34,425.73

- The amounts receivable from customers become due after expiry of credit period which is maximum 180 days. There is no significant financing component in any transaction with the customers.
- The Group provides agreed upon specification warranty for selected range of products & services. (Refer note 19)
- The Group does not have any remaining performance obligation as contracts entered for sale of goods are for a short duration and sale of service contracts are measured as per output method.
- The Group has recognised revenue of ₹ 96.44 crores (Previous year - ₹ 69.30 crores) from the amounts included under advance received from customer at the beginning of the year.

NOTE 23 : OTHER INCOME

(₹ in Crores)

	Year 2023-24	Year 2022-23
(a) Interest Income		
Investments in debt instruments measured at FVTOCI	23.28	9.18
Other financial assets carried at amortised cost	146.65	111.62
	169.93	120.80
(b) Dividends from quoted equity investments measured at FVTOCI*	20.16	13.48
(c) Other non-operating income		
Insurance claims received	2.09	1.56
Royalty received		
- From Associate Companies (Refer note 33)	3.03	3.29
- From Others	0.33	0.32
	3.36	3.61
Net gain arising on financial assets measured at FVTPL^	229.63	120.61
Reversal of provision for expected credit loss on government grants	10.90	27.58
Others &	244.31	84.16
	490.29	237.52
(d) Other gains and losses		
Net gain on disposal of Property, Plant and Equipment and Other Intangible Assets	2.08	11.72
Net gain on modification/ termination of leases	5.50	2.96
	7.58	14.68
Total	687.96	386.48

* Relates to investments held at the end of reporting period

^ Includes gain on sale of financial assets measured at FVTPL for ₹ 21.20 crores (Previous year - ₹ 36.11 crores).

& Includes fair valuation gain on gross obligation towards further stake acquisition in subsidiary companies amounting to ₹ 64.16 crores (Previous Year- NIL) and fair valuation of previously held stake in Obgenix Software Private Limited (White Teak) of ₹ 33.96 crores. (Refer note 41(a) & 41(b)).

NOTE 24A : COST OF MATERIALS CONSUMED

(₹ in Crores)

	Year 2023-24	Year 2022-23
Raw Materials Consumed		
Opening Stock (including goods-in-transit)	2,168.19	2,403.14
Add : Pursuant to acquisition (Refer note 41(b) & 41(e))	1.70	1.30
Add : Purchases	13,629.53	14,613.63
	15,799.42	17,018.07
Less : Closing Stock (including goods-in-transit)	2,246.78	2,168.19
	13,552.64	14,849.88
Packing Materials Consumed		
Opening Stock	93.20	108.74
Add : Purchases	2,324.48	2,465.16
	2,417.68	2,573.90
Less : Closing Stock	102.11	93.20
	2,315.57	2,480.70
Total Cost Of Materials Consumed	15,868.21	17,330.58
NOTE 24B : PURCHASES OF STOCK-IN-TRADE	3,858.20	4,135.65
NOTE 24C : CHANGES IN INVENTORIES OF FINISHED GOODS, STOCK-IN-TRADE AND WORK-IN-PROGRESS		
Stock at the beginning of the year		
Finished Goods (including goods-in-transit)	2,677.78	2,502.34
Work-in-Progress	187.11	195.02
Stock-in-trade acquired for trading (including goods-in-transit)	933.55	790.97
	3,798.44	3,488.33
Add : Pursuant to acquisition (Refer note 41(b) & 41(e))	26.02	0.38
Total	3,824.46	3,488.71
Stock at the end of the year		
Finished Goods (including goods-in-transit)	2,337.14	2,677.78
Work-in-Progress	184.07	187.11
Stock-in-trade acquired for trading (including goods-in-transit)	939.45	933.55
Total	3,460.66	3,798.44
Changes In Inventories Of Finished Goods, Work-In-Progress And Stock-In-Trade	363.80	(309.73)

NOTE 25 : EMPLOYEE BENEFITS EXPENSE

(₹ in Crores)

	Year 2023-24	Year 2022-23
Salaries and wages	2,038.37	1,784.08
Contribution to provident and other funds (Refer note 32(1) and 32(2))	104.55	89.71
Staff welfare expenses	161.42	140.90
Share based payment expenses (Refer note 32(3))	21.84	13.38
Total	2,326.18	2,028.07

Notes to the Consolidated Financial Statements (Contd.)

NOTE 26 : OTHER EXPENSES

	(₹ in Crores)	
	Year 2023-24	Year 2022-23
Consumption of stores, spares and consumables	84.09	89.79
Power and fuel	133.25	138.29
Processing charges	196.63	183.87
Repairs and maintenance :		
Buildings	23.44	23.21
Machinery	55.65	59.05
Other assets	91.80	79.58
	170.89	161.84
Rates and taxes	25.28	19.95
Corporate social responsibility expenses	92.41	78.84
Commission to Non Executive Directors	5.35	5.32
Directors' sitting fees	3.39	3.02
Auditors' Remuneration	6.22	5.27
Net loss on foreign currency transactions and translations (Other than considered as finance cost)	9.90	61.19
Freight and handling charges	2,191.79	2,100.68
Advertisement and Sales Promotion expenses	1,305.86	1,152.93
Bad debts written off	9.20	3.44
Allowances for doubtful debts and advances (net)	116.64	63.91
Insurance	30.34	30.11
Travelling expenses	252.37	191.90
Miscellaneous expenses*	859.75	753.83
Total	5,493.36	5,044.18

Note : Other expenses include variable lease payments (Refer note 16).

* Includes fair valuation loss on earn out amounting to ₹ 0.48 crores (Previous Year - fair valuation loss on earn out, derivatives and gross obligation towards further stake acquisition in subsidiary and associate companies amounting to ₹ 28.85 crores) (Refer note 41(a) & 41(b)).

NOTE 27 : FINANCE COSTS

	(₹ in Crores)	
	Year 2023-24	Year 2022-23
Interest on bank borrowings (net)^	57.44	42.82
Interest on bill discounting	29.91	31.51
Interest on loan from State Government	4.08	1.54
Interest on lease liabilities (net)*	89.55	64.99
Other interest expense	21.61	1.79
Interest on income tax	2.58	1.80
Total	205.17	144.45

*The amount of expenditure recognised in CWIP in the course of construction in current year is ₹ 2.00 crores (Previous Year - NIL).

^The amount of expenditure recognised in CWIP in the course of construction in current year is NIL (Previous Year - ₹ 0.50 crores).

NOTE 28 : DEPRECIATION AND AMORTISATION EXPENSE

(₹ in Crores)

	Year 2023-24	Year 2022-23
Depreciation of Property, Plant and Equipment (Refer note 2A)	483.64	551.50
Depreciation of Right-of-Use assets (net) (Refer note 2B)*	342.02	277.43
Amortisation of Other Intangible assets (Refer note 4B)	27.34	29.09
Total	853.00	858.02

*The amount of expenditure recognised in CWIP in the course of construction is ₹ 4.10 crores (Previous year - NIL).

NOTE 29 (A) : CATEGORY-WISE CLASSIFICATION OF FINANCIAL INSTRUMENTS

Financial Assets and Financial Liabilities in the Consolidated Balance Sheet are as follows :

(₹ in Crores)

Financial assets/ financial liabilities	Refer note	Non-Current		Current	
		As at 31.03.2024	As at 31.03.2023	As at 31.03.2024	As at 31.03.2023
Financial assets measured at FVTPL					
Designated upon initial recognition					
Investments in unquoted equity shares	5(I)(A)(b)(ii)	1.92	1.92	-	-
Mandatory					
Investments in quoted mutual funds	5(II)(C)	-	-	2,945.59	2,647.03
Foreign currency forward exchange contract (net)	7	-	-	0.03	0.07
Derivative asset towards further stake acquisition in Associate Company	7	-	-	-	2.27
		1.92	1.92	2,945.62	2,649.37
Financial assets measured at FVTOCI					
Designated upon initial recognition					
Investments in quoted equity shares*	5(I)(A)(a)	594.08	586.32	-	-
Investments in unquoted debentures or bonds	5(I)(C)(b) (ii) & 5(II)(B) (b)(ii)	2.00	1.49	-	49.32
Investments in quoted debentures or bonds	5(I)(C)(b) (i) & 5(II)(B) (b)(i)	202.03	192.42	216.77	-
		798.11	780.23	216.77	49.32
Financial assets measured at amortised cost					
Investments in government securities	5(I)(B) & 5(II)(A)	#	#	41.05	-
Investments in unquoted debentures or bonds	5(I)(C)(a) & 5(II)(B)(a)	1.35	0.83	-	0.65
Trade receivables	6	1.78	2.17	4,889.05	4,636.94
Sundry deposits	7	76.68	49.47	15.62	34.55
Royalty receivable	7	-	-	0.38	0.53
Due from Associate Companies	7	-	-	2.62	3.73
Subsidy receivable from Governments (net)	7	275.33	300.56	180.76	124.83
Term deposits held as margin money against bank guarantee and other commitments	7	4.04	5.52	5.80	7.61
Term deposits with more than 12 months of original maturity	7	246.95	5.40	1,193.00	1,139.65

Notes to the Consolidated Financial Statements (Contd.)

NOTE 29 (A) : CATEGORY-WISE CLASSIFICATION OF FINANCIAL INSTRUMENTS (CONTD.)

Financial Assets and Financial Liabilities in the Consolidated Balance Sheet are as follows (Contd.):

(₹ in Crores)

Financial assets/ financial liabilities	Refer note	Non-Current		Current	
		As at 31.03.2024	As at 31.03.2023	As at 31.03.2024	As at 31.03.2023
Financial assets measured at amortised cost (Contd.)					
Interest accrued on investments in debentures or bonds measured at FVTOCI	7	-	-	17.53	6.31
Quantity discount receivable	7	-	-	216.61	262.62
Retention monies receivable from Customers	7	3.51	2.23	0.18	0.80
Other receivables	7	-	-	18.82	9.81
Cash and Cash Equivalents	8A	-	-	829.34	523.10
Other Balances with Banks	8B	-	-	254.67	320.72
		609.64	366.18	7,665.43	7,071.85
Financial liabilities measured at FVTPL					
Mandatory					
Gross obligation towards Earnout	17	-	-	-	58.97
Derivatives liability towards further stake acquisition in Associate Company	17	-	6.12	-	-
Gross obligation towards further stake acquisition in subsidiary companies	17	223.20	21.46	21.43	-
		223.20	27.58	21.43	58.97
Financial liabilities measured at amortised cost					
Loan from State of Haryana	15	4.03	20.25	17.86	-
Loan from State of Karnataka	15	31.55	29.11	-	-
Term Loan from Bank	15	18.80	26.79	874.79	780.26
Loan repayable on demand - Cash Credit / Overdraft Accounts	15	-	-	160.11	115.80
Lease Liabilities	16	1,095.29	728.94	271.95	231.47
Unpaid/Unclaimed dividend	17	-	-	23.84	23.99
Retention monies	17	16.59	17.92	85.58	31.88
Trade Deposits from customers	17	0.79	0.88	0.06	0.06
Payable towards capital expenditure	17	-	-	306.66	123.68
Payable towards services received	17	-	-	785.89	808.09
Payable towards stores, spares and consumables	17	-	-	15.16	42.06
Payable to employees	17	-	-	321.70	297.49
Payable towards other expenses	17	-	-	1,114.77	1,049.80
Others	17	-	-	0.35	-
Trade payables (including Acceptances)	18	-	-	3,831.34	3,635.44
		1,167.05	823.89	7,810.06	7,140.02

* Investments in these equity instruments are not held for trading. Upon application of Ind AS 109 - Financial Instruments, the Group has chosen to measure these investments in equity instruments at FVTOCI irrevocably as the management believes that presenting fair value gains or losses relating to these investments in the Consolidated Statement of Profit and Loss may not be indicative of the performance of the Group.

₹ 39,500/-

NOTE 29 (A) : CATERGORY-WISE CLASSIFICATION OF FINANCIAL INSTRUMENTS (CONTD.)

Income, Expenses, Gains or Losses recognised on Financial Instruments in the Consolidated Statement of Profit and Loss are as follows :

(₹ in Crores)			
Income, Expenses, Gains or Losses on Financial Instruments	Refer note	Year 2023-24	Year 2022-23
Financial assets measured at FVTPL			
Mandatory			
Fair value gain on quoted mutual funds	23	229.63	120.61
Fair value (loss) on derivative assets towards acquisition of further stake in Associate Company (net)	26	-	(3.86)
		229.63	116.75
Financial assets measured at amortised cost			
Interest income	23	146.65	111.62
Reversal/(Provision) for expected credit loss on government grants	23	10.90	27.58
Allowance for doubtful debts and advances (net)	26	(116.64)	(63.91)
Bad debts written off	26	(9.20)	(3.44)
		31.71	71.85
Financial assets measured at FVTOCI			
Designated upon initial recognition			
Interest income on Investments in debt instrument	23	23.28	9.18
Dividend income from quoted equity investments	23	20.16	13.48
Net fair value gain on investments in equity instruments		7.77	90.19
Net fair value gain/(loss) on investments in debt instruments		16.20	(5.43)
		67.41	107.42
Financial liabilities measured at FVTPL			
Mandatory			
Fair value (loss) on Gross obligation towards earnout	26	(0.48)	(21.26)
Fair value (loss) on Derivative liability towards further stake acquisition in Associate Company (net)	26	-	(1.31)
Fair value gain/(loss) on Gross obligation towards further stake acquisition in subsidiary companies	23 & 26	64.16	(3.38)
		63.68	(25.95)
Financial liabilities measured at amortised cost			
Interest on lease liabilities	27	89.55	64.99
Interest expense other than on lease liabilities	27	91.43	78.50
		180.98	143.49
Net Loss on foreign currency transactions and translations of Financial Asset and Financial Liabilities measured at amortised cost	23, 26 & 39	9.90	85.40

Notes to the Consolidated Financial Statements (Contd.)

NOTE 29 (B) : FAIR VALUE MEASUREMENTS

(i) The following table provides the fair value measurement hierarchy of the Group's financial assets and liabilities :

As at 31st March, 2024

(₹ in Crores)

Financial assets/ financial liabilities	Fair value	Fair value hierarchy		
	As at 31.03.2024	Quoted prices in active markets (Level 1)	Significant observable inputs (Level 2)	Significant unobservable inputs (Level 3)
Financial assets measured at FVTOCI				
Investments in quoted equity shares (Refer note 5(I)(A)(a))	594.08	594.08	-	-
Investments in quoted debentures or bonds (Refer note 5(I)(C)(b)(i) & 5(II)(B)(b)(ii))	418.80	-	418.80	-
Investments in unquoted debentures or bonds (Refer note 5(I)(C)(b)(ii) & 5(II)(B)(b)(ii))	2.00	-	2.00	-
Financial assets measured at FVTPL				
Investments in quoted mutual funds (Refer note 5(II)(C))	2,945.59	2,945.59	-	-
Investments in unquoted equity shares (Refer note 5(I)(A)(b)(ii))	1.92	-	-	1.92
Foreign currency forward exchange contract (net) (Refer note 7)	0.03	-	0.03	-
Financial liabilities measured at FVTPL				
Gross obligation towards further acquisition in subsidiary companies (Refer note 17)	244.63	-	-	244.63

As at 31st March, 2023

(₹ in Crores)

Financial assets/ financial liabilities	Fair value	Fair value hierarchy		
	As at 31.03.2023	Quoted prices in active markets (Level 1)	Significant observable inputs (Level 2)	Significant unobservable inputs (Level 3)
Financial assets measured at FVTOCI				
Investments in quoted equity shares (Refer note 5(I)(A)(a))	586.32	586.32	-	-
Investments in quoted debentures or bonds (Refer note 5(I)(C)(b)(i) & 5(II)(B)(b)(ii))	192.42	-	192.42	-
Investments in unquoted debentures or bonds (Refer note 5(I)(C)(b)(ii) & 5(II)(B)(b)(ii))	50.81	-	50.81	-
Financial assets measured at FVTPL				
Investments in quoted mutual funds (Refer note 5(II)(C))	2,647.03	2,647.03	-	-
Investments in unquoted equity shares (Refer note 5(I)(A)(b)(ii))	1.92	-	-	1.92
Derivative asset towards further stake acquisition in Associate Company (Refer note 7)	2.27	-	-	2.27
Foreign currency forward exchange contract (net) (Refer note 7)	0.07	-	0.07	-
Financial liabilities measured at FVTPL				
Gross obligation towards Earnout (Refer note 17)	58.97	-	-	58.97
Derivatives liability for further stake acquisition in Associate Company (Refer note 17)	6.12	-	-	6.12
Gross obligation towards further acquisition in subsidiary company (Refer note 17)	21.46	-	-	21.46

NOTE 29 (B) : FAIR VALUE MEASUREMENTS (CONTD.)

(ii) Financial Instrument measured at Amortised Cost

The carrying amount of financial assets and financial liabilities measured at amortised cost in the Consolidated Financial Statements are a reasonable approximation of their fair values since the Group does not anticipate that the carrying amounts would be significantly different from the values that would eventually be received or settled.

(iii) Investments in debentures or bonds measured at FVTOCI

The debentures or bonds are fair valued using various market observable inputs.

(iv) Gross obligation towards Earnout

The gross obligation is valued using agreed financial milestones of Obgenix Software Private Limited for the previous year 2022-23 as per the share purchase agreement. The value is not exposed to any variability.

(v) Significant Techniques and Unobservable Inputs Used for Level 3 Fair Valuation Measurement

As at 31 st March, 2024	Valuation techniques	Significant Unobservable Inputs	Sensitivity of input to fair value measurement	
			Increase of volatility by 5%	Decrease of volatility by 5%
Fair Value of gross obligation towards further stake acquisition in subsidiaries (Weatherseal Fenestration Private Limited, Harind Chemicals and Pharmaceuticals Private Limited and Obgenix Software Private Limited)	Monte Carlo Simulation	Forecast Revenue	Net increase in liability by ₹ 3.39 crores	Net decrease in liability by ₹ 3.55 crores
		Forecast EBITDA	Net increase in liability by ₹ 0.38 crores	Net decrease in liability by ₹ 0.27 crores
		Equity Value	Net increase in liability by ₹ 0.05 crores	Net increase in liability by ₹ 0.02 crores
			Increase of WACC by 1%	Decrease of WACC by 1%
		Weighted Average Cost of Capital (WACC)	Net decrease in liability by ₹ 0.06 crores	Net increase in liability by ₹ 1.03 crores
As at 31 st March, 2023	Valuation techniques	Significant Unobservable Inputs	Sensitivity of input to fair value measurement	
			Increase of volatility by 5%	Decrease of volatility by 5%
Fair Value of gross obligation towards further stake acquisition in subsidiary Company (Weatherseal Fenestration Private Limited) and derivatives towards further stake acquisition in associate Company (Obgenix Software Private Limited)	Monte Carlo Simulation	Forecast Revenue	Decrease in liability by ₹ 1.19 crores	Increase in liability by ₹ 0.90 crores
		Forecast EBITDA	Decrease in liability by ₹ 0.03 crores	Decrease in liability by ₹ 0.11 crores
		Equity Value	Decrease in liability by ₹ 2.45 crores	Increase in liability by ₹ 2.24 crores
			Increase of WACC by 1%	Decrease of WACC by 1%
		Weighted Average Cost of Capital (WACC)	Increase in liability by ₹ 21.71 crores	Decrease in liability by ₹ 25.61 crores

As on 31st March, 2023, Fair value of gross obligation towards earnout and further stake acquisition of 11% in Obgenix Software Private Limited is computed basis actual Revenue and EBITDA in accordance with the Share Purchase Agreement.

Notes to the Consolidated Financial Statements (Contd.)

NOTE 29 (B) : FAIR VALUE MEASUREMENTS (CONTD.)

(vi) Reconciliation of Level 3 fair value measurements of financial assets and financial liabilities is given below

	(₹ in Crores)	
Movements in Level 3 valuations	Year 2023-24	Year 2022-23
Balance as at 1 st April	(82.36)	1.07
Additions	(281.21)	(54.58)
Settled / Payments during the year	56.70	-
Fair value gain/(loss) recorded in Consolidated Statement of Profit and Loss	64.16	(28.85)
Balance as at 31 st March	(242.71)	(82.36)

NOTE 29 (C) : FINANCIAL RISK MANAGEMENT - OBJECTIVES AND POLICIES

The Group's financial assets comprise mainly of investments, cash and cash equivalents, other balances with banks, trade receivables and other receivables and financial liabilities comprise mainly of borrowings, trade payables and other payables.

The Group is exposed to Market risk, Credit risk and Liquidity risk. The Board of Directors ('Board') oversee the management of these financial risks through its Risk Management Committee. The Risk Management Policy of the Group formulated by the Risk Management Committee and approved by the Board, states the Group's approach to address uncertainties in its endeavour to achieve its stated and implicit objectives. It prescribes the roles and responsibilities of the Group's management, the structure for managing risks and the framework for risk management. The framework seeks to identify, assess and mitigate financial risks in order to minimize potential adverse effects on the Group's financial performance. The Board has taken all necessary actions to mitigate the risks identified basis the information and situation present.

The following disclosures summarize the Group's exposure to financial risks and information regarding use of derivatives employed to manage exposures to such risks. Quantitative sensitivity analysis has been provided to reflect the impact of reasonably possible changes in market rates on the financial results, cash flows and financial position of the Group.

1) Market Risk

Market risk is the risk that the fair value of future cash flows of a financial instrument will fluctuate because of changes in market prices. Market risk comprises three types of risks : interest rate risk, currency risk and other price risk. Financial instruments affected by market risk include borrowings, investments, trade payables, trade receivables and derivative financial instruments.

a) Interest Rate Risk

Interest rate risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market interest rates. The Group is exposed to interest rate risk through the impact of rate changes on interest-bearing liabilities and assets. The Group manages its interest rate risk by monitoring the movements in the market interest rates closely.

The sensitivity analysis below have been determined based on the exposure to interest rates for financial instruments at the end of the reporting year and the stipulated change taking place at the beginning of the financial year and held constant throughout the reporting period in the case of instruments that have floating rates. A 50 basis point increase or decrease is used when reporting interest rate risk internally to key management personnel and represents management's assessment of the reasonably possible change in interest rates.

If interest rates had been 50 basis points higher or lower and all other variables were held constant, the Group's profit before tax for the year ended 31st March, 2024 would decrease/increase by ₹ 5.20 crores (Previous Year- ₹ 4.37 crores).

NOTE 29 (C) : FINANCIAL RISK MANAGEMENT - OBJECTIVES AND POLICIES (CONTD.)

1) Market Risk (Contd.)

a) Interest Rate Risk (Contd.)

The Exposure of Group's financial assets and liabilities to interest rate risk is as follows :

	As at 31.03.2024	Floating rate	Fixed rate	(₹ in crores) Non- interest bearing
Financial assets	12,237.49	13.48	2,931.57	9,292.44
Financial liabilities	9,221.74	966.33	1,448.30	6,807.11
	As at 31.03.2023	Floating rate	Fixed rate	(₹ in crores) Non- interest bearing
Financial assets	10,918.87	21.42	2,318.56	8,578.89
Financial liabilities	8,050.46	753.81	1,235.98	6,060.67

b) Foreign Currency Risk

Foreign currency risk is the risk that the fair value or future cash flows of an exposure will fluctuate due to changes in foreign exchange rates. The Group enters into forward exchange contracts with average maturity of less than one month to hedge against its foreign currency exposures relating to the recognised underlying liabilities and firm commitments. The Group's policy is to hedge its exposures above from recognised liabilities and firm commitments that fall due in 90 days. The Group does not enter into any derivative instruments for trading or speculative purposes.

The carrying amounts of the Group's foreign currency denominated monetary items are as follows :

	(in Millions FC)			
Currency	Liabilities		Assets	
	As at 31.03.2024	As at 31.03.2023	As at 31.03.2024	As at 31.03.2023
USD	159.01	120.33	46.84	38.30
EUR	19.81	12.66	10.15	11.55
SGD	0.11	0.03	1.80	1.59
GBP	1.27	0.41	0.24	0.48
SEK	0.20	0.83	-	-
JPY	215.61	18.04	10.30	105.42
	(₹ in crores)			
Currency	Liabilities		Assets	
	As at 31.03.2024	As at 31.03.2023	As at 31.03.2024	As at 31.03.2023
USD	1,326.30	988.84	390.67	314.76
EUR	178.25	112.94	91.36	103.01
SGD	0.70	0.17	11.10	9.80
GBP	13.39	4.11	2.56	4.83
SEK	0.16	0.66	-	-
JPY	11.86	1.11	0.57	6.51
Others	15.19	7.30	91.09	137.45
Total	1,545.85	1,115.13	587.35	576.36

The above table represents total exposure of the Group towards foreign exchange denominated liabilities (net).

Notes to the Consolidated Financial Statements (Contd.)

NOTE 29 (C) : FINANCIAL RISK MANAGEMENT - OBJECTIVES AND POLICIES (CONTD.)

1) Market Risk (Contd.)

b) Foreign Currency Risk (Contd.)

Out of the above, details of exposures hedged using forward exchange contracts are given below :

Currency	Number of Contracts	Buy Amount (USD in mn.)	Indian Rupee Equivalent (₹ in Crores)
Forward contract to buy USD - As at 31.03.2024	3.00	4.26	35.52
Forward contract to buy USD - As at 31.03.2023	17.00	10.23	83.89

The Group is mainly exposed to changes in USD and EUR. The below table demonstrates the sensitivity to a 5% increase or decrease in the USD and EUR against INR, with all other variables held constant. The sensitivity analysis is prepared on the net unhedged exposure of the Group as at the reporting date. 5% represents management's assessment of reasonably possible change in foreign exchange rate.

Change in USD Rate	Effect on profit after tax		Effect on total equity	
	Year 2023-24	Year 2022-23	Year 2023-24	Year 2022-23
	(36.91)	(24.26)	(36.91)	(24.26)
+5%				
-5%	36.91	24.26	36.91	24.26

(₹ in crores)

Change in EUR Rate	Effect on profit after tax		Effect on total equity	
	Year 2023-24	Year 2022-23	Year 2023-24	Year 2022-23
	(3.44)	(0.29)	(3.44)	(0.29)
+5%				
-5%	3.44	0.29	3.44	0.29

(₹ in crores)

c) Other Price Risk

i) Equity/Investment Risk

Equity/Investment risk is the risk that the fair value of a financial instrument will fluctuate due to changes in market traded price. Equity/Investment risk arises from financial assets such as investments in equity instruments and bonds. The Parent Company is exposed to equity risk arising mainly from investments in equity instruments recognised at FVTOCI. As at 31st March, 2024, the carrying value of such equity instruments recognised at FVTOCI amounts to ₹ 594.08 crores (Previous year - ₹ 586.32 crores). The details of such investments in equity instruments are given in Note 5 (I)(A)(a).

The Parent Company is also exposed to Investment risk arising from investments in bonds and debentures recognised at FVTOCI. As at 31st March, 2024, the carrying value of such instruments recognised at FVTOCI amounts to ₹ 420.80 crores (Previous year - ₹ 243.23 crores). These being debt instruments, the exposure to risk of changes in market rates is minimal. The details of such investments in bonds and debentures are given in Note 5 (I)(C)(b) & 5 (II)(B)(b).

The Parent Company is mainly exposed to change in market rates of its investments in equity investments recognised at FVTOCI. A sensitivity analysis demonstrating the impact of change in market prices of these instruments from the prices existing as at the reporting date is given below :

If the equity prices had been higher/lower by 10 % from the market prices existing as at 31st March, 2024, Other Comprehensive Income for the year ended 31st March, 2024 would increase by ₹ 52.61 crores (Previous year - ₹ 51.80 crores) and decrease by ₹ 52.61 crores (Previous year - ₹ 51.80 crores) respectively with a corresponding increase/decrease in Total Equity of the Parent as at 31st March, 2024. 10 % represents management's assessment of reasonably possible change in equity prices.

NOTE 29 (C) : FINANCIAL RISK MANAGEMENT - OBJECTIVES AND POLICIES (CONTD.)

1) Market Risk (Contd.)

c) Other Price Risk (Contd.)

ii) Commodity rate risk

Material cost is the largest cost component for the Group, thus exposing it to the risk of price fluctuations based on the supply and demand conditions of those materials. Commodity price risk exposure is evaluated and managed through operating procedures and sourcing policies. The Group has put in place a mix of long-term and short-term mitigation plans. The long-term price view consisted of identifying single vendor dependency and finding alternate materials or vendors for the same. The Group also has a robust process of estimating the prices at a quarterly frequency, analysing deviations, if any, and taking short-term corrective measures in addition to altering the outlook for the long-term, if required. The Group also leverages its financial resources to modify the inventory levels as required keeping in mind the price outlook in the near term. Similarly, the Group modifies the contract period in negotiations with the vendors to either lock in prices or to keep them open based on the expected price movements. During the year ended 31st March, 2024 and 31st March, 2023, the Group had not entered into any derivative contracts to hedge exposure to fluctuations in commodity prices.

2) Credit Risk

Credit risk refers to risk that a counterparty will default on its contractual obligations resulting in financial loss to the Group. Credit risk arises primarily from financial assets such as trade receivables, investment in mutual funds, derivative financial instruments, other balances with banks, loans and other receivables. The Group's exposure to credit risk is disclosed in Note 5 (except equity shares, bonds and debentures), 6, 7, 8A and 8B.

The Group has adopted a policy of only dealing with counterparties that have sufficiently high credit rating. The Group's exposure and credit ratings of its counterparties are continuously monitored and the aggregate value of transactions is reasonably spread amongst the counterparties.

Credit risk arising from investment in mutual funds, derivative financial instruments, term deposits and other balances with banks is limited and there is no collateral held against these because the counterparties are banks and recognised financial institutions with high credit ratings assigned by the international credit rating agencies.

The average credit period on sales of products and services is a maximum of 180 days. Credit risk arising from trade receivables is managed in accordance with the Group's established policy, procedures and control relating to customer credit risk management. Credit quality of a customer is assessed based on a detailed study of credit worthiness and accordingly individual credit limits are defined/modified. The concentration of credit risk is limited due to the fact that the customer base is large. There is no customer representing more than 5% of the total balance of trade receivables.

For trade receivables, as a practical expedient, the Group companies compute credit loss allowance based on a provision matrix. The provision matrix is prepared based on historically observed default rates over the expected life of trade receivables and is adjusted for forward-looking estimates. The provision matrix at the end of the reporting period for the Parent Company is given below. The Group has used the principles of prudence in applying judgments, estimates and assumptions including sensitivity analysis and based on the current estimates, the Group expects to fully recover the carrying amount of trade receivables.

Net Outstanding > 365 days	% Collection to gross outstanding in current year	Credit loss allowance
Yes	< 25%	Yes, to the extent of lifetime expected credit losses outstanding as at reporting date.
Yes	> 25%	Yes, to the extent of lifetime expected credit losses pertaining to balances outstanding for more than one year.

Above matrix for expected credit loss allowance is used by the Parent Company. Similar matrix has been prepared for respective subsidiaries considering business context of the respective subsidiaries.

Notes to the Consolidated Financial Statements (Contd.)

NOTE 29 (C) : FINANCIAL RISK MANAGEMENT - OBJECTIVES AND POLICIES (CONTD.)

2) Credit Risk (Contd.)

	(₹ in Crores)	
Movement in expected credit loss allowance on trade receivables	Year 2023-24	Year 2022-23
Balance as at 1 st April	305.13	238.95
Acquisition of Subsidiaries (Refer note 41(b) and 41(e))	0.02	-
Loss allowance measured at lifetime expected credit losses	117.02	66.18
Balance as at 31 st March	422.17	305.13

In accordance with Ind AS 109 – Financial Instruments, the Company has re-assessed expected timing of cashflow towards subsidy receivable from the State Governments. The Company is confident about the ultimate realisation of the dues from the State Governments. There is no credit risk attached to these receivables

	(₹ in Crores)	
Movement in expected credit loss allowance on subsidy receivable from the State Governments	Year 2023-24	Year 2022-23
Balance as at 1 st April	26.15	53.73
Unwinding of interest resulting in reversal of expected credit losses	(10.90)	(27.58)
Balance as at 31 st March	15.25	26.15

3) Liquidity Risk

Liquidity risk is the risk that the Group will encounter difficulty in raising funds to meet commitments associated with financial instruments that are settled by delivering cash or another financial asset. Liquidity risk may result from an inability to sell a financial asset quickly at close to its fair value.

The Group has an established liquidity risk management framework for managing its short term, medium term and long term funding and liquidity management requirements. The Group's exposure to liquidity risk arises primarily from mismatches of the maturities of financial assets and liabilities. The Group manages the liquidity risk by maintaining adequate funds in cash and cash equivalents. The Group also has adequate credit facilities agreed with banks to ensure that there is sufficient cash to meet all its normal operating commitments in a timely and cost-effective manner.

The Company believes that its liquidity position (₹ 5,882.65 crores as at 31st March 2024 (Previous Year- ₹ 4,859.47 crores)), anticipated future internally generated funds from operations, and its fully available revolving undrawn credit facility will enable it to meet its future known obligations in the ordinary course of business. However, if liquidity needs were to arise, the Group believes it has access to financing arrangements, value of unencumbered assets, which should enable it to meet its ongoing capital, operating, and other liquidity requirements.

The liquidity position of the Group mentioned above, includes :

- Cash and cash equivalents as disclosed in the Cash Flow Statement (excluding Loan repayable on demand - Cash Credit / Overdraft Accounts)
- Current/ Non-Current term deposits as disclosed in Other Financial Assets and Other Balances with Banks
- Investments in debentures or bonds (including interest accrued on the same).

The Group's liquidity management process as monitored by management, includes-

- Day to day funding, managed by monitoring future cash flows to ensure that requirements can be met;
- Maintaining rolling forecasts of the Group's liquidity position on the basis of expected cash flows;
- Maintaining diversified credit lines.

NOTE 29 (C) : FINANCIAL RISK MANAGEMENT - OBJECTIVES AND POLICIES (CONTD.)

3) Liquidity Risk (Contd.)

The table below analyses financial liabilities of the Group into relevant maturity groupings based on the remaining period from the reporting date to the contractual maturity date. The amounts disclosed in the table are the contractual undiscounted cash flows.

	(₹ in Crores)				
	Less than 1 year	Between 1 - 5 years	More than 5 years	Total	Carrying Value
As at 31st March, 2024					
Borrowings (Refer note 15)	1,052.76	24.38	70.62	1,147.76	1,107.14
Lease Liabilities (Refer note 16)	364.40	956.08	582.10	1,902.58	1,367.24
Other financial liabilities (Refer note 17)	2,675.44	240.58	-	2,916.02	2,916.02
Trade Payables (Refer note 18)	3,831.34	-	-	3,831.34	3,831.34
	(₹ in Crores)				
	Less than 1 year	Between 1 - 5 years	More than 5 years	Total	Carrying Value
As at 31st March, 2023					
Borrowings (Refer note 15)	896.06	50.23	70.62	1,016.91	972.21
Lease Liabilities (Refer note 16)	293.91	681.66	205.87	1,181.44	960.41
Other financial liabilities (Refer note 17)	2,436.02	46.38	-	2,482.40	2,482.40
Trade Payables (Refer note 18)	3,635.44	-	-	3,635.44	3,635.44

NOTE 29 (D) : CAPITAL MANAGEMENT

For the purpose of the Group's capital management, capital includes issued capital and all other equity reserves attributable to the equity shareholders of the Group. The primary objective of the Group when managing capital is to safeguard its ability to continue as a going concern and to maintain an optimal capital structure so as to maximize shareholder value.

The capital structure of the Group consists of debt, which includes the borrowings disclosed in Note 15 and equity attributable to owners of the Parent Company, comprising issued capital, reserves and accumulated profits as presented in the Consolidated Statements of changes in Equity.

Consequent to such capital structure, there are no externally imposed capital requirements. In order to maintain or achieve an optimal capital structure, the Group allocates its capital for distribution as dividend or re-investment into business based on its long term financial plans.

NOTE 30 : EARNINGS PER SHARE

	Year 2023-24	Year 2022-23
Basic earnings per share in rupees (face value – ₹1 per share) (In ₹)	56.95	42.83
Diluted earnings per share in rupees (face value – ₹1 per share) (In ₹)	56.94	42.82
Profit used as Numerator		
Profit after tax attributable to owners of the Parent Company as per Consolidated Statement of Profit and Loss (₹ in crores)	5,460.23	4,106.45
Weighted Average Number of Shares used as Denominator		
Basic EPS	95,88,41,696	95,88,68,120
Diluted EPS	95,89,86,355	95,89,34,041
Reconciliation of Weighted Average Number of Shares Outstanding		
Number of equity shares outstanding during the year	95,91,97,790	95,91,97,790
Less : Weighted average shares held by ESOP trust as treasury shares	(3,56,094)	(3,29,670)
Weighted average number of equity shares outstanding during the year used for computing Basic EPS	95,88,41,696	95,88,68,120
Add : Options granted to employees*	1,44,659	65,921
Weighted average number of equity shares outstanding during the year used for computing Diluted EPS	95,89,86,355	95,89,34,041

*Represents the dilutive impact of Employee Stock Option Plan. For 31st March, 2023, 356 stock options are excluded from calculating weighted average number of outstanding equity shares for the purpose of computing diluted EPS as these are anti-dilutive.

Notes to the Consolidated Financial Statements (Contd.)

NOTE 31 : CONTINGENT LIABILITIES AND COMMITMENTS

a. Contingent Liabilities :

	(₹ in Crores)	
	As at 31.03.2024	As at 31.03.2023
A. Performance Bonds and Immigration Bonds given by Subsidiaries	7.71	7.13
B. Claims against the Group not acknowledged as debts		
i. Tax matters in dispute under appeal		
- Income Tax	367.80	256.50
- Value Added Tax, Goods & Services Tax, Sales Tax, Entry Tax, Octroi & Trade Tax	184.78	166.31
- Excise, Service Tax & Customs	15.36	25.05
ii. Labour related disputes	32.32	31.53
iii. Disputes relating to property matters	24.87	25.07
iv. Others (includes disputes on matters pertaining to rent deposits, electricity, consumer cases, etc)	19.61	17.93
C. Other monies for which the Group is Contingently liable*	43.37	-
Total	695.82	529.52

* Towards custom duty and IGST for capital goods imported under Manufacturing & Other operation in Warehouse Regulation (MOOWR) scheme against which the Parent Company has executed a bond which is three times of the custom duty calculated at the time of import. The amount and timing of liability towards such custom duty and IGST will crystalize at the time of filing of ex-bond bill of entry at the time of removal of goods from the bonded warehouse.

The above claims are pending before various Appellate Authorities. The management, including its advisors, expect that its position will likely be upheld on ultimate resolution and will not have a material adverse effect on the Group's Financial Statements.

It is not practicable for the Group to estimate the timings of cash outflows, if any, in respect of the pending resolution of the respective proceedings as it is determinable only on receipt of judgements/ decisions pending with various forums/ authorities. The Group does not expect any reimbursements in respect of the contingent liabilities.

b. Commitments :

	(₹ in Crores)	
	As at 31.03.2024	As at 31.03.2023
A. Estimated amount of contracts remaining to be executed on capital account and not provided for		
i. Towards Property, Plant and Equipment	1,383.72	1,927.91
ii. Towards Intangible Assets	18.12	28.81
iii. Towards Right-to-use assets ^{&}	545.17	-
B. Letters of Credit and Bank guarantees issued by bankers and outstanding as at year end	202.39	193.65

[&] Represents estimated undiscounted amount of lease liability towards lease agreement with future commencement date.

NOTE 32 : EMPLOYEE BENEFITS

1) Post-employment benefits :

The Group has the following post-employment benefit plans :

a) Defined benefit gratuity plan

The Parent Company and Indian subsidiaries operate defined benefit gratuity plan for its employees, which requires contributions to be made to a separately administered fund or a financial institution. It is governed by the Payment of Gratuity Act, 1972. Under the Act, all employee who has completed five years of service are entitled to specific benefit. The level of benefits provided depends on the member's length of service and salary at retirement age. There is no separate contribution by the employee in the fund. In case of the Parent, the fund has the form of a trust and it is governed by the Board of Trustees. The Board of Trustees is responsible for the administration of the plan assets including investment of the funds in accordance with the norms prescribed by the Government of India. In case of Indian subsidiaries, the fund is managed by Life Insurance Corporation (LIC) and every year the required contribution amount is paid to LIC.

The International subsidiaries operate an unfunded gratuity scheme; provision in respect of which is made annually covering all its permanent eligible employees and workers who have completed stipulated years of their service with the respective subsidiaries.

As the plan assets include significant investments in quoted debt and equity instruments, the Parent Company is exposed to the risk of impacts arising from fluctuation in interest rates and risks associated with equity market.

Fair value of the Parent Company's own transferable financial instruments held as plan assets : NIL

b) Defined benefit pension plan (Unfunded)

The Parent Company operates a defined benefit pension plan for certain specified employees and is payable upon the employee satisfying certain conditions, as approved by the Board of Directors.

c) Defined benefit post-retirement medical benefit plan (Unfunded)

The Parent Company and certain overseas subsidiaries operate a defined post retirement medical benefit plan for certain specified employees and payable upon the employee satisfying certain conditions.

d) Leaving Indemnity plan

Certain overseas subsidiaries provide Leaving Indemnity plan benefits based on last drawn basic salary at the time of separation in accordance with the local labour laws. These defined benefit plans are unfunded.

Asset-Liability Matching (for gratuity and pension plan funded)

Each year, the Board of Trustees and the Parent Company review the level of funding in the India gratuity plan. Such a review includes the asset-liability matching strategy and assessment of the investment risk. The Parent Company (employer) contributes to the fund based on the results of this annual review and ensures that the trust is adequately funded. Generally, it aims to have a portfolio mix of sovereign debt instruments, debt instruments of Corporates and equity instruments. The Parent Company aims to keep annual contributions relatively stable at a level such that no significant plan deficits (based on valuation performed) will arise.

Every two years an Asset-Liability Matching study is performed in which the consequences of the investments are analysed in terms of risk and return profiles. The Board of Trustees, based on the study, takes appropriate decisions on the duration of instruments in which investments are done. As per the latest study, there is no Asset-Liability-Mismatch. There has been no change in the process used by the Parent Company to manage its risks from prior periods.

Notes to the Consolidated Financial Statements (Contd.)

NOTE 32 : EMPLOYEE BENEFITS (CONTD.)

1) Post-employment benefits : (Contd.)

Aforesaid post-employment benefit plans typically expose the Group to actuarial risks such as : investment risk, interest rate risk, longevity risk and salary risk.

Investment Risk	These Plans invest in long term debt instruments such as Government securities and highly rated corporate bonds. The valuation of which is inversely proportionate to the interest rate movements. There is risk of volatility in asset values due to market fluctuations and impairment of assets due to credit losses.
Interest Risk	The present value of the defined benefit liability is calculated using a discount rate which is determined by reference to market yields at the end of the reporting period on Government securities. A decrease in yields will increase the fund liabilities and vice-versa. A decrease in the bond interest rate will increase the plan liability; however, this will be partially offset by an increase in the return on the plan's investments.
Longevity Risk	The present value of the defined benefit liability is calculated by reference to the best estimate of the mortality of plan participants both during and after their employment. An increase in the life expectancy of the plan participants will increase the plan's liability.
Salary Risk	The present value of the defined benefit liability is calculated by reference to the future salaries of plan participants. As such, an increase in salary of the plan participants will increase the plan's liability.

Actuarial Valuation

The above mentioned plans are valued by independent actuaries using the projected unit credit method. The information that follows is extracted from the actuarial reports of the subsidiaries. The independent actuaries who carried out the actuarial valuations as at 31st March, 2024 are as follows : -

1. M/s TransValue Consultants
2. Padma KKA Riana & Rekan
3. Aon Consulting Private Ltd
4. K.A.Pandit

The following tables summarise the components of net defined benefit expense recognised in the Consolidated Statement of Profit and Loss/ OCI and the funded status and amounts recognised in the Consolidated Balance Sheet for the respective plans :

(₹ in Crores)						
	Gratuity (Funded Plan)		Pension (Unfunded Plan)		Leaving Indemnity, Gratuity, Medical Plan and Post retirement medical plan (Unfunded Plan)	
	As at 31.03.2024	As at 31.03.2023	As at 31.03.2024	As at 31.03.2023	As at 31.03.2024	As at 31.03.2023
A Opening defined benefit obligation	259.18	243.66	1.47	1.44	37.47	33.68
Obligation on acquisitions of a subsidiary	-	-	-	-	0.86	-
Current service cost	22.52	19.92	0.06	0.12	5.28	4.29
Interest cost	18.96	17.78	0.10	0.10	2.88	2.14
Past Service Cost	-	(0.89)	-	-	0.64	(0.03)
(Gain) on Curtailments/Settlements	-	-	-	-	-	(0.02)
Amount included in Consolidated Statement of Profit and Loss	41.48	36.81	0.16	0.22	8.80	6.38

NOTE 32 : EMPLOYEE BENEFITS (CONTD.)

1) Post-employment benefits : (Contd.)

(₹ in Crores)						
	Gratuity (Funded Plan)		Pension (Unfunded Plan)		Leaving Indemnity, Gratuity, Medical Plan and Post retirement medical plan (Unfunded Plan)	
	As at 31.03.2024	As at 31.03.2023	As at 31.03.2024	As at 31.03.2023	As at 31.03.2024	As at 31.03.2023
Remeasurement (Gains)/Losses						
Actuarial (Gain)/ Loss from changes in financial assumptions	4.52	(0.89)	0.02	-	(3.31)	(0.14)
Actuarial (Gain)/ Loss from changes in demographic assumptions	-	(0.03)	-	-	(0.12)	0.44
Experience adjustment (Gain) / Loss	(3.30)	2.17	(0.09)	0.10	2.24	(0.23)
Amount included in Other Comprehensive Income	1.22	1.25	(0.07)	0.10	(1.19)	0.07
Benefits paid	(17.14)	(22.54)	(0.26)	(0.29)	(3.79)	(3.69)
Exchange Difference on Foreign Plans	-	-	-	-	0.91	1.03
Closing defined benefit obligation	284.74	259.18	1.30	1.47	43.06	37.47
B Opening fair value of plan assets	247.44	236.96	-	-	-	-
Expected return on plan assets	18.09	16.20	-	-	-	-
Amount included in Consolidated Statement of Profit and Loss	18.09	16.20	-	-	-	-
Actuarial Gains/(loss)	8.56	(8.79)	-	-	-	-
Amount included in Other Comprehensive Income	8.56	(8.79)	-	-	-	-
Contributions by employer	22.94	25.50	-	-	-	-
Benefits paid	(17.14)	(22.43)	-	-	-	-
Closing fair value of plan assets	279.89	247.44	-	-	-	-
C Amounts Recognised in the Balance Sheet						
Closing defined benefit obligation	284.74	259.18	1.30	1.47	43.06	37.47
Closing fair value of plan assets	279.89	247.44	-	-	-	-
Net Liability Recognised in the Balance Sheet	4.85	11.74	1.30	1.47	43.06	37.47
D Expense / (Income) recognised in :						
Statement of Profit and Loss	23.39	20.61	0.16	0.22	8.80	6.38
Statement of Other Comprehensive Income	(7.34)	10.04	(0.07)	0.10	(1.19)	0.07
E Weighted average duration of defined benefit obligation	6.9 to 10.83	7.12 to 10.84	10.57	10.49	7.34 to 15.63	6.91 to 15.85
F Maturity profile of defined benefit obligation						
Within the next 12 months	27.42	23.05	0.15	0.28	5.46	4.78
Between 1 and 5 years	90.88	102.32	0.42	0.73	20.26	17.15
Between 5 and 10 years	179.31	186.90	0.57	0.67	21.74	18.94
10 years and above	325.17	302.93	0.47	0.45	136.39	135.82

Notes to the Consolidated Financial Statements (Contd.)

NOTE 32 : EMPLOYEE BENEFITS (CONTD.)

1) Post-employment benefits : (Contd.)

The major categories of plan assets for the Parent Company are as follows :

(₹ in Crores)		
	Gratuity (Funded Plan)	
	As at 31.03.2024	As at 31.03.2023
Quoted		
Government of India securities (Central and State)	127.81	121.45
High quality corporate bonds (including Public Sector Bonds)	102.16	91.64
Equity shares, Equity mutual funds and ETF	33.16	21.59
Total (A)	263.13	234.68
Unquoted		
Cash Balance	0.28	0.43
Others	5.70	4.52
Total (B)	5.98	4.95
Total (A+B)	269.11	239.63

The principal assumptions used in determining gratuity, pension and post-employment medical benefit obligations for the Group plans are shown below :

	Gratuity (Funded Plan)		Pension (Unfunded Plan)		Leaving Indemnity, Gratuity, Medical Plan and Post retirement medical plan (Unfunded Plan)	
	As at 31.03.2024	As at 31.03.2023	As at 31.03.2024	As at 31.03.2023	As at 31.03.2024	As at 31.03.2023
Discount Rate	7.09% to 7.10%	7.30% to 7.31%	7.09%	7.31%	5.00% to 13.00%	5.00% to 16.00%
Salary Escalation Rate	All Grades- 9% for first year 8% thereafter	All Grades- 9% for first year 8% thereafter	-	-	5.00% to 15.00%	5.00% to 15.00%

Significant actuarial assumptions for the determination of the defined benefit obligation are discount rate and expected salary increase. The sensitivity analysis below has been determined based on reasonably possible changes of the respective assumptions occurring at the end of the reporting period, while holding all other assumptions constant.

(₹ in Crores)						
	Gratuity (Funded Plan)		Pension (Unfunded Plan)		Leaving Indemnity, Gratuity, Medical Plan and Post retirement medical plan (Unfunded Plan)	
	As at 31.03.2024	As at 31.03.2023	As at 31.03.2024	As at 31.03.2023	As at 31.03.2024*	As at 31.03.2023
Defined Benefit Obligation - Discount Rate + 100 basis points	(20.45)	(20.30)	(0.07)	(0.08)	(0.21)	(0.07)
Defined Benefit Obligation - Discount Rate - 100 basis points	23.64	22.39	0.08	0.09	0.23	0.07
Defined Benefit Obligation - Salary Escalation Rate + 100 basis points	19.94	21.43	-	-	0.12	#
Defined Benefit Obligation - Salary Escalation Rate - 100 basis points	(19.03)	(20.07)	-	-	(0.11)	#

* Sensitivity analysis does not include impact of overseas subsidiaries as the same is not material.

NOTE 32 : EMPLOYEE BENEFITS (CONTD.)

1) Post-employment benefits (Contd.):

The sensitivity analyses presented above may not be representative of the actual change in the defined benefit obligation as it is unlikely that the change in assumptions would occur in isolation of one another as some of the assumptions may be correlated. Furthermore, in presenting the above sensitivity analysis, the present value of the defined benefit obligation has been calculated using the projected unit credit method at the end of the reporting period, which is the same as that applied in calculating the defined benefit obligation liability recognised in the Consolidated Balance Sheet.

The Group expects to make a contribution of ₹ 29.21 crores (Previous year - ₹ 34.27 crores) to the defined benefit plans during the next financial years.

e) Provident Fund

The provident fund assets and liabilities of the Parent Company is managed by its provident fund trusts. The plan guarantees minimum interest at the rate notified by the Provident Fund Authorities. The contribution by the employer and employee together with the interest accumulated thereon are payable to employees at the time of separation from the Parent Company or retirement, whichever is earlier. The benefit vests immediately on rendering of the services by the employee. In terms of the guidance note issued by the Institute of Actuaries of India for measurement of provident fund liabilities, the actuary has provided a valuation of provident fund liability and based on the assumptions provided below, there is no shortfall as at 31st March, 2024.

Participation by all employees in provident funds plans is mandatory. Contribution to Provident Fund is made @ 12% of salary (computed in accordance with the prevalent regulations) by the employee. Similarly, the Parent Company also contributes to the Provident Fund specified percentage of salary as per the prevalent regulations. Employees have the option to voluntarily contribute a higher amount.

The details of benefit obligation and plan assets of the provident funds is as given below :

	(₹ in Crores)	
	As at 31.03.2024	As at 31.03.2023
Present value of benefit obligation at period end	882.69	775.04
Plan assets at period end, at fair value, restricted to asset recognised in Balance Sheet	882.69	775.04

Assumptions used in determining the present value obligation of the interest rate guarantee under the Projected Unit Credit Method (PUCM) :

	As at 31.03.2024	As at 31.03.2023
Discounting Rate	7.09%	7.27%
Expected Guaranteed interest rate	8.25%*	8.10%

*Rate announced by Central Board of Trustees of Employees Provident Fund Organisation for the FY 2023-24 and the same is used for valuation purpose. The Trust has provisionally declared interest rate of 8.40% for FY 2023-24.

Notes to the Consolidated Financial Statements (Contd.)

NOTE 32 : EMPLOYEE BENEFITS (CONTD.)

2) Other Long term employee benefits :

Annual Leave and Sick Leave assumptions

The liability towards compensated absences (annual leave and sick leave) for the year ended 31st March, 2024 based on actuarial valuation carried out by using Projected Accrued Benefit Method resulted in decrease in liability by ₹ 14.65 crores (Previous Year - increase by ₹ 11.35 crores).

(a) Financial Assumptions

	As at 31.03.2024	As at 31.03.2023
Discount Rate	5.00% to 17.73%	5.00% to 16.00%
Salary increases allowing for Price inflation	5.00% to 15.00%	5.00% to 15.00%

(b) Demographic Assumptions

	As at 31.03.2024	As at 31.03.2023
Mortality	IALM (2012-14) Ultimate	IALM (2012-14) Ultimate
Employee Turnover	1.80% to 40.00%	1.80% to 40.00%
Leave Availment Ratio	1.00% to 5.00%	2.00% to 5.00%

3) Employee share based payment plans

During the year ended 31st March, 2021, the Group implemented Asian Paints Employee Stock Option Plan 2021 ("2021 Plan"). The plan was approved by the shareholders in the Parent Company's 75th AGM held on 29th June, 2021. The 2021 Plan enables grant of stock options to the eligible employees of the Group and its subsidiaries not exceeding 25,00,000 Shares, which is 0.26 % of the paid up equity share capital of the Parent Company as on 12th May, 2021. Further, the stock options to any single employee under the Plan shall not exceed 5,00,000 Shares of the Company during the tenure of the Plan, subject to compliance with Applicable Law.

The options granted under 2021 Plan have a maximum vesting period of 4 years. The options granted are based on the performance of the employees during the year of the grant and their continuing to remain in service over the next 3 years. The process for determining the eligibility of employees for the grant of stock options under the 2021 Plan shall be determined by the Nomination and Remuneration Committee (Administrator of the 2021 Plan) in consultation with Managing Director & CEO and based on employee's grade, performance rating and such other criteria as may be considered appropriate. The employees shall be entitled to receive one equity share of the Parent Company on exercise of each stock option, subject to performance of the employees and continuation of employment over the vesting period. The exercise price for stock options granted are at a discount of 50% to the Reference Share Price (the average of the daily high and low of the volume weighted average prices of the Shares quoted on a recognised stock exchange during the 22 trading days preceding the day on which the grant is made) of the shares of the Parent Company as defined under 2021 Plan.

Further, the 2021 Plan replaced the existing Deferred Incentive Scheme (which provided for deferred cash pay-outs based on performance of the employees and satisfaction of vesting conditions). Pursuant to launch of 2021 Plan, the eligible employees were given option to convert existing deferred incentive benefit for FY 2020-21 into ESOPs. Accordingly, stock options were granted to those employees opting for ESOPs.

The Administrator approved secondary purchase of shares equivalent to the options granted in August 2021 through Asian Paints Employees Stock Ownership Trust ("ESOP Trust" or "Trust") which is shown as treasury shares in the Consolidated Statement of Changes in Equity.

NOTE 32 : EMPLOYEE BENEFITS (CONTD.)

3) Employee share based payment plans (Contd.)

a) Details of stock options granted :

	Grant Date	Vesting Date	Options outstanding at the beginning of the year	Options granted during the year	Options exercised during the year	Options forfeited during the year	Options lapsed during the year	Options outstanding at the end of the year	Exercisable at period end	Weighted Average remaining contractual life (years)
Grant 1	16 th August, 2021	31 st March 2024	97,532	-	1,670	-	1,654	94,208	94,208	1
Grant 2	16 th August, 2021	31 st March 2025 and 1 st April 2025	1,05,728	-	414	-	2,070	1,03,244	3,990	2
Grant 3	10 th February, 2022	31 st March 2025 and 1 st April 2025	3,741	238	-	-	129	3,850	73	2
Grant 4	6 th June, 2022	31 st March 2026 and 1 st April 2026	1,22,346	12,653	-	-	3,916	1,31,083	1,121	3
Grant 5	8 th September, 2022	31 st March 2026 and 1 st April 2026	6,312	-	-	-	344	5,968	-	3
Grant 6	19 th January, 2023	31 st March 2026 and 1 st April 2026	1,174	-	-	-	590	584	-	3
Grant 7	31 st March, 2023	31 st March 2026 and 1 st April 2026	1,124	-	-	-	294	830	-	3

Weighted average exercise price for respective option series towards all the movement including opening and closing outstanding options.

b) Fair Value of Stock Options granted :

Fair Value of Stock Options was calculated using the Black Scholes Model. The key assumptions used for calculating the option fair value are as below :

	Grant date	Risk free interest rate	Expected life	Expected volatility	Dividend Yield	Fair Value at Grant Date (₹)	Market price at the time of grant of the option (₹)	Exercise price
		Zero Coupon Sovereign Bond Interest Rate equivalent for option life	Tenure to vesting of options and half of exercise period assuming even exercise of options during exercise period	Based on daily volatility for period equivalent for option life	Dividend yield is calculated as dividend paid in last FY divided by current share price			50% of Reference Share Price
Grant 1	16 th August, 2021	5.07%	3.12 years	34.67%	0.60%	1,685.13	2,987.55	1,518.70
Grant 2	16 th August, 2021	5.50%	4.12 years	32.17%	0.60%	1,752.87	2,987.55	1,518.70
Grant 3	10 th February, 2022	5.57%	3.63 years	33.93%	0.55%	1,884.83	3,228.35	1,632.53
Grant 4	6 th June, 2022	7.17%	4.32 years	33.76%	0.66%	1,768.00	2,886.90	1,478.00
Grant 5	8 th September, 2022	7.08%	4.06 years	34.71%	0.56%	2,098.00	3,400.35	1,706.00
Grant 6	19 th January, 2023	7.22%	3.69 years	34.75%	0.65%	1,769.00	2,945.25	1,505.00
Grant 7	31 st March, 2023	7.28%	3.50 years	34.59%	0.69%	1,649.00	2,770.50	1,412.00

During the year, the Group has recognised an expense of ₹ 21.84 crores (Previous year - ₹ 13.38 crores).

Notes to the Consolidated Financial Statements (Contd.)

NOTE 33 : RELATED PARTY TRANSACTIONS

Disclosure on Related Party Transactions as required by Ind AS 24 - Related Party Disclosures is given below :

a) Associates :

- 1) PPG Asian Paints Private Limited
Wholly owned subsidiaries of PPG Asian Paints Private Limited :
 - a) Revocoat India Private Limited
 - b) PPG Asian Paints Lanka Private Limited *

- 2) Obgenix Software Private Limited **

* The Company has ceased its business operations during the year 2022-23.

**Associate upto 22nd June, 2023. On 23rd June, 2023, the Parent Company acquired further 11% equity share capital of Obgenix Software Private Limited. Accordingly, Obgenix Software Private Limited has become a subsidiary of the Parent Company.

Disclosure on Related Party Transactions as required by Ind AS 24 - Related Party Disclosures is given below:

b) Key Managerial Personnel :

Name	Designation
Amit Syngle	Managing Director & CEO
R J Jeyamurugan	CFO & Company Secretary
Non-Executive Directors	
Amrita Vakil	Late. Ashwin Dani (upto 28 th September, 2023)
Nehal Vakil	Deepak Satwalekar (Chairman - upto 30 th September, 2023)
Jigish Choksi	R Seshasayee (Chairman - w.e.f. 1 st October, 2023)
Malav Dani	Soumitra Bhattacharya (w.e.f. 26 th October, 2023)
Milind Sarwate	Pallavi Shroff (upto 31 st March, 2024)
Manish Choksi (Vice Chairman)	Suresh Narayanan (upto 31 st March, 2024)
Ireena Vittal (w.e.f. 25 th July, 2023)	Vibha Paul Rishi (upto 31 st March, 2024)

c) Names of Close Family Members of Key Managerial Personnel (apart from those who are in employment of the Parent Company) where transactions have taken place during the year :

Aashay Ashish Choksi	Ina Ashwin Dani	Richa Manish Choksi
ACC AP Trust	Ishwara Hasit Dani	Rita Mahendra Choksi
Ami Manish Choksi	Jalaj Ashwin Dani [§]	Rupal Anant Bhat
Anay Rupen Choksi	Late. Abhay Arvind Vakil	Rupen Ashwin Choksi
Asha Subhash Gujarathi	Late. Amar Arvind Vakil	Sanjay Rishi
Ashish Ashwin Choksi [§]	Late. Ashwin Suryakant Dani [§]	Satyen Ashwin Gandhi
Ashwin Ramanlal Gandhi	Mahendra Chimanlal Choksi [§]	Shailesh Chimanlal Choksi [§]
Bhairavi Abhay Vakil	Manish Mahendra Choksi [§]	Shalinie Syngle
Binita Ashish Choksi	Meghna Satyen Gandhi	Shubhlakshmi Hasit Dani
Chandanben Chhotalal Shah	Mudit Jalaj Dani	Smiti Jalaj Dani
Dipika Amar Vakil	Nyra Varun Vakil	Urvashi Ashwin Choksi
Druhi Ashish Choksi	Nysa Rupen Choksi	Vaibhavi Hiren Gandhi
Hasit Ashwin Dani [§]	Prafullika Shailesh Choksi	Vishal Shailesh Choksi
Hiren Ashwin Gandhi	Ragini Varun Vakil	Vita Jalaj Dani
Hrishav Varun Vakil	Rhea Manish Choksi	Vivek Abhay Vakil [§]

[§] includes HUF of which he is the karta

NOTE 33 : RELATED PARTY TRANSACTIONS (CONTD.)

d) Close family members of Key Managerial Personnel who are under the employment of the Parent Company and with whom transactions have taken place during the year :

Varun Vakil **

** includes HUF of which he is the karta

e) Entities where Key Managerial Personnel / Close family members of Key Managerial Personnel have control/ significant influence and where transactions have taken place during the year:

Addverb Technologies Ltd. [§]	Hitech Specialities Solutions Ltd.	Resins and Plastics Ltd.
Ankleshwar Industrial Development Society	Hydra Trading Pvt. Ltd.	Ricinash Renewable Materials Pvt. Ltd.
AR Interact	Jalaj Trading And Investment Company Pvt. Ltd.	Rupen Investment and Industries Pvt. Ltd.
Asteroids Trading And Investments Pvt. Ltd.	Jaldhar Investments And Trading Company Pvt. Ltd.	Sattva Holding and Trading Pvt. Ltd.
Castle Investment & Industries Pvt. Ltd.	Lambodar Investments And Trading Company Ltd.	Satyadharma Investments And Trading Company Pvt Ltd.
Centaurus Trading And Investments Pvt. Ltd.	Lyon Investment and Industries Pvt. Ltd.	Shardul Amarchand Mangaldas & Co. ^
Dani Finlease Pvt. Ltd.	Murahar Investments And Trading Company Ltd.	Stack Pack Ltd.
Doli Trading and Investments Pvt. Ltd.	Navbharat Packaging Industries Pvt. Ltd.	Smiti Holding And Trading Company Pvt. Ltd.
Elcid Investments Ltd.	Nehal Trading and Investments Pvt. Ltd.	Sudhanva Investments And Trading Company Pvt.Ltd.
ELF Trading And Chemical Manufacturing Pvt. Ltd.	Paladin Paints And Chemicals Pvt. Ltd.	Suptaswar Investments And Trading Company Ltd.
Geetanjali Trading and Investments Pvt. Ltd.	Riash Renewable Materials Pvt. Ltd. [®]	Tru Trading And Investments Pvt. Ltd.
Gujarat Organics Pvt. Ltd. [%]	Piramal Swasthya Management and Research Institute	Unnati Trading And Investments Pvt. Ltd.
Hiren Holdings Pvt. Ltd.	Rayirth Holding And Trading Company Pvt. Ltd.	Vikatmev Containers Ltd.
Hitech Corporation Ltd.		

[§] Change in name w.e.f. 16th September, 2022 (formerly known as Addverb Technologies Pvt. Ltd.)

[%] Change in name w.e.f. 14th December, 2022 (formerly known as Gujarat Organics Ltd.).

[®] Formerly known as Riash Realty Pvt. Ltd. (till 26th October, 2022).

[^] Upto 31st March 2024.

f) Other entities where significant influence exist :

i) Post employment-benefit plan entity :

Asian Paints (I) Limited Employees' Gratuity Fund

Asian Paints Industrial Coatings Limited Employees' Gratuity Fund

ii) Other :

Asian Paints Office Provident Fund (Employee benefit plan)

Asian Paints Factory Employees' Provident Fund (Employee benefit plan)

Asian Paints Management Cadres' Superannuation Scheme (Employee benefit plan)

Notes to the Consolidated Financial Statements (Contd.)

NOTE 33 : RELATED PARTY TRANSACTIONS (CONTD.)

f) Other entities where significant influence exist (Contd.) :

Terms and conditions of transactions with related parties :

- The Group has been entering into transactions with related parties for its business purposes. The process followed for entering into transactions with related party is same as followed for unrelated party. Vendors are selected competitively having regard to strict adherence to quality, timely servicing and cost advantage. Further related party vendors provide additional advantages in terms of :
 - Supplying products primarily to the Group,
 - Advanced and innovative technology,
 - Customisation of products to suit the Group's specific requirements, and
 - Enhancement of the Group's purchase cycle and assurance of just in time supply with resultant benefits— notably on working capital.
- The purchases from and sales to related parties are made on terms equivalent to and those applicable to all unrelated parties on arm's length transactions. Outstanding balances payable and receivable at the year-end are unsecured, interest free and will be settled in cash.
- During the year ended 31st March, 2024, the Parent Company has recognised an amount of ₹ 18,052/- due from its associates (Previous year - NIL) as provision for doubtful receivables in Consolidated Statement of Profit and Loss.
- The assessment of receivables is undertaken in each financial year through examining the financial position of related parties, the market and regulatory environment in which related parties operate and is in accordance with the accounting policy of the Group.

Compensation of key managerial personnel of the Parent Company :

	(₹ in Crores)	
	Year 2023-24	Year 2022-23
Short-term employee benefits	30.45	29.10
Post-employment benefits	0.04	0.07
Other long-term benefits	-	-
Termination benefits	-	-
Share-based payments	-	-
Total compensation paid to key managerial personnel	30.49	29.17

NOTE 33 : RELATED PARTY TRANSACTIONS (CONTD.)

Details of transactions with and balances outstanding of Associate Companies

(₹ in Crores)					
Name of the related party	Nature of transaction	Year 2023-24		Year 2022-23	
		Transaction value	Outstanding amount	Transaction value	Outstanding amount
PPG Asian Paints Private Limited	Revenue from Sale of Products	10.28	2.67	9.79	1.04
	Purchase of Goods	6.55	2.15	5.30	1.23
	Processing Income	2.84	1.98	11.42	2.86
	Royalty Income	3.56	0.29	3.76	0.32
	Other Non Operating Income	4.62	(0.14)	8.23	0.25
	Processing charges	-	-	#	-
	Reimbursement of Expenses Received	4.71	0.87	0.45	0.30
	Reimbursement of Expenses Paid	0.35	0.01	1.44	0.01
	Sale of Assets	0.18	-	-	-
	Purchase of Assets	0.01	-	-	-
	Dividend received	108.37	-	42.78	-
Revocoat India Private Limited	Other Non Operating Income	0.05	0.01	0.17	(0.02)
	Reimbursement of Expenses Received	0.06	0.01	-	-
Obgenix Software Private Limited *	Purchase of Goods	0.03	-	0.88	0.71
	Royalty Income	0.03	-	0.13	0.13
	Other Non Operating Income	0.62	-	1.06	0.26
	Reimbursement of Expenses Received	0.26	-	0.63	0.18

* The transaction with Obgenix Software Private Limited is for the period during which it was an Associate Company.

Details of transactions with and balances outstanding of Key Managerial Personnel/Close Family Member of Key Managerial Personnel :

(₹ in Crores)					
Name of the related party	Nature of transaction	Year 2023-24		Year 2022-23	
		Transaction value	Outstanding amount	Transaction value	Outstanding amount
Amit Syngle	Remuneration ^	18.82	8.82	18.40	10.19
	Dividend paid	#	-	#	-
	Revenue from Sale of Products	0.01	-	-	-
R J Jeyamurugan	Remuneration ^^	4.31	-	3.69	-
Amrita Vakil	Remuneration	0.56	0.43	0.55	0.42
	Dividend paid	6.78	-	5.11	-
Late. Ashwin Dani	Retiral benefits	0.04	-	0.07	-
	Remuneration	0.23	0.21	0.50	0.42
	Dividend paid	4.49	-	3.92	-
Deepak Satwalekar	Remuneration	0.27	0.25	0.62	0.50
Jigish Choksi	Remuneration	0.56	0.42	0.53	0.42
	Dividend paid	5.27	-	3.97	-
Malav Dani	Remuneration	0.58	0.45	0.57	0.44
	Dividend paid	8.90	-	6.58	-
Manish Choksi	Remuneration	0.63	0.46	0.63	0.46
	Dividend paid	6.31	-	4.75	-

Notes to the Consolidated Financial Statements (Contd.)

NOTE 33 : RELATED PARTY TRANSACTIONS (CONTD.)

Details of transactions with and balances outstanding of Key Managerial Personnel/Close Family Members of Key Managerial Personnel (Contd.):

(₹ in Crores)

Name of the related party	Nature of transaction	Year 2023-24		Year 2022-23	
		Transaction value	Outstanding amount	Transaction value	Outstanding amount
Milind Sarwate	Remuneration	0.65	0.48	0.63	0.48
	Dividend paid	#	-	#	-
Nehal Vakil	Remuneration	0.54	0.42	0.52	0.42
	Dividend paid	15.15	-	25.48	-
Pallavi Shroff	Remuneration	0.58	0.42	0.55	0.42
R Seshasayee	Remuneration	0.66	0.47	0.66	0.44
	Dividend paid	#	-	#	-
Suresh Narayanan	Remuneration	0.62	0.46	0.62	0.46
Vibha Paul Rishi	Remuneration	0.69	0.45	0.63	0.44
Ireena Vittal	Remuneration	0.43	0.28	-	-
Soumitra Bhattacharya	Remuneration	0.32	0.18	-	-
Varun Vakil (Close Family Members of KMP)	Remuneration	1.07	-	0.93	-
	Dividend paid	19.66	-	14.82	-
Rupal Anant Bhat (Close Family Members of KMP) *	Revenue from sale of products & services	0.05	(0.02)	-	(0.07)
	Dividend paid	5.08	-	3.83	-
Others *	Dividend paid	195.78	-	133.11	-

^ Remuneration does not include:

a. Performance based incentive and Deferred incentive (Year 2023-24 - NIL, Year 2022-23 - ₹ 0.90 crores for previous years).

b. Stock options (Year 2023-24 - ₹ 8.82 crores, Year 2022-23 - ₹5.49 crores) which will be subject to vesting conditions in accordance with the 2021 plan.

^^ Remuneration does not include:

a. Performance based incentive and Deferred incentive (Year 2023-24 - NIL, Year 2022-23 - ₹ 0.16 crores paid for previous years).

b. Stock options in lieu of eligible deferred incentive (Year 2023-24 - ₹ 0.59 crores, Year 2022-23 - ₹ 0.48 crores) which will be subject to vesting conditions in accordance with the 2021 plan.

% Transaction with Close family member entered in FY 2023-24, advance for the same received disclosed for FY 2022-23.

* Dividend paid to Close Family Members of Key Managerial Personnel has been shown under others, which are less than 10% of overall dividend paid to Related parties.

Details of transactions with and balances outstanding of Entities Controlled/significantly influenced by Key Managerial Personnel/Close Family Members of Key Managerial Personnel :

(₹ in Crores)

Name of the related party	Nature of transaction	Year 2023-24		Year 2022-23	
		Transaction value	Outstanding amount	Transaction value	Outstanding amount
AR Interact	Issue of gift vouchers under marketing Schemes	#	#	-	-
Addverb Technologies Ltd.	Services Received	0.02	0.03	-	-
	Revenue from sale of products & services	0.37	0.20	-	-
Ankleshwar Industrial Development Society	Corporate Social Responsibility Expenses	0.09	(0.01)	-	-
	Services Received	0.15	-	0.11	(0.01)

NOTE 33 : RELATED PARTY TRANSACTIONS (CONTD.)**Details of transactions with and balances outstanding of Entities Controlled/significantly influenced by Key Managerial Personnel/Close Family Members of Key Managerial Personnel (Contd.):**

(₹ in Crores)

Name of the related party	Nature of transaction	Year 2023-24		Year 2022-23	
		Transaction value	Outstanding amount	Transaction value	Outstanding amount
ELF Trading And Chemical Manufacturing Pvt. Ltd.	Revenue from sale of products & services	1.06	0.03	0.63	(0.24)
	Dividend paid	5.57	-	4.20	-
Hitech Corporation Ltd.	Purchase of goods	451.93	110.54	470.80	106.38
Hitech Specialities Solutions Ltd.	Purchase of goods	0.05	0.01	6.96	0.01
Hydra Trading Pvt. Ltd.	Revenue from sale of products	-	-	0.11	-
Navbharat Packaging Industries Pvt. Ltd.	Purchase of goods	3.58	0.22	6.32	0.30
Paladin Paints And Chemicals Pvt. Ltd.	Purchase of goods	1.46	0.24	5.82	#
	Services Received	0.74	0.02	0.87	0.09
Piramal Swasthya Management and Research Institute	Corporate Social Responsibility Expenses	3.51	-	3.21	-
Resins and Plastics Ltd.	Purchase of goods	49.06	13.99	47.41	8.75
	Revenue from sale of products	0.11	0.01	0.15	0.02
Ricinash Renewable Materials Pvt. Ltd.	Purchase of goods	11.63	-	17.50	0.95
Shardul Amarchand Mangaldas & Co. *	Services Received	0.38	0.31	1.52	0.44
Stack Pack Ltd.	Purchase of goods	12.44	1.08	13.33	2.41
Vikatmev Containers Ltd.	Purchase of goods	17.91	1.59	21.22	1.02
	Dividend paid	0.29	-	0.22	-
Riash Renewable Materials Pvt. Ltd.	Revenue from sale of products & services	0.73	(1.31)	0.20	(0.88)
Sattva Holding and Trading Private Limited	Dividend paid	144.64	-	109.03	-
Smiti Holding And Trading Company Private Limited	Revenue from sale of products	-	-	0.14	-
	Dividend paid	146.10	-	110.12	-
Others **	Dividend paid	768.64	-	579.39	-

*Upto 31st March, 2024.

** Dividend paid to Entities Controlled/Significantly influenced by Directors/Close Family Members of Directors has been shown under others, which are less than 10% of overall dividend paid to Related parties.

Notes to the Consolidated Financial Statements (Contd.)

NOTE 33 : RELATED PARTY TRANSACTIONS (CONTD.)

Details of transactions with and balances outstanding for Other Entities where significant influence exist :

Name of the related party	Nature of transaction	(₹ in Crores)			
		Year 2023-24		Year 2022-23	
		Transaction value	Outstanding amount	Transaction value	Outstanding amount
Asian Paints (I) Limited Employees' Gratuity Fund *	Contributions during the year (includes Employees' share and contribution)	19.10	-	24.00	-
Asian Paints Industrial Coatings Limited Employees' Gratuity Fund *	Contributions during the year (includes Employees' share and contribution)	0.99	-	0.26	-
Asian Paints Office Provident Fund	Contributions during the year (includes Employees' share and contribution)	65.72	5.77	54.47	4.53
Asian Paints Factory Employees' Provident Fund	Contributions during the year (includes Employees' share and contribution)	42.21	3.68	39.82	3.27
Asian Paints Management Cadres Superannuation Scheme	Contributions during the year (includes Employees' share and contribution)	-	-	0.04	-

* The Group pays to the employees on behalf of Trust which is subsequently reimbursed by the Trust.

All the amounts reported in note 33 are inclusive of GST wherever applicable.

NOTE 34 : PURSUANT TO IND AS-116 - LEASES, THE FOLLOWING INFORMATION IS DISCLOSED :

I) Assets given on operating leases

- Certain subsidiaries have provided tinting systems to its dealers on an operating lease basis. The lease period is four years. The lease rentals are payable monthly by the dealers. A refundable security deposit is collected at the time of signing the agreement.
- Future minimum lease rentals receivable as per the lease agreements are as follows:

	(₹ in Crores)	
	As at 31.03.2024	As at 31.03.2023
Not later than 1 year	0.02	0.02
Later than 1 year and not later than 5 years	#	0.05
Later than 5 years	-	-
Total	0.02	0.07

The information pertaining to future minimum lease rentals receivable is based on the lease agreements entered into between the respective companies and the dealers and variation made thereto. The lease rentals are reviewed periodically taking into account prevailing market conditions.

- The initial direct cost relating to acquisition of tinting system is capitalised.
- The information on gross amount of leased assets, depreciation and impairment is given in note 2A.

NOTE 34 : PURSUANT TO IND AS-116 - LEASES, THE FOLLOWING INFORMATION IS DISCLOSED (CONTD.):

II) Assets given on finance lease

- A subsidiary has given some of its plant and equipment on finance lease which effectively transferred substantially all of the risks and benefits incidental to the ownership.
- The total gross investment in these leases and the present value of minimum lease payment receivable as on 31st March, 2024 and 31st March, 2023 is as under :

	As at 31.03.2024			As at 31.03.2023		
	Gross investments in lease	Unearned finance income	Present value receivables	Gross investments in lease	Unearned finance income	Present value receivables
Not later than 1 year	0.32	0.02	0.30	0.46	0.01	0.45
Later than 1 year and not later than 5 years	-	-	-	-	-	-
Later than 5 years	-	-	-	-	-	-
Total	0.32	0.02	0.30	0.46	0.01	0.45

(₹ in Crores)

NOTE 35 : SEGMENT REPORTING

The Group is primarily engaged in the business of 'Paints and Home Decor'. There is no separate reportable segment as per Ind AS 108 - Operating Segments.

NOTE 36 : INVESTMENT IN ASSOCIATE COMPANIES

a) PPG Asian Paints Private Limited

The Group has 50% interest in PPG Asian Paints Private Limited, which is involved in the manufacture of original equipment manufacturer coatings. PPG Asian Paints Private Limited is a private entity that is not listed on any public exchange. The Group's interest in PPG Asian Paints Private Limited is accounted for using the equity method in the Consolidated Financial Statements. The following table illustrates the summarised financial information of the Group's investment in PPG Asian Paints Private Limited :

	As at 31.03.2024	As at 31.03.2023
Current Assets	1,137.13	1,068.94
Non-current Assets	478.36	472.71
Current Liabilities	(405.09)	(374.10)
Non-current Liabilities	(44.13)	(47.25)
Equity	1,166.27	1,120.30
Proportion of the Group's ownership interest	50%	50%
Carrying amount of the Group's interest*	583.13	560.15
Dividend received during the year	108.37	42.78

(₹ in Crores)

* Includes share of capital reserve and other reserves in Associate Company amounting to ₹ 0.10 crores (Previous year - ₹ 0.12 crores) (Refer note 14)

Notes to the Consolidated Financial Statements (Contd.)

NOTE 36 : INVESTMENT IN ASSOCIATE COMPANIES (CONTD.)

a) PPG Asian Paints Private Limited (contd.)

	(₹ in Crores)	
	Year 2023-24	Year 2022-23
Total Income	2,050.51	1,849.65
Cost of raw material and components consumed	(1,204.83)	(1,179.97)
Depreciation & amortisation	(42.79)	(47.42)
Finance cost	(2.54)	(3.51)
Employee benefit	(166.00)	(144.83)
Other expenses	(278.31)	(238.26)
Profit before tax	356.04	235.66
Income tax expense	(91.13)	(59.28)
Profit for the year	264.91	176.38
Other comprehensive income	(2.43)	(1.68)
Total comprehensive income for the year	262.48	174.70
Group's share of profit for the year	132.45	88.19
Group's share of Other Comprehensive Income for the year	(1.22)	(0.84)
Group's Total Comprehensive Income for the year	131.23	87.35

The Associate had the following contingent liabilities and capital commitments :

a. Contingent Liabilities

	(₹ in Crores)	
	As at 31.03.2024	As at 31.03.2023
Claims against the Company not acknowledged as debts		
i. Tax matters in dispute under appeal		
- Income Tax	149.72	131.79
- Value Added Tax, Central Sales Tax and GST	13.09	17.42
Total	162.81	149.21

b. Capital Commitments

	(₹ in Crores)	
	As at 31.03.2024	As at 31.03.2023
Estimated amount of contracts remaining to be executed on capital account and not provided for		
i. Towards Property, Plant and Equipment	6.20	1.88

NOTE 36 : INVESTMENT IN ASSOCIATE COMPANIES (CONTD.)

b) Obgenix Software Private Limited

During the last year, the Parent Company had acquired 49% interest in Obgenix Software Private Limited (White Teak), which is involved in designer and decorative lighting space (Refer note 41(b)). White Teak is a private entity that is not listed on any public exchange. On 23rd June, 2023, the Parent Company has further acquired 11% of the equity share capital from the existing shareholders of White Teak. The Parent Company now holds 60% of the equity share capital of White Teak, by virtue of which White Teak has become a subsidiary of the Parent Company and it ceased to be an Associate Company for the Group. The Group's interest in White Teak is accounted for using the equity method in the Consolidated Financial Statements till 30th June 2023. The following table illustrates the summarised financial information of the Group's investment in White Teak :

	(₹ in Crores)
	As at 31.03.2023
Current Assets	33.78
Non-current Assets	31.94
Current Liabilities	(27.11)
Non-current Liabilities	(14.01)
Equity	24.60
Proportion of the Group's ownership interest	49%
Group's share of net assets	12.05
Intangible assets (including goodwill)	209.53
Carrying amount of the Group's interest	221.58

	(₹ in Crores)	
	Year 2023-24*	Year 2022-23
Total Income	26.14	109.02
Cost of material consumed	(8.94)	(38.36)
Depreciation & amortisation	(2.71)	(11.48)
Finance cost	(0.80)	(3.66)
Employee benefit	(4.89)	(15.74)
Other expenses	(7.26)	(24.22)
Profit before tax	1.54	15.56
Income tax expense	(0.39)	(4.01)
Profit for the year	1.15	11.55
Other comprehensive income	0.05	0.07
Total comprehensive income for the year	1.20	11.62
Group's share of profit for the year	0.55	5.66
Group's Other Comprehensive Income for the year	0.03	0.03
Group's Total Comprehensive Income for the year	0.58	5.69

*Upto 30th June 2023.

White Teak has no contingent liabilities and capital commitments as at 31st March, 2023.

Notes to the Consolidated Financial Statements (Contd.)

NOTE 37 : DISCLOSURE OF ADDITIONAL INFORMATION PERTAINING TO THE PARENT COMPANY, SUBSIDIARIES AND ASSOCIATES AS PER SCHEDULE III OF COMPANIES ACT, 2013 :

(₹ in Crores)

Name of the Company	Net Assets (Total Assets minus Total Liabilities)		Share in Profit or Loss		OCI		TCI	
	Year 2023-24		Year 2023-24		Year 2023-24		Year 2023-24	
	As % of Consolidated net assets	Net Assets	As % of Consolidated profit or loss	Profit/(Loss)	As % of Consolidated OCI	OCI	As % of Consolidated TCI	TCI
Parent Company								
Asian Paints Limited	94.9	18,425.09	95.7	5,321.55	86.4	27.60	95.7	5,349.15
Indian Subsidiaries								
Direct Subsidiaries								
Asian Paints Industrial Coatings Limited	0.3	50.18	0.1	3.90	(0.5)	(0.16)	0.1	3.74
Maxbhum Developers Limited*	0.1	13.31	0.0	0.65	-	-	0.0	0.65
Sleek International Private Limited*	0.5	99.10	(0.1)	(5.43)	(0.5)	(0.15)	(0.1)	(5.58)
Asian Paints PPG Private Limited	1.0	182.32	0.9	50.09	(0.4)	(0.14)	0.9	49.95
Weatherseal Fenestration Private Limited*	(0.0)	(1.48)	(0.2)	(9.39)	(0.0)	(0.00)	(0.2)	(9.39)
Asian Paints (Polymers) Private Limited*	1.6	301.08	0.1	3.36	-	-	0.1	3.36
Obgenix Software Private Limited*	0.1	16.07	0.0	1.22	(0.7)	(0.23)	0.0	0.99
Harind Chemicals and Pharmaceuticals Private Limited*	0.0	9.16	0.0	0.56	(0.2)	(0.06)	0.0	0.50
Indirect Subsidiaries								
Nova Surface-Care Centre Private Limited*	0.0	0.28	0.0	1.04	-	-	0.0	1.04
Foreign Subsidiaries								
Direct Subsidiaries								
Asian Paints (Nepal) Private Limited	1.1	218.61	0.4	21.19	-	-	0.4	21.19
Asian Paints International Private Limited	1.8	338.96	(1.1)	(67.19)	-	-	(1.1)	(67.19)
Asian White Cement Holding Limited*	0.6	110.31	0.1	(0.42)	-	-	0.1	(0.42)
Indirect Subsidiaries								
Samoa Paints Limited	0.0	4.62	0.0	0.95	-	-	0.0	0.95
Asian Paints (South Pacific) Pte Limited	0.2	40.59	0.1	8.11	-	-	0.1	8.11
Asian Paints (S.I) Limited	0.0	5.14	0.1	3.93	-	-	0.1	3.93
Asian Paints (Vanuatu) Limited	0.0	3.73	0.0	0.83	-	-	0.0	0.83
Asian Paints (Middle East) SPC	0.9	181.34	0.9	51.14	3.8	1.23	0.9	52.37
Asian Paints (Bangladesh) Limited	0.5	98.01	0.2	9.56	2.6	0.84	0.2	10.40
SCIB Chemicals S.A.E.	0.1	23.93	0.1	4.22	-	-	0.1	4.22
Berger Paints Bahrain W.L.L.	0.2	45.76	0.3	17.29	(1.4)	(0.43)	0.3	16.86
Berger Paints Emirates LLC	0.2	45.79	(0.0)	(2.01)	5.5	1.77	(0.0)	(0.24)
Nirvana Investments Limited	0.0	1.42	-	-	-	-	-	-
Enterprise Paints Limited	(0.1)	(15.15)	0.0	1.16	-	-	0.0	1.16
Universal Paints Limited	0.1	22.64	0.3	18.03	-	-	0.3	18.03

NOTE 37 : DISCLOSURE OF ADDITIONAL INFORMATION PERTAINING TO THE PARENT COMPANY, SUBSIDIARIES AND ASSOCIATES AS PER SCHEDULE III OF COMPANIES ACT, 2013 (CONTD.):

(₹ in Crores)

Name of the Company	Net Assets (Total Assets minus Total Liabilities)		Share in Profit or Loss		OCI		TCI	
	Year 2023-24		Year 2023-24		Year 2023-24		Year 2023-24	
	As % of Consolidated net assets	Net Assets	As % of Consolidated profit or loss	Profit/(Loss)	As % of Consolidated OCI	OCI	As % of Consolidated TCI	TCI
Kadisco Paint and Adhesive Industry Share Company	0.3	65.07	0.5	26.38	(0.1)	(0.03)	0.5	26.35
PT Asian Paints Indonesia	0.8	161.94	(1.0)	(56.67)	0.8	0.25	(1.0)	(56.42)
PT Asian Paints Color Indonesia	0.0	0.65	(0.0)	(0.21)	-	-	(0.0)	(0.21)
Causeway Paints Lanka (Pvt) Ltd	1.0	192.13	0.4	23.80	0.9	0.28	0.4	24.08
Asian White Inc. FZE*	0.5	106.16	(0.0)	(1.56)	-	-	(0.1)	(1.56)
Asian Paints Doha Trading WLL*	0.0	1.43	(0.0)	(0.86)	-	-	(0.0)	(0.86)
Minority Interests in all subsidiaries	3.6	695.38	1.7	97.46	(31.9)	(10.18)	1.5	87.28
Associate								
Indian								
PPG Asian Paints Private Limited (Consolidated)	3.0	583.13	2.4	132.45	(3.8)	(1.22)	2.3	131.23
Obgenix Software Private Limited*	-	-	0.0	0.55	0.1	0.03	0.0	0.58
Consolidation adjustments and Foreign Currency Translation Reserve (FCTR)	(13.3)	(2,603.02)	(1.9)	(97.99)	39.3	12.56	(1.5)	(85.43)
Total	100.0	19,423.68	100.0	5,557.69	100.0	31.96	100.0	5,589.65

* Refer note 41

Note : The above figures are before eliminating intragroup transactions and intragroup balances as at 31st March, 2024. Total of intragroup adjustments (including Foreign Currency Translation Reserve) is shown as separate line item.

(₹ in Crores)

Name of the Company	Net Assets (Total Assets minus Total Liabilities)		Share in Profit or Loss		OCI		TCI	
	Year 2022-23		Year 2022-23		Year 2022-23		Year 2022-23	
	As % of Consolidated net assets	Net Assets	As % of Consolidated profit or loss	Profit/(Loss)	As % of Consolidated OCI	OCI	As % of Consolidated TCI	TCI
Parent Company								
Asian Paints Limited	94.8	15,585.56	97.7	4,100.18	516.5	67.35	99.0	4,167.53
Indian Subsidiaries								
Direct Subsidiaries								
Asian Paints Industrial Coatings Limited	0.3	46.45	0.0	1.57	0.4	0.05	0.0	1.62
Maxbhum Developers Limited	0.1	12.67	0.0	0.20	-	-	0.0	0.20
Sleek International Private Limited	0.6	104.67	(0.7)	(28.10)	0.9	0.12	(0.7)	(27.98)
Asian Paints PPG Private Limited	0.8	132.37	0.7	31.36	(0.8)	(0.11)	0.7	31.25
Weatherseal Fenestration Private Limited *	0.0	7.91	(0.0)	(1.70)	-	-	(0.0)	(1.70)
Asian Paints (Polymers) Private Limited*	1.2	197.72	(0.1)	(2.28)	-	-	(0.1)	(2.28)

Notes to the Consolidated Financial Statements (Contd.)

NOTE 37 : DISCLOSURE OF ADDITIONAL INFORMATION PERTAINING TO THE PARENT COMPANY, SUBSIDIARIES AND ASSOCIATES AS PER SCHEDULE III OF COMPANIES ACT, 2013 (CONTD.):

(₹ in Crores)

Name of the Company	Net Assets (Total Assets minus Total Liabilities)		Share in Profit or Loss		OCI		TCI	
	Year 2022-23		Year 2022-23		Year 2022-23		Year 2022-23	
	As % of Consolidated net assets	Net Assets	As % of Consolidated profit or loss	Profit/(Loss)	As % of Consolidated OCI	OCI	As % of Consolidated TCI	TCI
Foreign Subsidiaries								
Direct Subsidiaries								
Asian Paints (Nepal) Private Limited	1.3	211.69	1.2	50.36	-	-	1.2	50.36
Asian Paints International Private Limited	2.5	406.24	(10.4)	(440.10)	-	-	(10.4)	(440.10)
Indirect Subsidiaries								
Samoa Paints Limited	0.0	3.61	0.0	0.77	-	-	0.0	0.77
Asian Paints (South Pacific) Pte Limited	0.2	36.43	0.2	6.46	-	-	0.2	6.46
Asian Paints (S.I) Limited	0.0	5.30	0.1	3.49	-	-	0.1	3.49
Asian Paints (Vanuatu) Limited	0.0	2.87	0.0	0.71	-	-	0.0	0.71
Asian Paints (Middle East) SPC	0.9	144.68	0.6	24.89	2.5	0.33	0.6	25.22
Asian Paints (Bangladesh) Limited	0.5	88.15	(0.7)	(27.47)	(1.4)	(0.18)	(0.7)	(27.65)
SCIB Chemicals S.A.E.	0.2	33.36	0.1	2.75	-	-	0.1	2.75
Berger Paints Bahrain W.L.L.	0.3	45.87	0.3	13.91	1.0	0.13	0.3	14.04
Berger Paints Emirates LLC	0.3	47.11	(0.4)	(16.74)	(1.0)	(0.13)	(0.4)	(16.87)
Nirvana Investments Limited	0.0	2.55	-	-	-	-	-	-
Enterprise Paints Limited	(0.1)	(15.72)	-	-	-	-	-	-
Universal Paints Limited	0.1	22.08	0.3	13.36	-	-	0.3	13.36
Kadisco Paint and Adhesive Industry Share Company	0.2	40.54	0.2	9.02	(1.1)	(0.14)	0.2	8.88
PT Asian Paints Indonesia	1.0	164.56	(1.5)	(63.58)	2.1	0.27	(1.5)	(63.31)
PT Asian Paints Color Indonesia	0.0	0.89	(0.0)	(0.25)	-	-	(0.0)	(0.25)
Causeway Paints Lanka (Pvt) Ltd	1.0	159.07	1.1	45.40	(1.4)	(0.18)	1.1	45.22
Minority Interests in all subsidiaries	2.8	453.66	2.1	88.88	(87.9)	(11.46)	1.8	77.42
Associate								
Indian								
PPG Asian Paints Private Limited (Consolidated)	3.4	560.15	2.1	88.19	(6.1)	(0.80)	2.1	87.39
Obgenix Software Private Limited *	1.3	221.58	0.1	5.67	0.2	0.03	0.1	5.70
Consolidation adjustments and Foreign Currency Translation Reserve (FCTR)	(13.7)	(2,276.13)	7.0	288.38	(323.9)	(42.24)	6.0	246.14
Total	100.0	16,445.89	100.0	4,195.33	100.0	13.04	100.0	4,208.37

* Refer note 41

Note : The above figures are before eliminating intragroup transactions and intragroup balances as at 31st March, 2023. Total of intragroup adjustments (including Foreign Currency Translation Reserve) is shown as separate line item.

NOTE 38 : DETAILS OF SUBSIDIARIES AND ASSOCIATES

A. Subsidiaries :

The subsidiary companies considered in the Consolidated Financial Statements are :

i) Direct Subsidiaries

Name of the Company	Country of Incorporation	% of Holding as at 31.03.2024	% of Holding as at 31.03.2023	Accounting period
Asian Paints (Nepal) Private Limited	Nepal	52.71	52.71	15 th Mar 2023 -13 th Mar 2024
Asian Paints International Private Limited (APIPL)	Singapore	100.00	100.00	1 st Apr 2023 -31 st Mar 2024
Asian Paints Industrial Coatings Limited	India	100.00	100.00	1 st Apr 2023 -31 st Mar 2024
Maxbhumi Developers Limited (Refer note 41(f))	India	100.00	100.00	1 st Apr 2023 -31 st Mar 2024
Sleek International Private Limited (Refer note 41(f))	India	100.00	100.00	1 st Apr 2023 -31 st Mar 2024
Asian Paints PPG Private Limited	India	50.00	50.00	1 st Apr 2023 -31 st Mar 2024
Weatherseal Fenestration Private Limited (Refer note 41(a))	India	51.00	51.00	1 st Apr 2023 -31 st Mar 2024
Asian Paints (Polymers) Private Limited (Refer note 41(c))	India	100.00	100.00	1 st Apr 2023 -31 st Mar 2024
Obgenix Software Private Limited (Refer note 41(b))	India	60.00	49.00	1 st Apr 2023 -31 st Mar 2024
Asian White Cement Holding Limited (Refer note 41(d))	U.A.E.	70.00	-	2 nd May 2023 -31 st Mar 2024
Harind Chemicals and Pharmaceuticals Private Limited (Refer note 41(e))	India	51.00	-	1 st Apr 2023 -31 st Mar 2024

ii) Indirect Subsidiaries

a) Subsidiaries of Asian Paints (International) Private Limited

Name of the Company	Country of Incorporation	% of Holding as at 31.03.2024	% of Holding as at 31.03.2023	Accounting period
Enterprise Paints Limited	Isle of Man, U.K.	100.00	100.00	1 st Apr 2023 -31 st Mar 2024
Universal Paints Limited	Isle of Man, U.K.	100.00	100.00	1 st Apr 2023 -31 st Mar 2024
Kadisco Paint and Adhesive Industry Share Company	Ethiopia	51.00	51.00	1 st Apr 2023 -31 st Mar 2024
PT Asian Paints Indonesia	Indonesia	100.00	100.00	1 st Apr 2023 -31 st Mar 2024
PT Asian Paints Color Indonesia	Indonesia	100.00	100.00	1 st Apr 2023 -31 st Mar 2024
Asian Paints (South Pacific) Pte Limited	Republic of Fiji	54.07	54.07	1 st Apr 2023 -31 st Mar 2024
Asian Paints (S.I) Limited	Solomon Islands	75.00	75.00	1 st Apr 2023 -31 st Mar 2024
Asian Paints (Bangladesh) Limited^	Bangladesh	95.09	95.09	1 st Apr 2023 -31 st Mar 2024
Asian Paints (Middle East) SPC	Sultanate of Oman	100.00	100.00	1 st Apr 2023 -31 st Mar 2024
SCIB Chemicals S.A.E.	Egypt	61.31	61.31	1 st Apr 2023 -31 st Mar 2024
Samoa Paints Limited	Samoa	80.00	80.00	1 st Apr 2023 -31 st Mar 2024
Asian Paints(Vanuatu) Limited	Republic of Vanuatu	60.00	60.00	1 st Apr 2023 -31 st Mar 2024
Causeway Paints Lanka (Pvt) Ltd	Sri Lanka	99.98	99.98	1 st Apr 2023 -31 st Mar 2024
Asian Paints Doha Trading W.L.L. (Refer note 41(g))	Qatar	100.00	-	5 th Nov 2023 -31 st Mar 2024
A P International Doha Trading W.L.L.®	Qatar	100.00	100.00	-

^ On 13th December 2022, APIPL subscribed to right issue of Asian Paints (Bangladesh) Limited, subsidiary of APIPL, thereby increasing stake by 5.31%.

® Yet to commence operations

Notes to the Consolidated Financial Statements (Contd.)

NOTE 38 : DETAILS OF SUBSIDIARIES AND ASSOCIATES (CONTD.)

A. Subsidiaries (Contd.) :

ii) Indirect Subsidiaries (Contd.)

b) Subsidiary of Enterprise Paints Limited :

Name of the Company	Country of Incorporation	% of Holding as at 31.03.2024	% of Holding as at 31.03.2023	Accounting period
Nirvana Investments Limited	Isle of Man, U.K.	100.00	100.00	1 st Apr 2023 -31 st Mar 2024

c) Subsidiary of Nirvana Investments Limited :

Name of the Company	Country of Incorporation	% of Holding as at 31.03.2024	% of Holding as at 31.03.2023	Accounting period
Berger Paints Emirates LLC	U.A.E.	100.00	100.00	1 st Apr 2023 -31 st Mar 2024

d) Subsidiary of Universal Paints Limited :

Name of the Company	Country of Incorporation	% of Holding as at 31.03.2024	% of Holding as at 31.03.2023	Accounting period
Berger Paints Bahrain W.L.L.	Bahrain	100.00	100.00	1 st Apr 2023 -31 st Mar 2024

e) Subsidiary of Asian White Cement Holding Limited :

Name of the Company	Country of Incorporation	% of Holding as at 31.03.2024	% of Holding as at 31.03.2023	Accounting period
Asian White Inc. FZE (Refer note 41(d))	U.A.E.	100.00	-	26 th Jun 2023 -31 st Mar 2024

f) Subsidiary of Harind Chemicals and Pharmaceuticals Private Limited :

Name of the Company	Country of Incorporation	% of Holding as at 31.03.2024	% of Holding as at 31.03.2023	Accounting period
Nova Surface-Care Centre Private Limited (Refer note 41(e))	India	100.00	-	1 st Apr 2023 -31 st Mar 2024

B. Associates :

Name of the Company	Country of Incorporation	% of Holding as at 31.03.2024	% of Holding as at 31.03.2023	Accounting period
PPG Asian Paints Private Limited	India	50.00	50.00	1 st Apr 2023 -31 st Mar 2024
Subsidiaries of PPG Asian Paints Private Limited :				
Revocoat India Private Limited	India	100.00	100.00	1 st Apr 2023 -31 st Mar 2024
PPG Asian Paints Lanka Private Limited**	Sri Lanka	100.00	100.00	1 st Apr 2023 -31 st Mar 2024

** The Company has ceased its business operations during the year 2022-23.

NOTE 39 : EXCEPTIONAL ITEMS

	(₹ in Crores)	
	Year 2023-2024	Year 2022-2023
1. Exchange loss on devaluation of Sri Lanka currency ^{&}	-	24.21
2. Impairment loss on Goodwill on consolidation in Causeway Paints [^]	-	24.66
	-	48.87

[&] The economic crisis in Sri Lanka led to currency devaluation for the year ended 31st March, 2023. This has resulted in recognition of an expense of ₹ 24.21 crores towards exchange loss arising on foreign currency obligations of Causeway Paints Lanka (Pvt) Ltd (Causeway Paints), subsidiary of the Group, for the year ended 31st March, 2023.

[^] The Group had made an assessment of the fair value of investment made in Causeway Paints taking into account the business performance, prevailing business conditions and revised expectations of the future performance considering economic crisis in Sri Lanka. Accordingly, for the year ended 31st March, 2023, the Group had recognised an impairment loss of ₹ 24.66 crores on the 'Goodwill on Consolidation', recognised on acquisition of Causeway Paints.

NOTE 40 :

A competitor of the Parent Company had filed a complaint with the Competition Commission of India (CCI) alleging the Parent Company to be hindering its entry in the decorative paints market by virtue of unfair use of the Parent Company's position of dominance in the market. The CCI had passed a prima facie Order dated 14th January, 2020 directing the Director General ("DG") to conduct an investigation against the Parent Company under the provisions of the Competition Act, 2002. The DG submitted a detailed report to the CCI. Based on the findings of the DG's report and after hearing both the parties, the CCI passed a favourable order on 8th September, 2022 dismissing the allegations relating to abuse of dominance and anti-competitive agreements made by the competitor. The competitor has now filed an appeal against CCI's order before the National Company Law Appellate Tribunal. The said appeal is pending for hearing.

NOTE 41 : MERGERS, ACQUISITIONS AND INCORPORATIONS

(a) Equity infusion in Weatherseal Fenestration Private Limited (Weatherseal):

During the previous year on 14th June, 2022, the Parent Company subscribed to 51% of the equity share capital of Weatherseal for a cash consideration of ₹ 18.84 crores. Accordingly, Weatherseal became a subsidiary of the Parent Company. Weatherseal is engaged in the business of interior decoration/furnishing, including manufacturing uPVC windows and door systems. The acquisition will enable the Group to widen its offerings in the home decor space and is a step forward in the foray of being a complete home décor solution provider.

In accordance with the Shareholders Agreement and Share Subscription Agreement, the Parent Company has agreed to acquire further stake of 23.9% in Weatherseal from its promoter shareholders, in a staggered manner. The Parent Company has also entered into a put contract for acquisition of 25.1% stake in Weatherseal. Accordingly, on the day of acquisition, a gross obligation towards acquisition is recognised for the same, initially measured at ₹ 18.08 crores. On 31st March, 2024, fair value of such gross obligation is ₹ 9.53 crores (on 31st March, 2023 - ₹ 21.46 crores). Fair valuation gain of ₹ 11.93 crores is recognised in the Consolidated Statement of Profit and Loss for the year ended 31st March, 2024 (Previous Year - fair valuation loss of ₹ 3.38 crores).

(b) Acquisition of stake in Obgenix Software Private Limited

The Parent Company entered into Share Purchase Agreement and other definitive documents (agreement) with the shareholders of Obgenix Software Private Limited (popularly known by the brand name of 'White Teak') on 1st April, 2022. White Teak is engaged in designing, trading or otherwise dealing in all types and description of decorative lighting products and fans, etc. The acquisition will enable the Group to widen its offerings in the home decor space and is a step forward in the foray of being a complete home décor solution provider.

During previous year, on 2nd April, 2022, the Parent Company acquired 49% of the equity share capital of White Teak on for a cash consideration of ~ ₹ 180 crores along with an earn out, payable after a year, subject to achievement of mutually agreed financial milestones. Accordingly, White Teak became an associate of the Group. On 31st March, 2023, fair value of earn out was ₹ 58.97 crores.

Notes to the Consolidated Financial Statements (Contd.)

NOTE 41 : MERGERS, ACQUISITIONS AND INCORPORATIONS (CONTD.)

(b) Acquisition of stake in Obgenix Software Private Limited (Contd.)

During the year, on 23rd June, 2023, the Parent Company has further acquired 11% of the equity share capital of White Teak from the existing shareholders of White Teak for a consideration of ₹ 53.77 crores. The Parent Company holds 60% of the equity share capital of White Teak, by virtue of which White Teak has become a subsidiary of the Parent Company. On such date, the fair value of earnout stood at ₹ 59.45 crores which was paid to the promoters of White Teak. Fair valuation loss towards earnout paid of ₹ 0.48 crores has been recognised in the Consolidated Statement of Profit & Loss (Previous Year - ₹ 5.17 crores).

In accordance with the agreement, the remaining 40% of the equity share capital would be acquired in the FY 2025-26. Accordingly, on the day of acquisition, gross obligation towards further stake acquisition is recognised for the same, initially measured at ₹ 225.92 crores. On 31st March, 2024, fair value of such gross obligation is ₹ 186.22 crores. Fair valuation gain of ₹ 39.70 crores is recognised in the Consolidated Statement of Profit and Loss for the year ended 31st March, 2024.

	(₹ in Crores)
Assets acquired and liabilities assumed on acquisition date :	30th June, 2023
Property, plant and equipment	9.13
Intangible Assets	220.06
Right-of-Use Assets	34.06
Income Tax Assets (Net)	0.01
Deferred Tax Assets	2.21
Inventories	24.54
Financial Assets	
Trade Receivables	7.47
Cash and bank balances	0.72
Other Financial Assets	4.43
Other Current Assets	4.03
Total Assets	306.66
Provisions	1.63
Deferred Tax Liabilities	1.09
Financial Liabilities	
Borrowings	13.86
Lease Liabilities	35.11
Trade payables and other liabilities	7.92
Other payables	2.35
Total Liabilities	61.96
Net assets acquired	244.70

Trade receivable of ₹ 7.47 crores represent the gross contractual amounts. There are no contractual cash flows not expected to be collected on the acquisition date.

	(₹ in crores)
Goodwill arising on acquisition of stake in White Teak	30th June, 2023
Cash consideration transferred (i)	53.77
Net Fair Value of Derivative Asset and Liability (ii)	2.27
Fair Value of 49% stake held in White Teak, as on the acquisition date (iii)	256.11
Total consideration transferred [(iv) = (i) + (ii) + (iii)]	312.15
Fair Value of identified assets acquired (v)	244.70
Group share of fair value of identified assets acquired (vi)	146.82
Group share of Goodwill arising on acquisition of White Teak [(iv)-(vi)]	165.33

NOTE 41 : MERGERS, ACQUISITIONS AND INCORPORATIONS (CONTD.)

(b) Acquisition of stake in Obgenix Software Private Limited (Contd.)

The goodwill of ₹ 165.33 crores comprises value of acquired workforce, revenue growth, future market developments and expected synergies arising from the business combination.

Gain of ₹ 33.96 crores on remeasurement of fair value of 49% stake held in White Teak is recognised under Other Income in the Consolidated Statement of Profit and Loss.

	(₹ in crores)
Net cash outflow on acquisition	30th June, 2023
Cash consideration transferred	53.77
Less : Cash and cash equivalent acquired (including overdraft)	(7.92)
Net cash and cash equivalent outflow	61.69

The amount of non-controlling interest recognised at the acquisition date was ₹ 97.88 crores, measured at non-controlling interest's proportionate share in the recognised amounts of White Teak's identifiable net assets.

Impact of acquisition on the results of the Group :

Revenue from operations of ₹ 107.46 crores and Profit after tax of ₹ 1.22 crores of White Teak has been included in the current year's Consolidated Statement of Profit and Loss. If the acquisition had occurred on 1st April, 2023, consolidated revenue of the Group would have been higher by ₹ 25.96 crores, and consolidated profit of the Group for the year would have been higher by ₹ 0.59 crores.

No material acquisition costs were charged to the Consolidated Statement of Profit and Loss for the year ended 31st March, 2024.

(c) Incorporation of Asian Paints (Polymers) Private Limited :

On 11th January, 2023, the Parent Company incorporated a wholly owned subsidiary named Asian Paints (Polymers) Private Limited ('APPPL') for manufacturing of Vinyl Acetate Monomer and Vinyl Acetate Ethylene Emulsion in India. The Parent Company had invested ₹ 200.00 crores in equity share capital of APPPL in the previous year.

On 26th June, 2023, the Parent Company has further infused ₹ 100.00 crores as equity share capital into APPPL. As on 31st March, 2024, equity share capital of APPPL stands at ₹ 300.00 crores.

(d) Incorporation of Asian White Cement Holding Limited :

On 2nd May, 2023, an investment holding subsidiary company, namely, Asian White Cement Holding Limited ('AWCHL') was incorporated in Dubai International Financial Centre, United Arab Emirates (UAE), for the purpose of setting up an operating company in Fujairah, UAE. The Parent Company holds 70% of equity share capital in AWCHL and has infused equity share capital of ₹ 94.70 crores during the year.

On 26th June, 2023, AWCHL has incorporated a wholly owned subsidiary company, namely, Asian White Inc. FZE in Fujairah Free Zone, UAE, for the purpose of carrying out the business of manufacturing, trading and export of white cement.

(e) Acquisition of stake in Harind Chemicals and Pharmaceuticals Private Limited :

On 20th October 2022, the Parent Company had entered into Share Purchase Agreements and other definitive documents with shareholders of Harind Chemicals and Pharmaceuticals Private Limited ('Harind'), for the acquisition of majority stake in Harind, in a staggered manner, subject to fulfilment of certain conditions precedent. Harind is a specialty chemicals company engaged in the business of nanotechnology-based research, manufacturing, and sale of a range of additives and specialised coatings. Nanotechnology has the potential to be the next frontier in the world of coatings, and the acquisition will enable to Group to manufacture commercially viable high-performance coatings and additives with this technology.

Notes to the Consolidated Financial Statements (Contd.)

NOTE 41 : MERGERS, ACQUISITIONS AND INCORPORATIONS (CONTD.)

(e) Acquisition of stake in Harind Chemicals and Pharmaceuticals Private Limited (Contd.)

Upon fulfilment of the conditions precedent for acquisition of first tranche, the Parent Company has acquired 51% of the equity share capital of Harind for a consideration of ₹ 14.28 crores on 14th February 2024. Accordingly, Harind and Nova Surface-Care Centre Private Limited, a wholly owned subsidiary of Harind, have become subsidiaries of the Parent Company. Further, the Parent Company has agreed to acquire further 39% stake in Harind in a staggered manner, over the next 3 years period. Accordingly, gross obligation towards acquisition is recognised at ₹ 48.88 crores as on 31st March, 2024.

	(₹ in Crores)
Assets acquired and liabilities assumed on acquisition date :	31st Jan, 2024
Property, plant and equipment	1.47
Right-of-Use Assets	0.34
Deferred Tax Assets (Net)	0.11
Inventories	3.18
Financial Assets	
Trade Receivables	6.72
Cash and bank balances	0.97
Other Balances with Banks	9.12
Other Financial Assets	0.24
Other Current Assets	0.18
Total Assets	22.33
Financial Liabilities	
Lease Liabilities	0.37
Trade payables	3.68
Other Financial Liabilities	0.37
Other Current Liabilities	0.55
Provisions	0.42
Income Tax liabilities	0.65
Total Liabilities	6.04
Net assets acquired	16.29

Trade receivable with a fair value of ₹ 6.72 crores had gross contractual amounts of ₹ 6.74 crores. The best estimate on acquisition date of the contractual cash flows not expected to be collected is ₹ 0.02 crores.

	(₹ in crores)
Goodwill arising on acquisition of stake in Harind	31st Jan, 2024
Cash consideration transferred (i)	14.28
Fair Value of Derivative liability (ii)	11.90
Total consideration transferred [(iii) = (i)+(ii)]	26.18
Fair Value of identified assets acquired (iv)	16.29
Group share of fair value of identified assets acquired (v)	8.31
Group share of Goodwill arising on acquisition of Harind [(iii)-(v)]	17.87

The goodwill of ₹ 17.87 crores comprises value of acquired workforce, revenue growth, future market developments and expected synergies arising from the business combination.

	(₹ in crores)
Net cash outflow on acquisition	31st Jan, 2024
Cash consideration transferred	14.28
Cash and cash equivalent acquired	0.97
Net cash and cash equivalent outflow	13.31

NOTE 41 : MERGERS, ACQUISITIONS AND INCORPORATIONS (CONTD.)

(e) Acquisition of stake in Harind Chemicals and Pharmaceuticals Private Limited (Contd.)

The amount of non-controlling interest recognised at the acquisition date was ₹ 7.98 crores, measured at non-controlling interest's proportionate share in the recognised amounts of Harind's identifiable net assets.

Impact of acquisition on the results of the Group :

Revenue from operations of ₹ 6.49 crores and Profit after tax of ₹ 1.60 crores of Harind has been included in the current year's Consolidated Statement of Profit and Loss. If the acquisition had occurred on 1st April, 2023, consolidated revenue of the Group would have been higher by ₹ 28.50 crores, and consolidated profit of the Group for the year would have been higher by ₹ 4.00 crores.

No material acquisition costs were charged to the Consolidated Statement of Profit and Loss for the year ended 31st March, 2024.

(f) Amalgamation of Sleek International Private Limited and Maxbhum Developers Limited:

The Board of Directors at their meeting held on 28th March 2024 had approved the Scheme of Amalgamation ('the Scheme') of Maxbhum Developers Limited and Sleek International Private Limited, wholly owned subsidiaries of Asian Paints Limited (Parent Company) with the Parent Company in accordance with the provisions of the Companies Act, 2013 and other applicable laws with the appointed date of 1st April 2024. The Scheme is subject to necessary statutory and regulatory approvals, including approval of the Hon'ble National Company Law Tribunal, Mumbai. There is no impact of the Scheme on the Consolidated Financial Statements.

(g) Incorporation of Asian Paints Doha Trading W.L.L.:

On 5th November, 2023, Asian Paints International Private Limited (APIPL), Singapore, a wholly-owned subsidiary of the Parent Company, had incorporated a wholly owned subsidiary, namely, Asian Paints Doha Trading W.L.L. (APDT) in Qatar, for the purpose of engaging in the business of trading in paints, coatings and allied products, chemical material related to building & construction works, and Home Décor products.

During the year, APIPL has infused ₹ 2.33 crores as equity share capital into APDT.

NOTE 42 : ADDITIONAL REGULATORY INFORMATION REQUIRED BY SCHEDULE III TO THE COMPANIES ACT, 2013

(i) Details of struck off companies with whom the Group has transaction during the year or outstanding balance as on Balance Sheet date :

(₹ in Crores)				
Name of the Entity	Name of Struck off Company	Nature of transactions with struck-off Company	As at 31.03.2024	As at 31.03.2023
Asian Paints Limited	Citi Square Modular Industries Private Limited ^{(1) (2)}	Receivables	0.09	0.09
Asian Paints Limited	D.R. Retails Private Limited ^{(1) (2)}	Receivables	0.01	0.01
Asian Paints Limited	K.A.S. Housing Private Limited ^{(1) (2)}	Receivables	0.01	0.01
Asian Paints Limited	Tirupati Suppliers Private Limited ^{(1) (2)}	Receivables	0.25	0.40
Asian Paints Limited	Dte Events Private Limited ⁽²⁾	Payables	-	-
Asian Paints Limited	Gomistri Services Private Limited ⁽²⁾	Payables	-	-
Asian Paints Limited	Khatushyam Engineers Private Limited ⁽²⁾	Payables	(0.01)	(0.01)
Asian Paints Limited	Swarna Homes Private Limited	Payables	0.04	0.04
Asian Paints Limited	Vanshika Tours and Travels Private Limited	Payables	(0.01)	(0.04)
Asian Paints Limited	Alliance Invest and Finance Private Limited	Unclaimed Dividend	#	#
Asian Paints Limited	Boi Finance Limited	Unclaimed Dividend	-	#
Asian Paints Limited	Chinmaya Estates Private Limited	Unclaimed Dividend	#	#
Asian Paints Limited	Empyrean Consultant Private Limited	Unclaimed Dividend	0.01	#

Notes to the Consolidated Financial Statements (Contd.)

NOTE 42 : ADDITIONAL REGULATORY INFORMATION REQUIRED BY SCHEDULE III TO THE COMPANIES ACT, 2013 (CONTD.)

(i) Details of struck off companies with whom the Group has transaction during the year or outstanding balance as on Balance Sheet date : (Contd.)

(₹ in Crores)				
Name of the Entity	Name of Struck off Company	Nature of transactions with struck-off Company	As at 31.03.2024	As at 31.03.2023
Asian Paints Limited	Fairgrowth Financial Services Limited	Unclaimed Dividend	0.01	#
Asian Paints Limited	Fairgrowth Investments Limited	Unclaimed Dividend	#	#
Asian Paints Limited	Fairtrade Securities Limited	Unclaimed Dividend	#	#
Asian Paints Limited	Kinnari Investments Private Limited	Unclaimed Dividend	0.01	0.01
Asian Paints Limited	Mulraj Holdings & Finance Private Limited	Unclaimed Dividend	#	#
Asian Paints Limited	Optimist Finvest and Trading Private Limited	Unclaimed Dividend	#	#
Asian Paints Limited	Palkhi Investment and Trading Company Private Limited	Unclaimed Dividend	-	#
Asian Paints Limited	Pax Holdings Private Limited	Unclaimed Dividend	-	#
Asian Paints Limited	Safna Consultancy Private Limited	Unclaimed Dividend	#	#
Asian Paints Limited	Salil Archana Invests Private Limited	Unclaimed Dividend	-	#
Asian Paints Limited	Siddha Papers Private Limited	Unclaimed Dividend	-	#
Asian Paints Limited	Smita Commercial Investment Limited	Unclaimed Dividend	-	#
Asian Paints Limited	Sunhari Trading and Commerce Private Limited	Unclaimed Dividend	-	#
Asian Paints Limited	Unicon Fincap Private Limited	Unclaimed Dividend	#	#
Asian Paints PPG Private Limited	Surface Care Technologist Pvt Ltd ⁽²⁾	Receivables	0.21	0.21
Asian Paints PPG Private Limited	Algyug Enclosures Private Limited	Receivables	-	0.05
Asian Paints PPG Private Limited	Ssgm Sales India Private Limited	Receivables	-	0.02
Asian Paints PPG Private Limited	G.S. Lighting (P) Ltd	Receivables	-	0.05
Asian Paints PPG Private Limited	Urban Water Supply Private Limited	Receivables	-	#
Asian Paints PPG Private Limited	Advance Marketing Private Limited	Receivables	-	0.02
Asian Paints PPG Private Limited	Shree Gurukrupa Minerals Private Limited ⁽²⁾	Receivables	0.01	0.01
Asian Paints PPG Private Limited	Ssangyong Engineering & Construction Co ⁽²⁾	Payable	#	#
Sleek International Private Limited	Naveli Décor Private Limited	Receivables	-	(0.02)
Sleek International Private Limited	Cocina 9 Interntional Private Limited	Receivables	#	-
Obgenix Software Private Limited	Duroque Designs Private Limited	Sale of products	-	-
Obgenix Software Private Limited	Cosmetico Labs Private Limited	Sale of products	-	-
Obgenix Software Private Limited	Kandala Projects Private Limited	Sale of products	-	-
Obgenix Software Private Limited	Piccadily Holiday Resorts Limited	Sale of products	-	-

NOTE 42 : ADDITIONAL REGULATORY INFORMATION REQUIRED BY SCHEDULE III TO THE COMPANIES ACT, 2013 (CONTD.)

(i) Details of struck off companies with whom the Group has transaction during the year or outstanding balance as on Balance Sheet date : (Contd.)

		(₹ in Crores)		
Name of the Entity	Name of Struck off Company	Nature of transactions with struck-off Company	As at 31.03.2024	As at 31.03.2023
Obgenix Software Private Limited	Microland Limited	Sale of products	-	-

⁽¹⁾ The Company has made provision for doubtful debts for the balances.

⁽²⁾ There were no new transactions with these companies during the year.

Below struck off companies are equity shareholders of the Parent Company as on the Balance Sheet date

Name of Struck off Company	Nature of transactions with struck-off Company
Shanti Credit and Holdings Pvt Ltd	Shares held by struck off company
Safna Consultancy Pvt Ltd	Shares held by struck off company
Siddha Papers Pvt Ltd	Shares held by struck off company
Fairtrade Securities Ltd	Shares held by struck off company
Unicon Fincap Private Ltd	Shares held by struck off company
Fairgrowth Investments Ltd	Shares held by struck off company
Fairgrowth Financial Services Ltd	Shares held by struck off company
Empyrean Consultant Pvt Ltd	Shares held by struck off company
Aloke Speciality Machines and Components Pvt Ltd	Shares held by struck off company

None of the above mentioned struck off companies are related party of the Group.

- (ii)** The Parent and Indian subsidiaries do not have any benami property held in its name. No proceedings have been initiated on or are pending against the Parent and Indian subsidiaries for holding benami property under the Benami Transactions (Prohibition) Act, 1988 (45 of 1988) and Rules made thereunder.
- (iii)** The Parent and Indian Subsidiaries have not been declared wilful defaulter by any bank or financial institution or other lender or government or any government authority.
- (iv)** The Parent and Indian Subsidiaries have complied with the requirement with respect to number of layers as prescribed under section 2(87) of the Companies Act, 2013 read with the Companies (Restriction on number of layers) Rules, 2017.
- (v) Utilisation of borrowed funds and share premium**
- I The Parent and Indian Subsidiaries have not advanced or loaned or invested funds to any other person(s) or entity(ies), including foreign entities (Intermediaries) with the understanding that the Intermediary shall :
 - (a) Directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Parent Company (Ultimate Beneficiaries) or
 - (b) Provide any guarantee, security or the like to or on behalf of the ultimate beneficiaries
 - II The Parent and Indian Subsidiaries have not received any fund from any person(s) or entity(ies), including foreign entities (Funding Party) with the understanding (whether recorded in writing or otherwise) that the Parent and Indian Subsidiaries shall :
 - (a) directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Funding Party (Ultimate Beneficiaries) or
 - (b) provide any guarantee, security or the like on behalf of the ultimate beneficiaries

Notes to the Consolidated Financial Statements (Contd.)

NOTE 42 : ADDITIONAL REGULATORY INFORMATION REQUIRED BY SCHEDULE III TO THE COMPANIES ACT, 2013 (CONTD.)

- (vi)** There is no income surrendered or disclosed as income during the year in tax assessments under the Income Tax Act, 1961 (such as search or survey), that has not been recorded in the books of account.
- (vii)** The Group has not traded or invested in crypto currency or virtual currency during the year.
- (viii)** The Parent and Indian Subsidiaries do not have any charges or satisfaction of charges which is yet to be registered with Registrar of Companies beyond the statutory period.
- (ix)** Indian Subsidiaries have working capital facilities sanctioned by bank on the basis of security of current assets, inventories and trade receivables. Quarterly statements of current assets filed by the Indian subsidiaries with bank are in agreement with the books of accounts. The Group has not used borrowings for purpose other than specified purpose of the borrowing.

NOTE 43 :

The Consolidated Financials Statements are approved for issue by the Audit Committee and the Board of Directors at their respective meetings conducted on 9th May, 2024.

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FORM AOC-I : Statement containing salient features of the Financial Statements of Subsidiaries and Joint Ventures
(Pursuant to first proviso to sub section (3) of section 129 read with rule 5 of Companies (Accounts) Rules, 2014)

PART "A" : SUBSIDIARIES

All figures except exchange rates in ₹ crores

Sl No.	Name of the Subsidiary	Reporting Currency	Exchange Rate	Date since when subsidiary was acquired	Reporting period	Share Capital	Reserves & Surplus	Total Liabilities	Total Assets	Investments ^	Turnover	PBT	Tax provision	PAT*	Dividends for the year	% of Share holding
1	Asian Paints (Bangladesh) Limited	BDT	0.76	04-Oct-00	Apr 23 to Mar 24	140.74	(37.67)	321.51	424.58	-	411.44	18.65	(8.57)	10.07	-	95.09
2	Asian Paints (Middle East) SPC	OMR	216.68	13-Oct-97	Apr 23 to Mar 24	24.31	157.03	111.47	292.81	-	358.36	60.64	(9.14)	51.50	18.23	100.00
3	Asian Paints (Nepal) Private Limited	NPR	0.63	31-May-83	15 Mar 23 to 13 Mar 24	3.86	410.89	164.11	578.85	-	335.27	49.07	(8.86)	40.20	27.01	52.71
4	Asian Paints (S.I.) Limited	SBD	9.98	10-Nov-83	Apr 23 to Mar 24	0.63	6.23	4.71	11.57	-	14.59	5.26	(0.02)	5.24	5.34	75.00
5	Asian Paints (South Pacific) Pte Limited	FJD	37.52	18-Oct-76	Apr 23 to Mar 24	5.39	69.69	33.73	108.81	-	127.49	20.00	(4.97)	15.03	7.13	54.07
6	Asian Paints (Vanuatu) Limited	VUV	0.71	06-Aug-92	Apr 23 to Mar 24	2.19	4.03	1.94	8.16	-	7.68	1.40	-	1.40	-	60.00
7	Asian Paints Industrial Coatings Limited	INR	1.00	01-Oct-01	Apr 23 to Mar 24	30.45	19.73	6.04	56.23	30.40	22.02	4.04	(0.14)	3.90	-	100.00
8	Asian Paints International Private Limited	SGD	61.78	01-Nov-02	Apr 23 to Mar 24	928.64	(589.68)	743.12	1,082.08	-	-	(63.36)	(4.05)	(67.42)	-	100.00
9	Berger Paints Bahrain W.L.L.	BHD	221.59	01-Nov-02	Apr 23 to Mar 24	9.26	36.50	35.79	81.55	-	128.10	17.44	-	17.44	18.28	100.00
10	Berger Paints Emirates LLC	AED	22.71	01-Nov-02	Apr 23 to Mar 24	40.43	43.52	267.53	351.48	-	524.82	(2.02)	-	(2.02)	-	100.00
11	Kadisco Paint and Adhesive Industry Share Company	ETB	1.47	09-Feb-15	Apr 23 to Mar 24	69.54	58.09	145.35	272.99	1.18	295.18	69.87	(18.99)	50.87	15.91	51.00
12	Enterprise Paints Limited	GBP	105.31	01-Nov-02	Apr 23 to Mar 24	1.53	(16.69)	15.16	#	-	-	1.17	-	1.17	-	100.00
13	Maxbhumi Developers Limited	INR	1.00	15-Nov-07	Apr 23 to Mar 24	0.42	12.90	0.09	13.40	13.02	-	0.86	(0.22)	0.65	-	100.00
14	Nirvana Investments Limited	GBP	105.31	01-Nov-02	Apr 23 to Mar 24	#	0.82	-	0.82	-	-	-	-	-	1.17	100.00
15	Samoa Paints Limited	WST	31.44	29-Aug-03	Apr 23 to Mar 24	0.28	5.49	2.52	8.30	-	9.12	1.64	(0.44)	1.20	-	80.00
16	SCB Chemicals S.A.E.	EGP	1.76	17-Dec-02	Apr 23 to Mar 24	3.18	35.86	175.44	214.47	41.04	297.04	6.56	(1.67)	4.88	1.76	61.307
17	Universal Paints Limited	GBP	105.31	01-Nov-02	Apr 23 to Mar 24	4.52	14.85	-	19.37	-	-	18.24	-	18.24	18.24	100.00
18	PT Asian Paints Indonesia	IDR	0.01	23-Dec-14	Apr 23 to Mar 24	582.28	(420.34)	46.95	208.88	-	82.22	(55.20)	-	(55.20)	-	100.00
19	PT Asian Paints Color Indonesia	IDR	0.01	07-Apr-15	Apr 23 to Mar 24	16.66	(16.01)	0.02	0.67	-	-	(0.20)	-	(0.20)	-	100.00
20	Sleek International Private Limited	INR	1.00	08-Aug-13	Apr 23 to Mar 24	0.29	98.81	200.17	299.27	#	409.34	(5.43)	-	(5.43)	-	100.00
21	Causeway Paints Lanka (Pvt) Limited	LKR	0.28	03-Apr-17	Apr 23 to Mar 24	57.80	134.37	138.31	330.48	-	414.60	29.58	(4.04)	25.54	11.00	99.98
22	Asian Paints (Polymers) Private Limited	INR	1.00	11-Jan-23	Apr 23 to Mar 24	300.00	1.08	5.39	306.47	8.09	-	4.64	(1.28)	3.36	-	100.00
23	Weatherseal Penetration Private Limited	INR	1.00	14-Jun-22	Apr 23 to Mar 24	0.02	(2.92)	61.50	58.61	-	51.86	(17.32)	(1.09)	(18.41)	-	51.00
24	AP International Doha Trading W.L.L.	QAR	22.88	29-Jul-21	-	-	-	-	-	-	-	-	-	-	-	-
25	Asian Paints Doha Trading W.L.L. ¹	QAR	22.88	05-Nov-23	05-Nov-23 to 31 Mar-24	2.29	(0.86)	2.84	4.27	-	1.19	(0.95)	0.10	(0.86)	-	100.00
26	Harind Chemicals & Pharmaceuticals Private Limited ²	INR	1.00	14-Feb-24	Apr 23 to Mar 24	0.20	17.76	5.43	23.39	-	34.68	8.22	(2.11)	6.11	-	51.00
27	Nova Surface-Care Centre Private Limited ²	INR	1.00	14-Feb-24	Apr 23 to Mar 24	6.18	(5.63)	0.37	0.92	-	0.31	(0.51)	-	(0.51)	-	51.00
28	Asian White Cement Holding Limited ³	AED	22.71	02-May-23	02-May-23 to 31-Mar-24	135.60	21.99	0.27	157.86	-	-	(0.61)	-	(0.61)	-	70.00
29	Asian White Inc. FZE ³	AED	22.71	26-Jun-23	26-Jun-23 to 31-Mar-24	85.86	65.79	50.98	202.63	-	-	(2.23)	-	(2.23)	-	70.00
30	Oboenix Software Private Limited ⁴	INR	1.00	23-Jun-23	Apr 23 to Mar 24	0.40	26.39	110.66	137.45	-	133.43	3.29	(0.92)	2.37	-	60.00

1. Names of subsidiaries which are yet to commence operations : AP International Doha Trading W.L.L.

2. Names of subsidiaries which have been liquidated or sold during the last year : NIL

Notes to the Consolidated Financial Statements (Contd.)

NOTE :

- On 5th November, 2023 Asian Paints International Private Limited incorporated a wholly owned subsidiary named Asian Paints Doha Trading W.L.L.
- On 14th February, 2024, Asian Paints Limited (Company) has acquired 51% of the equity share capital of Harind Chemicals & Pharmaceuticals Private Limited (Harind) . Accordingly, Harind and Nova Surface-Care Centre Private Limited, a wholly owned subsidiary of Harind, have become subsidiaries of the Company.
- On 2nd May, 2023, the Company has incorporated an investment holding subsidiary Company, namely, Asian White Cement Holding Limited ('AWCHL'). AWCHL has incorporated a wholly owned subsidiary Company, namely, Asian White Inc. FZE on 26th June, 2023.
- On 2nd April, 2022, the Company had acquired 49% of the equity share capital of Obgenix Software Private Limited (White Teak). On 23rd June 2023, the Company has further acquired 11% of equity share capital of White Teak. Consequently, White teak has become a subsidiary of the Company.

5. Figures reported above are for full reporting period

^ Investments other than in subsidiary companies

Amounts less than ₹ 50,000/-

* PAT does not include Other Comprehensive Income.

Note : Indian rupees equivalent of the foreign currency translated at the exchange rate as at 31st March, 2024.

PART "B" : JOINT VENTURES

Sl No.	Name of Joint Ventures	Asian Paints PPG Private Limited	PPG Asian Paints Private Limited
1	Latest audited Balance Sheet Date	31 st March, 2024	31 st March, 2024
2	Shares of Joint Ventures held by the Company as at year end (number of shares)	52,43,961	2,85,18,112
	Amount of Investment in Joint Venture	₹ 30.47 Crores	₹ 81.43 Crores
	Extent of Holding %	50%	50%
3	Description of how there is significant influence	Not Applicable	Not Applicable
4	Reason why the joint venture is not consolidated	Consolidated	Consolidated
5	Networth attributable to Shareholders as per latest audited Balance Sheet	₹ 182.32 Crores	₹ 583.14 Crores
6	Profit for the year		
	i. Considered in Consolidation	₹ 100.18 Crores	₹ 132.46 Crores
	ii. Not Considered in Consolidation	NIL	₹ 132.46 Crores

- Names of joint ventures which are yet to commence operations - NIL
- Names of joint ventures which have been liquidated or sold during the year - NIL

For and on behalf of the Board of Directors of **Asian Paints Limited**
CIN : L24220MH1945PLC004598

R Seshasayee

Chairman
DIN : 00047985

Milind Sarwate

Chairman of Audit Committee
DIN : 00109854

Amit Syngle

Managing Director & CEO
DIN : 07232566

R J Jeyamurugan

CFO & Company Secretary

Mumbai
9th May, 2024